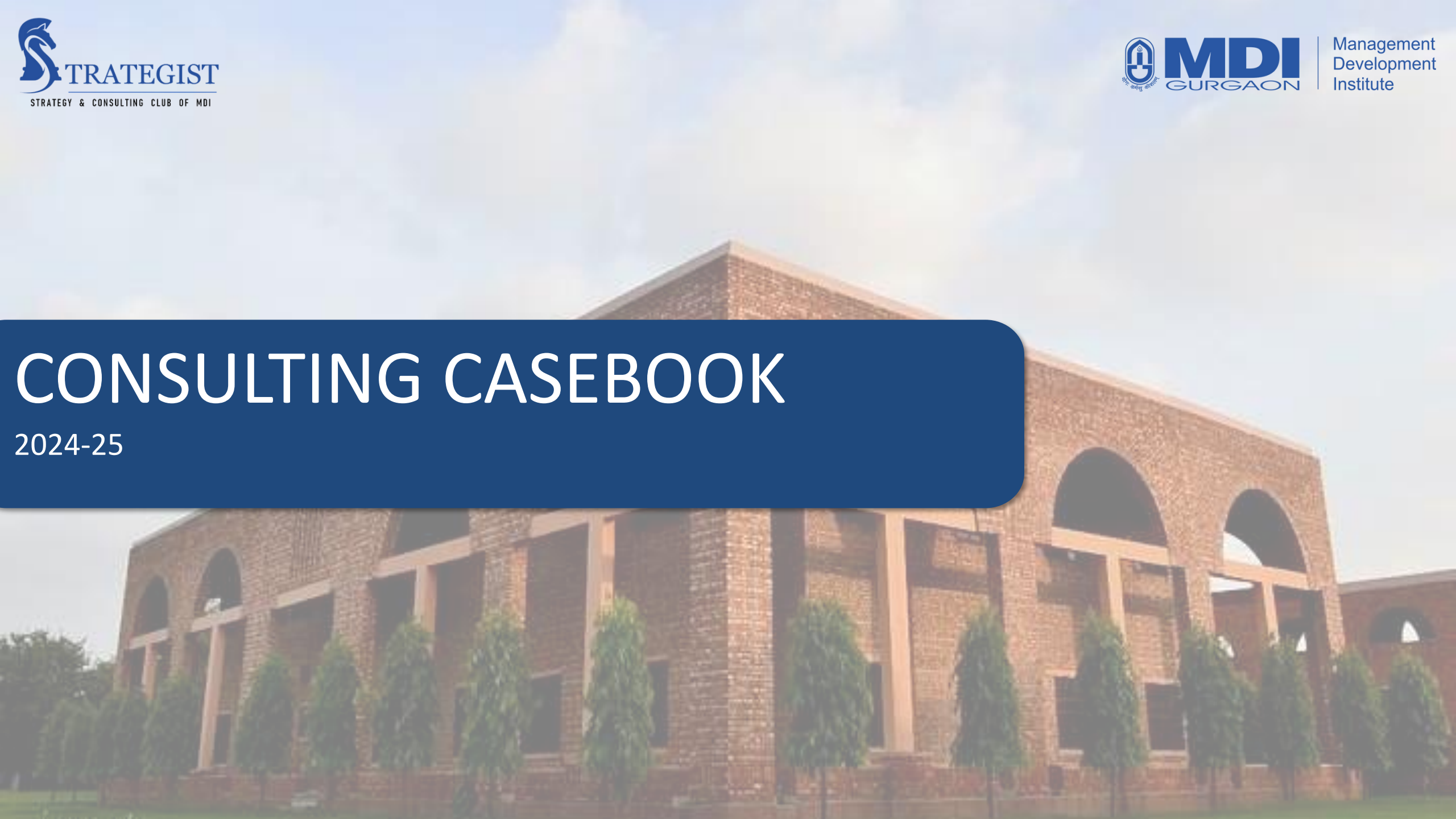




CONSULTING CASEBOOK

2024-25

Preface

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Navigation Tip:

Cases for each section progress from beginner to advanced levels.



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Consulting Primer

02

Business Concepts and Ideas

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Frameworks and Cases

04

Guesstimates

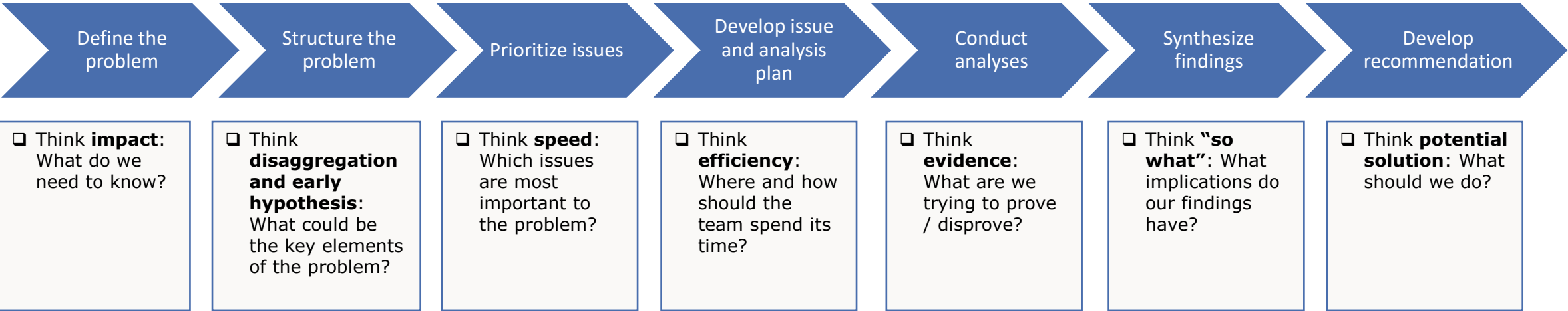


Consulting Overview

What is Consulting?

- Consulting means being “**engaged in the business of giving expert advice and recommending solutions to people working in specific fields**”
- Typical focus areas of consulting include business strategy, project and product management, organizational processes, operations management, and technology enablement

Problem solving process for a business case



How to ace consulting?

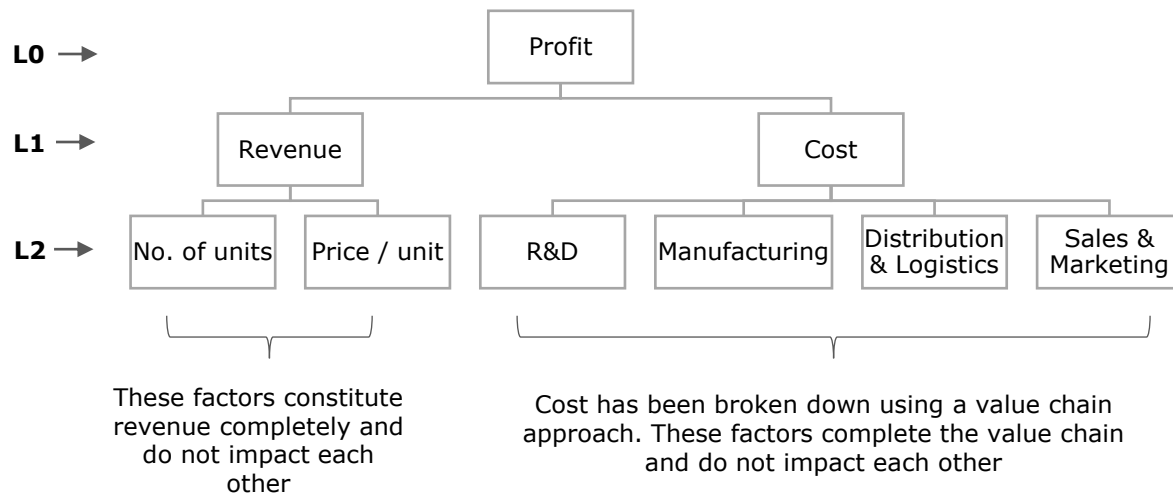
To excel in consulting, focus on expertise, problem-solving, communication, client-centricity, teamwork, adaptability, time management, innovation, presentation skills and networking



Frequently Used Concepts

MECE (Mutually Exclusive, Collectively Exhaustive)

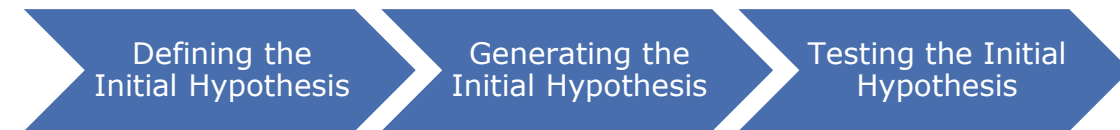
- “*Mutually Exclusive*” means that one factor does not overlap with the other and “*Collectively Exhaustive*” means that several components together complete a larger factor
- In a business case, at every level, the factors should be MECE. They should constitute (n-1) level completely & do not impact each other
- *For eg: While dividing profit, revenue and cost are the MECE factors*



 **Tip:** While segmenting, try to ensure that the number of segments is neither less than 2 nor more than 5 (3 or 4 is ideal)

Initial Hypothesis based Problem Solving

- Once the problem is structured leveraging MECE ideas, Initial Hypothesis (IH) is used
- Once the IH is verified, you can then move deeper in the analysis to focus on one (or multiple) area(s) the IH was pointing to
- If it turns out to be wrong, you would have acquired ample knowledge to arrive at the correct hypothesis



3-step process to proceed with Initial Hypothesis

80/20 Rule – The Pareto Principle (Rule)

- According to 80/20 rule (also known as the **Pareto Rule**), 20% of the factors result in the 80% of the results
- In business, it is used to identify the big fish and helps consultants filter through noise and identify high impact areas
- *For eg: 80% of the profits come from 20% of the customers*

It is important to have a good understanding of these principles as these help develop an initial hypothesis and structure the problem.



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Consulting Primer

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The 3C-P Framework

3C-P



Customers

- Identifying the Customer -
 - ✓ Customer Segments and Personas
 - ✓ Compare current customer metrics with the past
- Customer Needs
- Price Sensitivity and Willingness to Pay
- Bargaining Powers



Company

- Core Competencies – Business Line, Products and Services
- Vertical Capabilities – Sourcing and Selling
- Capital Allocation – Core Activities, R&D, CSR
- Financial Situation and Key Metrics (Ratios)
- Organizational Structure and Culture



Competition

- Number and Market Share of Competitors
- Industry Structure, Trends, Behaviour, and Best Practices
- Minimum Viable Product (MVP) and Unique Selling Propositions (USPs) of competitors and the company
- Power of Suppliers and Distributors
- Regulations & Governance



Product

- Product Specifications
- Product Positioning
- Product Differentiation – Blue Ocean, Red Ocean, or Whitespace
- Power of Substitutes
- Brand Equity of the Product – risk of brand dilution
- Product Lifecycle



The 4P Framework

4P's



Product

- Product Specifications
- Product Positioning
- Product Differentiation – Blue Ocean, Red Ocean, or Whitespace
- Power of Substitutes
- Brand Equity of the Product – risk of brand dilution
- Product Lifecycle



Price

- Price Elasticity (sensitivity) of the product
- Target consumers and their willingness to pay
- Customers' perceived value of the product
- Customers' intention to switch and ease of switching
- Historical pricing & price of the substitutes



Place

- Distribution Channels (retail, wholesale, online, omnichannel)
- Alignment of channels with company's strategy and capabilities
- Role of each of the intermediaries in the value chain
- Company's control over its distribution channel



Promotion

- Objective of Promotion – message to consumers
- Promotion Strategy: Pull vs Push
- Metrics to identify the effectiveness of campaigns
- Building long term relationships with customers
- Barriers to communication
- Budget allocated to promotion



Porter's Five Forces

Porter's Five Forces tool was created by Harvard Business School professor Michael E. Porter, to analyze an **industry's attractiveness** and likely **profitability**. The forces (as mentioned below) are used to assess market attractiveness both for **new entrants** and **existing companies/incumbents**. In general, the stronger the five forces are, the less attractive is the industry.

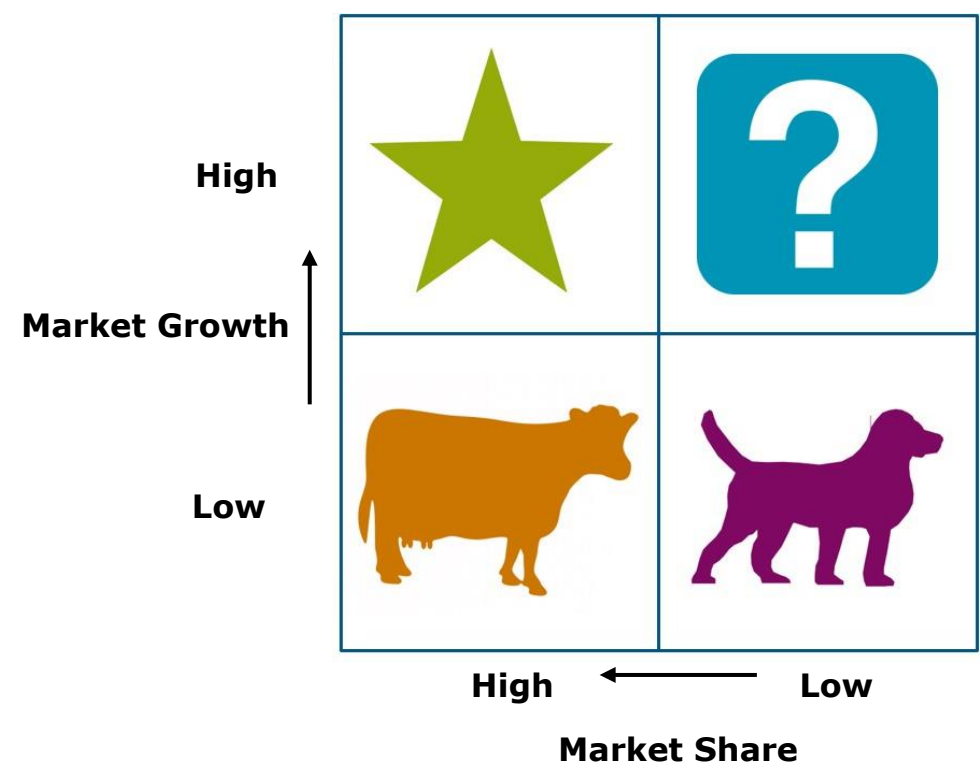
Each of Porter's Forces increases as the following factors become more prominent				
Industry Rivalry ▪ Number of competitors ▪ Size of competitors ▪ High fixed cost ▪ Lower product differentiation ▪ Brand recognition ▪ Highly specialized assets ▪ Barriers to exit	Threat of Substitutes ▪ Availability of substitutes ▪ Low switching cost ▪ Relative benefits of substitutes ▪ Higher buyer's propensity to adopt/experiment with substitutes	Barriers to Entry ▪ Economies of scale ▪ High capital requirement ▪ Product differentiation ▪ Regulatory constraints ▪ Brand recognition ▪ Hard to access distribution channels ▪ High switching cost for customers	Buyer's Bargaining Power ▪ Less number of powerful buyers ▪ Lower switching cost for buyers ▪ Substitutes' availability ▪ Low product differentiation ▪ Buyers' ability to integrate backward ▪ High price elasticity	Supplier's Bargaining Power ▪ Contribution to quality ▪ Contribution to cost ▪ High in switching cost for the company ▪ Suppliers' threat to forward integration

 **Tip:** Don't use Porter's Five Forces analysis as a forced approach to solving a specific case. Instead, you should resort to the forces with a bigger, more general framework (e.g., cost benefit analysis, market entry analysis and so on)



The BCG Matrix

Created by the Boston Consulting Group, the BCG matrix – also known as the **growth share matrix** – provides a **strategy for analyzing products according to their growth potential and relative market share.**



Tip: Use the BCG Matrix to analyze product portfolios and strategic decisions. The application can also be extended to cost analysis and new product development.

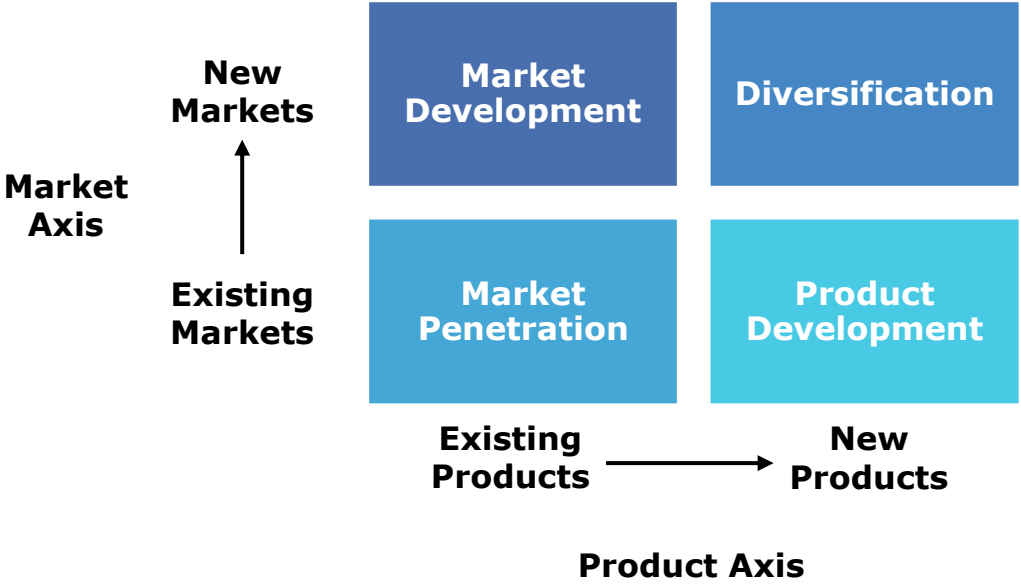
Matrix Element	Description	Strategy To Be Adopted/Action Plan
Stars	Monopolies and First to Market Products	Invest, Innovate, Improve
Cash Cows	Currently doing well with limited opportunities in the future	Strengthen and Leverage
Dogs/Pets	Weak in the markets and difficult to turn around	Liquidate and Exit
Question Marks	Uncertainties that can either becomes Stars or Dogs	Invest and push to Stars/Exit as Dogs

Example

Apple Inc. would classify the **iPhone** as a **Star**, **iWatch** and **Apple TV** as **Question Marks**, the **iPad** as a **Cash Cow**, and the **iPod** as a **Dog/Pet**.

The Ansoff Matrix

The Ansoff Matrix, also known as the **product/market expansion grid**, helps lay out **strategies for organizational growth**. The matrix posits a cost – benefit tradeoff analysis highlighting **whether the company should focus on new products or on new markets**.



Matrix Element	Description	Strategy To Be Adopted/Action Plan
Market Penetration	Increasing sales volumes to existing customers	Price Cuts, Increased Promotion, Acquisitions
Market Development	Entering new markets and selling to new customers with existing products	New Market Entry (Domestic and International), Market and Customer Segmentation
Diversification	Identifying new lines of business	R&D, Investment, M&A (Related or Unrelated)
Product Development	Develop and introduce new products into existing markets and customer bases	R&D, Development, Collaboration and Partnerships, Inorganic Growth

Within the Ansoff matrix, **moving up the market axis**, and **moving right on the product axis** is an indication of **increasing organizational risk**. **New Products** and **New Markets** are always considered uncertain and hence increase the associated strategic risks.

**Tip:** Use the Ansoff Matrix to critically identify growth opportunities for the organization. Based on the organization's priorities, focus either on market or product strategies.



01

Consulting Primer

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Business Concepts and Ideas

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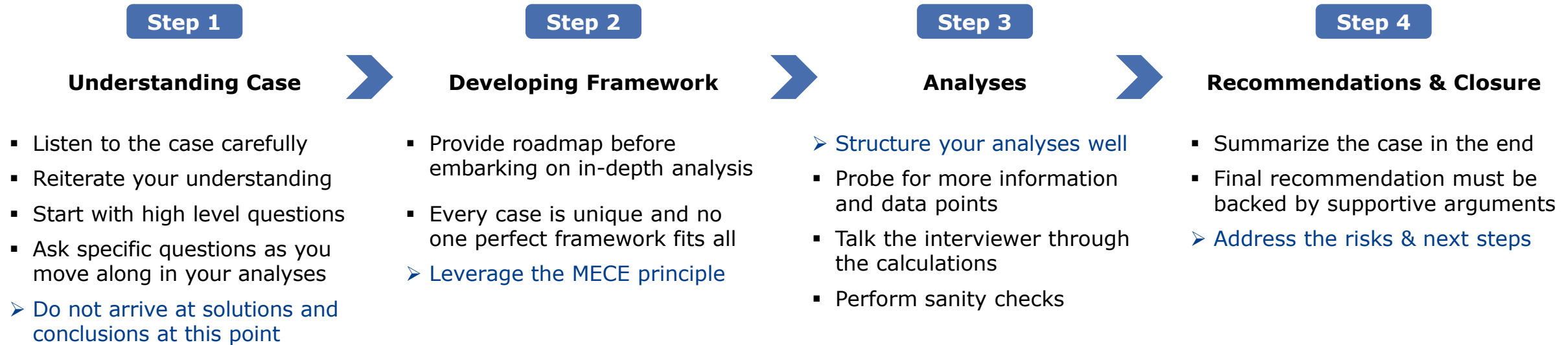
Frameworks and Cases

04

Guesstimates



Approaching Case Interviews



Dos

- Make sure to explain the reasons behind the choices
- Take time to organize the thoughts and ideas
- Be transparent about the thought process
- Make quick calculations to form & guide decisions
- Conversational skills matter - Engage with the interviewer

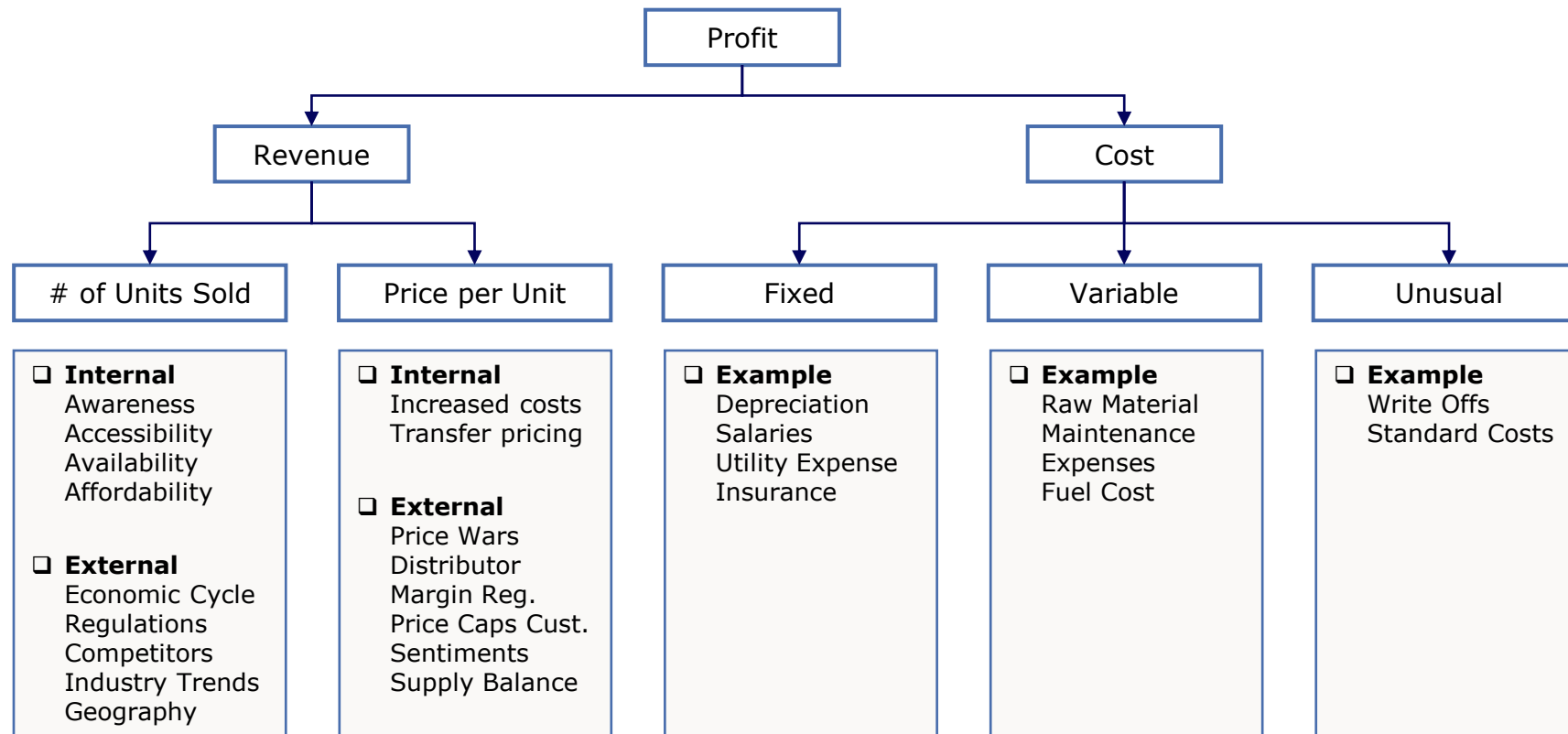
Don'ts

- Don't rush into the analysis
- Don't stick to a standard framework at all times
- Don't defend your solution at all costs; be accommodative
- Don't assume that a case that sounds familiar



Profitability Framework

Framework



• Split Profit into Revenues and Costs as per the framework and dig deeper into each driver

• For Costs, clearly lay out the value chain of the process to ensure you do not miss out on any factor

For Revenue, in addition to volume & price, also look at the product mix

• Fixed and variable cost based approach might not be MECE, leverage the value chain analysis in such cases

Basic accounting principles of costing and allocations might come in handy while analysing costs in detail

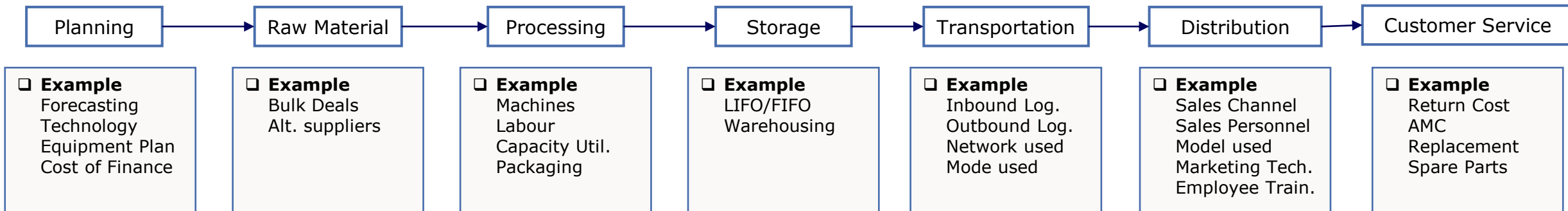
High Level Analysis

- ☐ Reiterate the problem to have a clear understanding of the case
- ☐ Use the 3C-P framework to develop ideas about the customer, the company and its capabilities, the competitive landscape and product/product portfolio
- ☐ Understand the timelines and context better – Since when is the company facing these issues? Is it an industry wide trend or is it specific to the company?



Profitability Framework

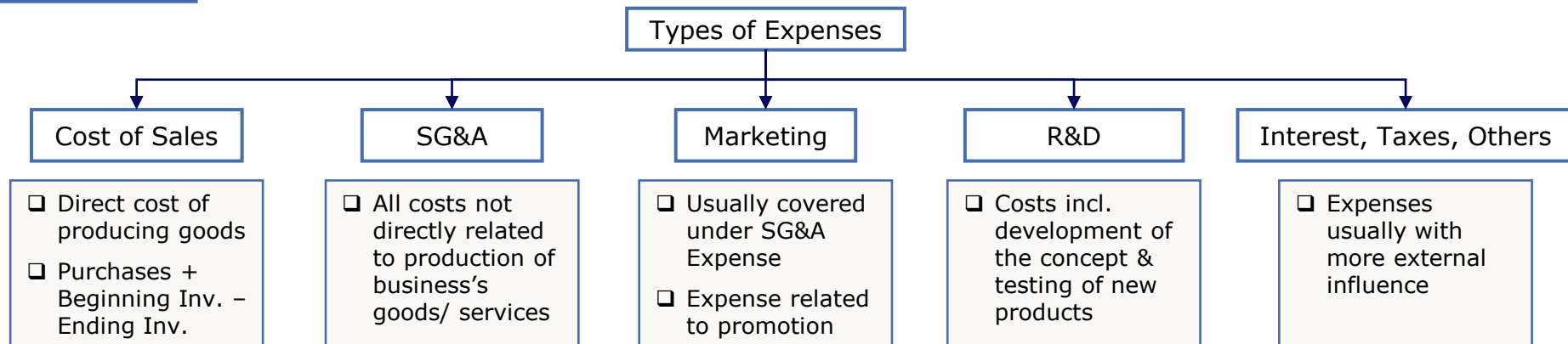
Value Chain Approach



High Level Analysis

- ❑ Value chain approach is an exhaustive way of looking at costs involved in a product/service
- ❑ The idea is to split costs from the time of Raw material procurement to Customer service.
- ❑ This level of analysis can be done for both products & services.

P&L Approach





Profitability Case 1: Ice Cream Manufacturer

Industry	Manufacturing
Level	Beginner

Prompt: Your Client is a Mumbai based Ice-Cream manufacturer. They are struggling with their profitability and have approached you to analyze their problem. You need to identify the key issues and come up with recommendations.

Sure! I would like to start by understand more about the company. Is it only the manufacturer or the seller as well? Is it a franchise or an independent self run business? And what customers does it target?

It is an independent self run business. It is both in the manufacturing and selling business. The target customers can afford mid to premium price range products.

Is the problem specific to the client or is it an industry wide problem?

The problem is specific to the client.

Can I also have an idea about the timelines? Since when are we facing this issue?

The client has observed this issue since past 2 months.

Have there been any price cuts in the product categories?

No. The prices have remained the same.

Okay. My understanding is that there could be two aspects to the issue. One is the demand side that could be affecting the revenue and other is the cost side. Since ice cream has seasonal/cyclic demand, has the profitability issue come up due to these fluctuations? Are we looking at a low demand period?

No, the demand is as expected, like in the previous years. It is the peak of summer, so the demand is high.

Understood. Then it could be an issue with the rising cost of production. I would like to explore the costs. It could be fixed costs like rent of the store, cost of raw materials, cost of new utilities for manufacturing or salaries of the employees. Has any of these increased?

Before I tell you that, could you walk me through the value chain of our client?

Sure. The value chain for an ice cream manufacturer could be - Raw Material Procurement & Supplier >> Inbound Logistics >> Manufacturing >> Outbound Logistics >> Distributors >> Retailers >> Customers

That's good. How would you assess the demand for ice-cream?

We can use historical data to forecast the demand, accounting for variations.

And based on this forecast you would be placing your order to your suppliers. Where in the value chain do you think demand forecasting and placement of order would take place?

It would be at the beginning of the value chain.

Yes. It is at the beginning. Go ahead with your analysis.

From supply side, we can consider the issues like availability of raw materials, issues with inventory management, availability of vendors, and capabilities of employees to handle large customer base. The client could have also bought additional utilities for a forecasted rise in demand.

Manufacturing costs have remained the same and employees are able to handle the customer demand.

Okay. I would then start with inbound logistics and move ahead. The major raw material for ice cream is milk. Wrong demand forecast could lead to excess supply of milk. Since the milk has a short shelf life, there could be wastage of milk, leading to additional costs and decreased profits.

Alright. Can you think of other external reasons as why wastage of milk could be on the rise?



Profitability Case 1: Ice Cream Manufacturer

Industry	Manufacturing
Level	Beginner



Other reasons could be the transportation time of milk being hired – leading to bad product reaching the client. It’s also possible that there might be wastage arising out of spillage of milk if the inbound logistics are not robust.

Yes. You have arrived at the solution. Two months ago, the company had switched the milk vendor and it was taking more time for the milk to reach the destination and as a result, the milk was going bad, as you have rightly pointed out. Can you also tell me a few KPIs to benchmark the operational capabilities of the client?

Sure. The KPIs could be delivery time, shipping time, shelf life of the product, order accuracy, and inventory turnover.

Okay. Thank you. We can close the case here.



Profitability Case 1: Summary

Prompt: Your Client is a Mumbai based Ice-Cream manufacturer. They are struggling with their profitability and have approached you to analyze their problem. You need to identify the key issues and come up with recommendations.

Case Facts	Interviewee Feedback	Approach
Problem Area Company Specific Timeline Past 2 months Affected by Internal/External factors Internal Revenue Trend Constant Revenue Cost Trend Increased - Raw materials and manufacturing costs have remained stagnant - Existing employees are able to handle the current demand - Inbound transportation time has increased	What Went Well? - Concentrated and to the point clarifying questions - Quickly switching to value chain analysis - Customization of value chain based on interview flow Common Mistakes - Direct assumption that demand might be a problem considering seasonality - Ask more questions about costs before directly splitting into fixed & variable	The diagram illustrates the value chain for Profitability. At the top is 'Profit'. It branches into 'Revenue¹' and 'Cost'. 'Revenue¹' further branches into 'Price' and 'Quantity'. 'Cost' branches into 'Forecasting', 'Raw Material²', 'Logistics', 'Manufacturing³', 'Distributors⁴', and 'Retailers⁴'. 'Logistics' further branches into 'Inbound' and 'Outbound⁴'.
Recommendations		Uninvolved Branches
Conclusion: Recent change in the client’s logistic partner caused the delay in delivering milk that resulted in wastage and in turn increase in costs Short Term Recommendation - Work with an existing delivery partner to analyse the reason for the delay – route, distance, operational efficiency Long Term Recommendation - Explore switching to a different delivery partner - Increase investment in logistic management		- As the demand and price were constant, neglecting revenue side analysis “No issue with the availability of Raw Material” – mentioned in the case itself & Interviewer wanted to go one step before raw material sourcing - Manufacturing costs remained the same - Not been explored in the case



Profitability Case 2: Chemical Manufacturer

Industry	Manufacturing
Level	Beginner

Prompt: Your Client is a chemical manufacturer company which produces chemical used in food preservation. The client has been observing decline in profits since the past 3 years. How can you help them identify the root cause & recommend next steps?

Okay. I would start with enquiring about the overall industry. How many competitors are there in the industry? What market share does the client hold? Is the problem of declining profits specific to the client or is it across the entire industry?

The client has increased their market share from 30% to 40% over the last 2 years. The number of competitors have been on a decline as the issue of declining profitability is across the entire industry.

Great! Profitability is defined as the difference of revenue and cost. I would focus on the revenue first.

Go ahead.

Revenue further can be split as average revenue per order multiplied by the volume of orders. Do we have any information about the change in these 2 metrics?

The revenue per order has declined whereas the total volume of orders have increased recently. The overall market including the client's business is on a downwards trend due to changing consumer behaviour.

Got it. So the entire market is declining but we are declining at a lower pace than the market, hence the rise in our market share as compared to competitors.

Yes. That is correct.

Alright, next I would like to understand about the costs. Have the costs changed for the client?

The costs have remained constant.

Okay. So let's go back to the revenue. You mentioned that the overall industry is on a decline due to changing consumer behaviour. Could this be due to the rising awareness of healthier food alternatives which has caused consumers to shift away from foods which use alternative preservatives?

Yes, that is correct.

Since the market is on a decline, what about the makers of such food? Have they also experienced a decline? If yes, have they been forced to lower prices?

Yes, the revenue of food manufacturers is also declining. Since they hold a strong leveraging power, they have been able to renegotiate a new contract with reduced prices of raw materials.

Okay. So due to renegotiated prices, the revenue per order of the client has declined and the costs have remained same. This has contributed to the decline in profitability.

That is correct. What would you recommend to the client?

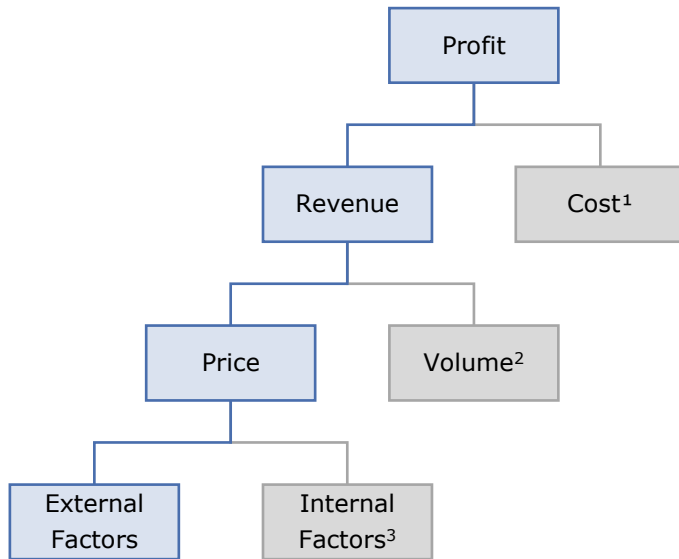
So, my recommendations would be to analyse the costs first. If there is any possibility to further reduce costs, that would help the client increase their profitability. If not, the client should work with other competitors to renegotiate contract prices to raise prices of chemical products.

The client can also diversify their product portfolio and reduce the over-reliance on food preservatives industry. The client can look for synergies in other industries which require such chemicals and venture into those possibilities.



Profitability Case 2: Summary

Prompt: Your Client is a chemical manufacturer company which produces chemical used in food preservation. The client has been observing decline in profits since the past 3 years. How can you help them identify the root cause & recommend next steps?

Case Facts	Interviewee Feedback	Approach
▪ Problem Area Industry Specific ▪ Market share Increased market share from 30% to 40% over last 2 years ▪ Revenue Trend Decline in revenue ▪ Cost Trend Constant costs ▪ Total number of orders have increased ▪ Rising awareness of healthier food alternatives ▪ Food manufacturers have renegotiated to reduce prices of raw materials ▪ Client’s decline rate is slower than industry rate	What Went Well? ▪ Comprehensive questions ▪ Quickly asking about revenue and cost sides ▪ Relating the increase in market share to client’s decline rate being slower than industry rate Common Mistakes ▪ Not splitting price into different branches ▪ Quickly jumping on possible reasons without evaluating all the options	 <pre>graph TD; Profit[Profit] --> Revenue[Revenue]; Profit --> Cost1[Cost¹]; Revenue --> Price[Price]; Revenue --> Volume2[Volume²]; Price --> External[External Factors]; Price --> Internal[Internal Factors³];</pre>
Recommendations	Uninvolved Branches	
Conclusion: Food manufacturers due to decreased revenue have renegotiated to reduce prices of raw materials due to which the revenue of the client has declined Short Term Recommendation ▪ Analyse and reduce costs to increase profits Long Term Recommendation ▪ Lobby with competitors to raise the prices of chemical preservatives ▪ Diversify portfolio and look out for opportunities in other industries	1. As the costs were constant, neglecting cost side analysis 2. The total volume of orders has increased and hence, does not contribute to lower profitability 3. Since the problem of declining revenue was industry specific, the internal factors while evaluating decrease in prices was neglected	



Profitability Case 3: Cooking Oil

Industry	FMCG
Level	Beginner

Prompt: Your Client is India's major cooking oil processing and packaging company. It has observed a reduction in its operating profits. Can you find out why this is and come up with suitable recommendations.

Sure! I would like to start with few questions to get my understanding right. For how long has the client experienced declining profits?

The company has been seeing a decline since the past 6 months.

Okay. Have our competitors also faced a similar decline in profits? If yes, there could be external factors impacting the profits. Otherwise, it could be an issue specific to our client.

No, only our client is facing this issue.

And what other businesses is the client into? Are those businesses also impacted?

The client is also into other FMCG products. But let us focus on their cooking oil business and the potential problems they are facing.

Okay I will begin my analysis by breaking down profits for the business into its component parts: Revenues and Costs. Based on where the issue lies, I would like to look at various internal and external factors. Does this sound okay?

Yes, sure go ahead.

Have we noticed any declining trend in the revenue?

No. The sales have continued to grow but as sales have increased, the profits have declined steadily.

Okay. So there appears to be an issue with the cost. I will look at the steps in the value chain and narrow down the possible areas where the costs may be rising. For a cooking oil producing company, the value chain can be broken into raw material procurement, processing, packaging, storage, distribution and retail. Additionally, there will be logistics between these processes. Is there any step that I am missing and you would like me to focus on?

No, you've mostly got it covered. You can focus on the packaging aspect because traditionally, the producer has packaged the cooking oil in 1 litre packets. Recently, in response to demand from the market, the producer purchased a machine that packages the cooking oil in plastic gallons of 2 litres each.

Okay, this is interesting. The machine could be a one-time investment which should be recovered with time. However, as you mentioned, we are facing a steady decline in profits with the rise in sales. So, we might not be making profits on the packet of oil we are selling. The contribution margin could be negative. Can I know the price at which we are selling the 1 litre packet and the 2 litre gallon?

For 1 litre packet, the company is charging ₹150. For 2 litre gallon, the producer figured he would provide an incentive to buy by selling them at ₹270 per gallon.

How was the cost of the new equipment accounted for in the price?

The producer has raised the price from ₹120 to ₹150 for the one litre packet.

Okay but the increase in price have not impacted the sales. In fact, the sales have increased. What about cost of packaging? Does it cost the same to package the cooking oil in packet as it does in gallons?

Well, not really. For the gallon we use a superior quality and higher quantity of plastic. Also, we had to hire more experienced labour to operate the machine because it is more complicated than the packaging machine. We figured that because the demand was higher for the gallons – we would cover our costs through increased volume.



Profitability Case 3: Cooking Oil

Industry	FMCG
Level	Beginner

How are we calculating the overhead costs?

All costs for the factory are added together and divided by the number of units produced.

This looks like an issue with cost allocation. The price of the plastic gallons should be higher due to higher costs of packaging. Now we need to see to what extent this is affecting the profits.

Sure. Go ahead with your assessment.

What is the split between sales of 2 litre gallon versus 1 litre packets?

From the time the 2-litre gallon has come into the market, people are preferring that over the packet. Of the overall sales volume, the 2-litre gallon's contribution is 60%.

Even though it costs more to package in the gallons, yet the price is not higher on a per litre basis. In fact, it's lower. Therefore, more the 2-litre gallon we sell, the more would be the decline in profits.

Yes, that is an excellent observation. What do you recommend?

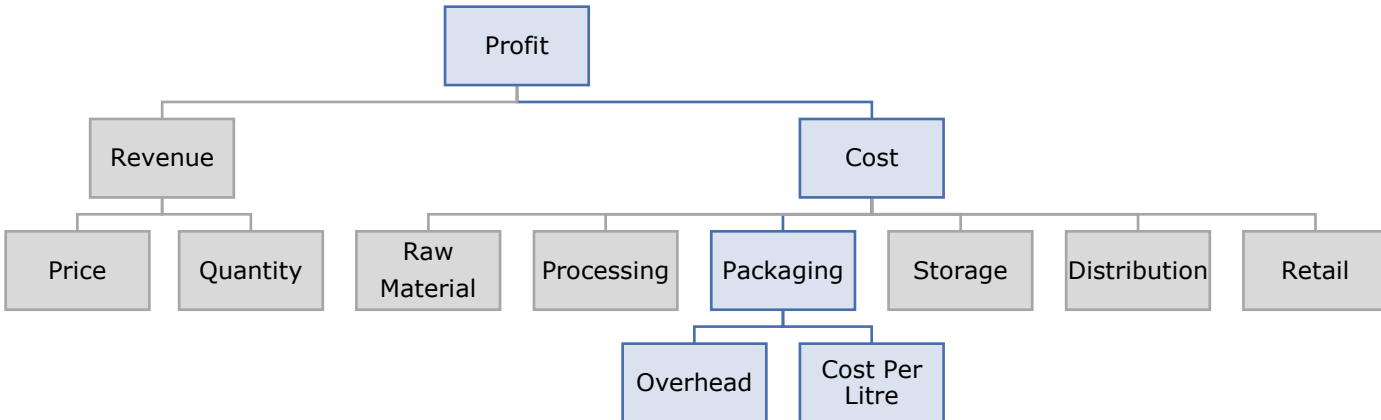
The price on per litre basis for the gallon packaging should be higher than that of packet packaging. The gallon packaging is providing additional value to the customer in terms of storage functionality and people would be willing to pay extra for the same. To arrive at the optimal price points, the company should revisit its cost allocation strategy. Evenly distributing the cost is not the right approach. They should perform activity-based costing and allocate the overheads and direct expenses to both the products separately.

Thank you for your recommendation. We can close the case here.



Profitability Case 3: Summary

Prompt: Your Client is India’s major cooking oil processing and packaging company. It has observed a reduction in its operating profits. Can you find out why this is and come up with suitable recommendations?

Case Facts	Interviewee Feedback	Approach
▪ Problem Area Company Specific ▪ Timeline Past 6 months ▪ Revenue Trend Increasing sales ▪ Cost Trend Increased- New equipment installed, experienced labour hired, costly raw materials used ▪ Overhead costs: Total costs in the factory / No . of unit produced ▪ 2-litre packet has contributed 60% of the sales volume	What Went Well? ▪ Concentrated and to the point clarifying questions ▪ Quickly switching to value chain analysis and confirming with the interviewer for any missing step Common mistakes ▪ Getting derailed with the FMCG business	 <pre>graph TD; Profit[Profit] --> Revenue[Revenue]; Profit --> Cost[Cost]; Revenue --> Price[Price]; Revenue --> Quantity[Quantity]; Cost --> RawMaterial[Raw Material]; Cost --> Processing[Processing]; Cost --> Packaging[Packaging]; Cost --> Storage[Storage]; Cost --> Distribution[Distribution]; Cost --> Retail[Retail]; Packaging --> Overhead[Overhead]; Packaging --> CostPerLitre[Cost Per Litre];</pre>
Recommendations		Uninvolved Branches
Conclusion: The new prices are lower on a per litre basis given that packaging costs have increased. Short Term Recommendation ▪ People would pay extra for the gallon packaging as it provides additional value to the customer. Hence its price on per litre basis should be higher than packet packaging’s price ▪ Revisit cost allocation strategy and allocate overheads and direct expenses to both packaging individually Long Term Recommendation ▪ Zero-based budgeting can be explored		1. As suggested by the interviewer during the case discussion, neglecting revenue side analysis 2. Not in the scope of the case discussion as the interviewer wanted the interviewee to focus only on the packaging side



Profitability Case 4: Pump Manufacturer

Industry	Manufacturing
Level	Beginner

Prompt: Your client is a pump manufacturer and is experiencing declining profits for the last 3 quarters. Can you please help your client to identify the root cause and suggest some action plan?

Sure! First I would like to understand a bit more about client's business. Can you give some more information about the same?

The client is only a pump manufacturer dealing in B2B business.

Is this an industry-wide problem or only related to our client? Has there been any significant change in the market for the client?

No, it's only related to our client. The industry is growing at 45%, but our client is growing at only a 10% rate.

Thanks. Can you give the percentage decline of the client in comparison to our competitor?

Cost has remained constant. Revenue increase observed with only a 10% rate.

I would like to break profit into revenue and cost. Should I go with revenue analysis first?

Sure, go ahead.

I would divide revenue into the number of units, price, and product mix. Does our client have any information about these factors related to the decline or decreased growth rate?

The price point is as per market trends. No change has been observed in the product mix. The number of units sold has not been increasing as per other competitors.

To understand the sales decline, I'll focus on the following parameters: availability, acceptability, awareness, and affordability. Has there been any notable change related to product availability and affordability?

The sales team ensures product availability through existing distribution channels.

Have there been changes related to product awareness and acceptability?

Yes, the company recently began targeting larger industrial clients, where we've noticed a low acceptance rate, mainly due to our sales team's lack of product knowledge.

It seems the issue might be the sales team's inability to effectively communicate product features to this new segment due to a lack of in-depth product knowledge.

That seems accurate. Our sales team struggles to engage large-scale clients who demand detailed product information. What would you recommend?

In the short term, training the sales team to improve their product knowledge will help them better engage with large-scale clients. For the long term, I suggest increasing product awareness through digital marketing and industry expos, targeting the new market segment.



Profitability Case 4: Summary

Prompt: Your client is a pump manufacturer and is experiencing declining profits for the last 3 quarters. Can you please help your client to identify the root cause and suggest some action plans?

Case Facts	Interviewee Feedback	Approach
Problem Area Company Specific Timeline Last 3 quarters Affected by Internal/External factors Mainly Internal Revenue Trend Increased at a low rate (10%) Cost Trend Constant Industry Growth rate: 45%	What Went Well? - Concentrated and to the point clarifying questions - Focus on detailed product information - Understanding the impact of the sales team on product awareness Common Mistakes - Neglecting the sales team's knowledge gap as a factor - Not distinguishing between product availability and product knowledge	<pre>graph TD; Profit[Profit] --> Revenue[Revenue]; Profit --> Cost[Cost]; Revenue --> Price[Price]; Revenue --> Quantity[Quantity]; Quantity --> Affordability[Affordability]; Quantity --> Availability[Availability]; Quantity --> Accessibility[Accessibility]; Quantity --> Awareness[Awareness]; Cost --> Overheads[Overheads]; Cost --> Fixed[Fixed]; Cost --> Variable[Variable];</pre>
Recommendations		Uninvolved Branches
Conclusion: The primary issue lies in the sales team's product knowledge, impacting the acceptance rate of products in new market segments Short Term Recommendation Sales Team Training: - Enhance product knowledge and communication skills of the sales team - Conduct training programs to better engage with large-scale industrial clients Market Research: - Understand specific needs and expectations of the new market segment - Align product features and marketing strategies accordingly Long Term Recommendation - Exploring digital marketing and product development		- As suggested by the interviewer during the case discussion, neglecting cost side analysis - There has been no change in the pricing of the products, so it is not a factor in the declining profits. - The product mix remains as per market trends with no significant changes observed, indicating it is not a major contributor to the problem.

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Profitability Case 5: Chinese Footwear Retailer

Industry	Retailing
Level	Intermediate

Prompt: Your Client, CSM Sports, is a Chinese footwear retailer attempting to establish a profitable presence in the European market. Since they arrived six years ago, they have struggled to achieve their profitability goals. How can you help them identify the root cause and recommend next steps?

Sure! To reiterate my understanding of the case, a Chinese footwear company is struggling to achieve its profitability goals in the European Market and we have to find the reason for the same and advice on how to go about achieving the desired profitability results. Is my understanding correct?

Yes, absolutely.

I would like to understand more about the products the client sells.

Sports shoes are the client's major source of revenue. They also sell flip flops and sandals.

Where are these products manufactured?

They are manufactured in China itself.

Okay. How are the sport shoes priced? Are they premium products?

The footwear is sold in the European market at an average price of around €50. It is in line with the mid-tier competitors.

I would also like to understand the external factors a little. How is the footwear market doing and if there have been any disruptions in the industry/market?

The market is stable and in recent times there has not been any economic downturn. There hasn't been any disruption in the industry either.

Since we know the average price, I would first like to look at the revenue. Do we have information on how the footwear is sold? Is it sold in online or offline stores?

The footwear is sold only in the offline stores. There are six stores across different cities. Out of the six stores, 4 are located in the malls/supermarkets. The other two stores are flagship stores, located in prime locations with higher footfall. You can do market sizing for the footwear sales. You need not go into the details of the exact locations of these stores.

Average Sales in the Mall/Supermarket based Stores – 1000 items/day
Average Sales in the Flagship stores – 4000 items/day

Based on these data points we can calculate the yearly revenue for the company.
Total Revenue = $365 \times 50 \times (4 \times 1000 + 2 \times 4000) = \text{€}219 \text{ Million}$

Ok, that's good. We already have a number for total yearly cost. It was €225 Million for the previous year. Can you look at the drivers for the cost and revenue one by one to identify the scope for improvement?

I would like to start my analysis with the costs. Per my understanding, manufacturing cost is one of the primary cost. Do we have information if manufacturing processes are efficient? Is there scope for improvement?

The company is manufacturing at the cheapest possible rate. What next?

How about the labour cost? Can we reduce that?

No. Labour in China is already cheap and cannot be reduced further. What next?

Next is the shipping cost. How are we shipping the products from China to Europe?

Currently we are shipping through air.

Can we look at alternative option like shipping through sea routes?

Yes, shipping through waterways will bring down the cost. However, that is not a concern for the company. Can you look at other costs?



Profitability Case 5: Chinese Footwear Retailer

Industry	Retailing
Level	Intermediate

Yes. Next I would like to look at the rent. Since the flagship stores are located in prime locations, the rent must be high. Is this the case? If so, is it possible to shift them to different locations to reduce this fixed expense?

No that is not possible. Those are required for marketing purposes.

Talking about the mall stores, since the sales are lower can we get away with them and have more flagship stores?

No, the mall stores are strategically functioning with expansion plans. We have almost covered the cost. Let's see if we can do anything on the revenue front.

Okay, sure. Revenue consists of price and sales volume. Can we change our price? How price sensitive is the European customer?

No, the company does not want to change the price point. Increasing prices will reduce the sales, while reducing price will not solve the profitability issue.

Looking at the sales volumes, can we have online channels for increasing sales?

The company does not want to invest in online channel, at this point in time.

Alright. How does customer perceive our products? Do they consider them trendy? Since the company is based out of China, there is a possibility that it might not be producing at per the latest trends in Europe.

Yes, recently the company has identified that the European customers feel that the footwear colours are very basic and lack variety.

So this can be a primary reason for not meeting profitability goals. Product innovation needs to be looked at. Another important factor could be the in-store experience of customers. Can the staff be better trained to deal with customers.

They are already well trained. It is the product that needs work. You have nearly covered all the aspects. Can you summarize your findings and recommendations?

Sure. Currently the client is making an yearly loss of €6 Million. To address this, we looked at the costs and revenue. On cost side, I would recommend changing the shipping mode from air to water. Sea routes are less expensive and allow each shipment to carry larger product volumes compared air-routes.

On the revenue front, I would recommend rigorous customer study, R&D and product development. This would help the client increase its sales volume and achieve profitability. The client can also look at online selling and hope to reach a wider customer base.

Excellent! Thank you for your recommendations. We can close the case here.



Profitability Case 5: Summary

Prompt: Your Client, CSM Sports, is a Chinese footwear retailer attempting to establish a profitable presence in the European market. Since they arrived six years ago, they have struggled to achieve their profitability goals. How can you help them identify the root cause and recommend next steps?

Case Facts

- Problem Area**
Company Specific
- Timeline**
6 Years
- Affected by Internal/External factors**
Both, but mainly internal
- Cost Trend**
Constant but higher than Revenues
- Cost sides have remained constantly high and the current revenue is unable to match up
- European Customers feel product is not up to the mark and can be improved

Interviewee Feedback

What Went Well?

- Focus on numbers, calculation of yearly revenue figures
- Thinking on the go, once the interviewer asked for more reasons

Common Mistakes

- No clear structure of segregation of costs, eventually it was the value chain approach, however the back and forth could have been avoided
- When product was identified as the problem, a sales recommendation wasn't in line with the discussion

Recommendations

Conclusion: CSM sports is currently making a loss of 6Mn, which is attributed to lack of product innovation, quality & features.

Short Term Recommendation

- Change the marketing strategy of the product focusing on the minimalist audience where something basic might appeal to the customer base

Long Term Recommendation

- Invest in R&D, Consumer surveys & Product development
- Shipping mode change from air to water, since sea routes are cheaper

Approach

Profit

Revenue

Price¹

Quantity

Cost

Manufacturing²

Labour²

Distribution

Air³

Sea Routes

Retail⁴

Online

Offline

Uninvolved Branches

1. Client does not want to change the pricing strategy and wants to target the mid-tier European market.

2. Both are as cheap as possible, no scope of cost reduction

3. Existing strategy depends on Air travel, which is a costly and non-volume supportive distribution strategy

4. Client does not want to move into online space yet

Revenue Calculation

Type	Avg. Price	Avg. Units	No. of Stores	Yearly Revenue	Yearly Cost
Supermarket	50	1,000	4	219 Mn	225 Mn
Flagship	50	4,000	2		

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Profitability Case 6: Polyfilm Manufacturer

Industry	Manufacturing
Level	Intermediate

Prompt: Your client ABC Poly Ltd. is a polyfilm manufacturer. The revenue has increased by 10% YoY but the profits have declined. Please help them identify the root cause and suggest next steps.

First, I would like to begin by understanding the business, what exactly is polyfilm manufacturing?

Polyfilm manufacturers specialize in producing versatile plastic layers/films tailored for diverse packaging applications.

Are there any specific regions client operates in?

No, the client has a pan India presence.

Is the decline in profitability an industry wide issue or specific to our client?

Yes, all major manufacturers are facing the same issue.

Who are the key customers in the market? Is our client for B2B or B2C or both?

In B2B, the main buyers are usually companies in the packaging sector, while in B2C, customers typically purchase plastic for use in automobiles.

Is the mentioned problem prevalent in both the segments? Do we have any information regarding the revenue and cost breakdown for the segments?

In the last fiscal year, total revenue amounted to ₹550 million. B2B revenue constituted ₹300 million, and B2C revenue accounted for ₹250 million. The previous year's figures were ₹500 million, ₹320 million, and ₹180 million, respectively.

At first glance, it appears that the problem is related to the revenue generated from the B2B segment. Does the cost structure also contribute to the mentioned issue?

The issue is with a decline in revenue for the B2B segment.

I would like to explore both number of units, and revenue per unit for the B2B segment. Should I go ahead?

Sure, go ahead.

Starting from number of units, I would want to look into the demand and supply side.

The issue is with demand but can you take another approach to identify the issue? Think from a general perspective.

I'd like to look at macro-economic factors at play here. There are 6 lenses I'd consider, i) Political, ii) Economic, iii) Social, iv) Technological, v) Environmental, & vi) Legal. I will analyze these from the perspective of the manufacturer and not the shipment companies as they are the ultimate decision-maker on choice of port.

No there has been no recent change in any of the above factors related to industry.

Is it that there are substitutes in the market that are taking up our share?

There are certain artificial materials available in the market but that is not the main issue.

Considering that all competitors are encountering difficulties, could this be attributed to the entry of a new player in the market?

Yes, a recent entrant has begun offering the material at more affordable prices to the automotive players leading to decline in revenues from the B2B segment. Could you please provide some recommendations to tackle the situation?

Sure, we can offer discounts or incentives for B2B customers who make bulk purchases. Provide flexible and extended payment terms for B2B clients to ease their cash flow concerns. This can encourage larger order sizes and increase overall revenue.

Excellent. We can close the discussion here.



Profitability Case 6: Summary

Prompt: Your Client is a Mumbai based Ice-Cream manufacturer. They are struggling with their profitability and have approached you to analyze their problem. You need to identify the key issues and come up with recommendations.

Case Facts	Interviewee Feedback	Approach
▪ Problem Area Industry wide-issue ▪ Timeline Last fiscal year ▪ Affected by Internal/External factors Both (mainly external) ▪ Revenue Breakdown 1. B2B: ₹300 Million 2. B2C: ₹250 Million ▪ Cost Trend Not specified directly, but profits have declined ▪ Revenue Trend Increased by 10% YoY (from ₹500 million to ₹550 million)	What Went Well? • Clear understanding of the business context • Effective identification of key issues related to demand • Consideration of macro-economic factors and their impact Common Mistakes • Focusing too much on internal factors without considering external competition • Neglecting the impact of new market entrants • Overlooking the specific needs and concerns of B2B clients	<pre>graph TD; Profit[Profit] --- Revenue[Revenue]; Profit --- Cost[Cost]; Revenue --- Price[Price]; Revenue --- Quantity[Quantity]; Quantity --- Demand[Demand]; Quantity --- Supply[Supply];</pre> The diagram is a profitability tree. At the top is 'Profit'. It branches into 'Revenue' and 'Cost'. 'Revenue' further branches into 'Price' and 'Quantity'. 'Quantity' branches into 'Demand' and 'Supply'. 'Cost' is shown as a separate box to the right of 'Revenue'. 'Price' and 'Supply' are shown as separate boxes to the left and right of 'Quantity' respectively. The boxes for 'Revenue', 'Quantity', 'Demand', and 'Profit' are light blue, while 'Cost', 'Price', and 'Supply' are light grey.
Recommendations	Uninvolved Branches	
Conclusion: The primary issue is the decline in revenue from the B2B segment due to the entry of new competitors offering more affordable products Short Term Recommendation • Offer discounts or incentives for B2B customers who make bulk purchases Long Term Recommendation • Provide flexible and extended payment terms for B2B clients to ease their cash flow concerns. • Strengthen customer relationships through enhanced customer service.	1. Discussion on cost structure irrelevant as the issue is on revenue side for B2B.	



Profitability Case 7: Electric Motors

Industry	Automotive
Level	Advanced

Prompt: The client is an Indian conglomerate which manufactures electric motors. Since the last 3-4 years, profitability is below the industry average. Diagnose the problem and recommend solutions.

Sure! First, I would like to reiterate the problem to make sure that I am understanding it correctly. So the prompt is that the client is an Indian conglomerate which manufactures electric motors. Since the last 3-4 years, profitability is below the industry average. I need to diagnose the problem and recommend solutions. Is profitability the only problem for the firm?

Yes, that is correct.

I would like to start by asking a few initial questions. Which geography is the company situated in?

The company has 3 manufacturing plants - 2 in North India and 1 in West India.

Which part of the value chain does the company operate in?

The client's firm is only involved in manufacturing.

Do we have any data regarding the competition and the market share of the company?

You can assume that the client is one of the top players.

What does the product portfolio look like?

The client manufactures electric motors used in heavy motors (40%), engineering parts (40%) and in power plants (20%).

Since the profitability is going down, we can start by looking at the revenue and cost. Do we have any data about either of these?

The revenue has not changed but the cost has increased.

Since the cost has increased, I would like to look at the different heads under cost. We can do this by looking at the value chain. Cost can be broken down as R&D -> Procurement -> Production -> Storage & transportation.

That looks good.

We can further segment it as: Under R&D, there would be tech support and training support. Under procurement, it would be supplier and cost of raw materials. Under production, it would be machine efficiency and labour costs. Under storage & transportation, it would be inventory costs, transportation and wastage during transportation. Should we look at these one by one?

No, this looks good. The problem is with cost of raw material going up.

We can look at some external and internal factors in that case. Would you recommend going down this path?

You can look at what constitutes the major raw material for electric motors.

The major raw materials for electric motors would primarily be steel and copper wires. Do we have any information regarding the costs for these?

Yes, the cost for copper wires has gone up by 30-35%. Can you come up with some recommendations?

We can use aluminium wires which are a cheaper alternative and better predict the demand for our product and accordingly buy copper when it is cheaper.

Alright. Any financial instruments that can be used in this case?

Candlesticks and charts.

Sounds good. We can close the case here.



Profitability Case 7: Electric Motors

Industry	Automotive
Level	Advanced

Prompt: The client is an Indian conglomerate which manufactures electric motors. Since the last 3-4 years, profitability is below the industry average. Diagnose the problem and recommend solutions.

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Alright. Any financial instruments that can be used in this case?

Candlesticks and charts.

Sounds good. We can close the case here.



Profitability Case 7: Summary

Prompt: The client is an Indian conglomerate that manufactures electric motors. Since the last 3-4 years, profitability is below the industry average. Diagnose the problem and recommend solutions.

Case Facts	Interviewee Feedback	Approach
▪ Problem Area Industry Specific ▪ Timeline Last 3-4 years ▪ Revenue Trend Constant revenue ▪ Cost Trend Increase in cost ▪ Client has 3 manufacturing plants in India ▪ Client’s firm is only involved in manufacturing ▪ Product portfolio – motors used in heavy motors (40%), engineering (40%) and power plants (20%) ▪ Cost of raw material has increased by 30-35%	What Went Well? ▪ Comprehensive questions ▪ Quickly asking about revenue and cost sides ▪ Dividing the cost into different branches and sub-branches Common Mistakes ▪ Not listing down recommendations in points and not splitting them as short-term and long term	<pre>graph TD; Profit --> Revenue¹; Profit --> Cost; Revenue¹ --> RnD²; RnD² --> Technical support; RnD² --> Training support; Cost --> Procurement; Cost --> Production²; Cost --> Storage_and_transportation²; Procurement --> Raw materials; Raw materials --> Supplier³; Production² --> Machine efficiency; Production² --> Labor; Storage_and_transportation² --> Inventory; Inventory --> Wastage_during_transportation;</pre>
Recommendations		Uninvolved Branches
Conclusion: Increase in costs due to an increase in the cost of copper wires which is one of the major raw materials for electric motors. Short Term Recommendation ▪ Use aluminium wires since they are a cheaper alternative to copper wires ▪ Better demand forecasting and buying copper according to demand Long Term Recommendation ▪ Use financial instruments like candlesticks & charts to purchase copper		1. As the revenue was constant, neglecting revenue side analysis 2. Since the interviewer mentioned that the problem was specific to procurement, neglecting other branches 3. Since the problem was specific to raw material cost going up, neglecting other sub-branches under procurement



Profitability Case 8: Hospital Chain

Industry	Healthcare
Level	Advanced

Prompt: Your Client is the owner of a Hospital chain. Lately there has been a decline in their profits. Figure out the reasons and suggest possible solutions

Sure! I would like to start by understanding more about the client. How many hospitals does our client own and is the problem on an overall level or with a particular hospital?

The client owns 4 multi-speciality hospitals across the country. The problem is with just one of the hospitals.

Okay, can you tell me some more facts about the hospital. Where is it located and what type of population segment does it cater to?

It is located in a semi-urban area of Delhi and caters mostly to the middle to high income population segment

Understood. Also, can I get an idea since when has this problem started?

We have seen this declining trend for the past 2 years.

Got it. To further deep dive on the issue, I'd like to split profitability into revenue & costs. Any particular head that you would like me to start with?

Costs have largely remained the same or grown as per expectations. It's the revenues that have seen a decline.

Sure, delving into revenues first, which can be divided into revenues from patients which would include surgery, medical check-ins etc and revenue from non-patient driven activities like Research & academic activities.

It's the patient driven revenue which has declined. Can you briefly discuss what you mean by this segmentation?

Sure. Surgical revenue includes the charges on performing surgeries, which mostly forms the bigger chunk of revenues. Medical patients are the ones who undergo regular check ups and stays in the hospital. Others include food, medicine revenue

Okay we are seeing a reduction in the first two buckets. 3rd one is largely self explanatory.

First, starting with the surgical revenues, these can be divided into No. of Surgeries x Cost/surgery. Do we know if either of the metrics has seen a decline? And secondly, in terms of medical patients, it depends on no. of days of stay.

We are seeing a decline in the No. of surgeries that have happened in our hospital and on the second point, try thinking deeper

For the decline in surgeries there, we can then analyse the awareness, accessibility, affordability & customer experience factors of our hospital in terms of medical patients, it could also depend on occupancy rate.

So there has been lately some negative reviews regarding our post-op care, which has led to patients either getting their surgeries done in other hospitals & clinics.

This actually might also be the reason why there is a decline in occupancy rate of beds given that the industry has a high word of mouth effect. There can be couple of ways to counter this. Internally we can work on improving our own Post-op care team, by identifying potential gaps and seeing where there has been an issue. Externally, we can market the positives and conduct surveys over social media to highlight this change more emphatically.

Thanks. You can close the case now.



Profitability Case 8: Summary

Prompt: Your Client is the owner of a Hospital chain. Lately there has been a decline in their profits. Figure out the reasons and suggest possible solutions.

Case Facts	Interviewee Feedback	Approach
▪ Problem Area Company Specific ▪ Location Semi-Urban area ▪ Revenue Trend Decreasing ▪ Cost Trend Not Necessary ▪ Middle to high income segment ▪ Problem persisting for the past 2 years ▪ Standalone issue with 1 hospital	What Went Well? ▪ Identifying the issue being standalone and not consolidated ▪ P&L-based split for revenues ▪ Ability to think on two fronts simultaneously Common mistakes ▪ Intimidated while bifurcating the revenue split/branches for a technical industry ▪ Not producing answers when asked for alternate solutions	<pre>graph TD; Revenue[Revenue] --> PatientDriven[Patient Driven]; Revenue --> NonPatientDriven[Non Patient Driven]; PatientDriven --> SurgeryRevenue[Surgery Revenue]; PatientDriven --> MedicalRevenue[Medical Revenue]; NonPatientDriven --> Others[Others¹]; SurgeryRevenue --> NoSurgeries[No. of Surgeries]; SurgeryRevenue --> CostSurgery[Cost/Surgery]; MedicalRevenue --> OccupancyRate[Occupancy rate]; MedicalRevenue --> NoDaysStay[No. of days of stay²]; Others --> AdditionalFood[Additional Food]; Others --> Medicine[Medicine]; NoSurgeries --> Accessibility[Accessibility]; NoSurgeries --> Affordability[Affordability]; NoSurgeries --> Awareness[Awareness]; NoSurgeries --> CustomerExperience[Customer Experience];</pre> Uninvolved Branches The case specifically talks of revenue side analysis hence no costs are analysed here. 1. Ancillary revenues were not asked to analyse 2. No. of days reflected a decline because of low occupancy rate.
Recommendations		
Conclusion: The drop in revenue was for both Surgical & Medical patients, and this was majorly driven by consumer experience decline which suggested a poor post-operation (post-op care) Short Term Recommendation ▪ Train the staff appropriately and maintain a strict quality check for the time being ▪ Benchmark the best post-op clinics and hospitals and identify gaps to fill Long Term Recommendation ▪ Market the new changes extensively and take feedback from patients		



Profitability Case 9: Private Sector Bank

Industry	Banking
Level	Advanced

Prompt: The client is a private sector bank operating in India. It has seen a drop in profitability in the past 3-4 quarters and are keen to turn around the numbers to achieve their goal. Identify the root causes and recommend solutions

Sure. Just so I have understood the problem correctly, the client is a private sector bank and has seen a drop in profitability in the past 9-12 months. Our objective is to identify the causes and recommend solutions.

Yes, that's correct.

Before I proceed, I need to understand the business and industry a bit better, so would like to ask few preliminary question for clarity.

Sure, Go ahead.

I'd like to start by understanding where the client is located at and where all do they serve geography wise? Also is the problem being faced in any particular branch or on an overall level.

The client is based out of Mumbai, but has operations Pan-India. It has a strong presence in the southern and western markets. The problem is not from a branch perspective. You can look at the company as a whole.

Do we have any data on how the competitors have faired in the similar time period?

All major players have taken a hit however the client has seen more drop in profits than any competitor.

Okay, so to start with, we can split profitability drivers into Revenue and costs and I can move forward with the Revenue analysis.

Before you do that, could you list out the typical revenue and cost heads for a bank?

Sure. For a bank, revenue is typically earned from Interest income and other income and the major cost heads include Interest expense, Operating expense and Provisions & Contingencies.

Good, you can proceed with the revenue-side analysis.

Since we have already broken the revenue into interest income & other income, do we have any data or indication as to what may have declined?

The interest income has grown according to projections. It's the share of other income which has decreased. Could you first list down some of the ways in which banks generate this income?

That would be transaction based fees and charges, advisory services charges, commission charges for selling other financial products

What exactly do you mean by commission charges?

Banks usually provide services but they also act as distributors for financial products like mutual funds & insurance products, on which they earn commissions. For eg, in the mutual fund industry, Banks have to register with AMFI separately as a distributor and disclose commission amounts, which is usually a % of the AUM.

The commission revenue has declined for the bank.

Do we have split of product type, so as to ascertain where the commissions have declined?

The decline is evenly spread out across products. What else could be the reason?

If the product is fine, then there might be an issue with the way the product is being sold. Do we know of the cross selling techniques being used by the client?

We do not have that particular information, however we know that the client recently shifted from a 100% in house cross selling team, to a 50% in-house and 50% outsourced team.



Profitability Case 9: Private Sector Bank

Industry	Banking
Level	Advanced

This could be one of the reasons for decreased cross-selling. The newer teams might be taking more time to adjust to the working methods and there might also be a lack of follow-ups on cross-selling.

Those seem like fair reasons. How would you solve them?

I'd look into the training programs of our in-house team as well as the outsourcing team. Usually with vendors, the onus on training is on them, but if we can train them according to a systematic plan and divide the manpower capacity. It can help adjust to the problem quickly. Also have a set of protocols to be followed by each distributor.

Good. You can move to the cost side analysis.

Sure. As previously mentioned, the cost of a bank can be divided into Interest expense, operating expense & provisions. Any indication which metric has gone up?

Before moving ahead, could you briefly tell me what all these cost factors are?

Interest expense is the interest being paid out by the bank (on deposits), operating expense includes your rent, power, electricity, marketing expenses, admin expenses, employee expenses & Provisions included the money kept aside for non-performing assets.

Okay, Operating expenses have actually decreased and interest expense have remained similar to previous years.

Sure, then the problem narrows down to Provisions and Contingencies for the client. Has there been any regulatory ruling regarding the increase in the % to be set aside for provisions?

You are correct about the Provisions part, but is it merely a mandatory requirement?

Oh, yes I missed the management discretion angle for determining the provisions.

That's alright, we have seen for the past few quarters all banks have been a little more safe with their loans, considering a high default rate expected.

That's probably the reason why management of not just the client but also competitors felt the same and increased provisions leading to a cost hit.

Suggest some ways to counter this cost increase.

This can be looked at purely from Risk management perspective. The client needs to split its portfolio across products, across geographies, across customer types to minimize risk of default. There can also be investment in the collections side to support the risk management initiatives for the client.

Sure, Thank you. You can close the case here.



Profitability Case 9: Summary

Prompt: The client is a private sector bank operating in India. It has seen a drop in profitability in the past 3-4 quarters and are keen to turn around the numbers to achieve their goal. Identify the root causes and recommend solutions

Case Facts	Interviewee Feedback	Approach
▪ Problem Area Company Specific ▪ Timeline Last 3-4 Quarters ▪ Revenue Trend Declining ▪ Cost Trend Increasing ▪ Client has pan India operations with strong foothold in southern & western markets ▪ Competitors also faced similar issue of margins however client had a bigger hit ▪ Both revenue and cost being affected	What Went Well? ▪ Interviewee seemed to have some level of comfort with the banking sector ▪ Ability to quote examples ▪ Maintaining composure even when missed out on an obvious answer (Management based discretion on Provisions) Common mistakes ▪ Could have asked more preliminary questions to understand the case better ▪ Recommendations could be split into short- and long-term solutions	<pre>graph TD; Profit[Profit] --> Revenue[Revenue]; Profit --> Cost[Cost]; Revenue --> InterestIncome[Interest Income¹]; Revenue --> OtherIncome[Other Income]; Cost --> InterestExpense[Interest Expense²]; Cost --> OperatingCosts[Operating Costs²]; Cost --> Provisions[Provisions & Contingencies]; OtherIncome --> TransactionFees[Transaction Fees¹]; OtherIncome --> AdvisoryFees[Advisory Fees¹]; OtherIncome --> Commission[Commission (Distributor)]; Provisions --> ManagementBased[Management Based]; Provisions --> RegulatoryBased[Regulatory Based³];</pre>
Recommendations		Uninvolved Branches 1. All the revenue streams were in line with the requirement/management goals 2. They either remained the same or decreased in the past 3. No mention of any regulatory changes
Conclusion: The decrease in revenue was due to a fall in cross-selling and the increase in costs was due to increased provisions made by management Short Term Recommendation • Train the cross-selling agents for a short-term solution. • Assess the need for high provisions every quarter and accordingly manage risks. Long Term Recommendation • Design a training program to ensure a smooth transition between agents		



Profitability Case 10: 24/7 Store

Industry	Regular
Level	Advanced

Prompt: You have been approached by the owner of a 24/7 store selling all regular daily use items established in Gurgaon. The 24/7 store is all over Gurgaon and has been in business for the past 4-5 years and amongst the top 1-2 brands. However one particular store is facing reduction in profits for the past 6 months. What would you recommend?

Okay just to clarify, I have been approached by the owner of a 24/7 store established in Gurgaon. The 24/7 store is all over Gurgaon and has been in business for the past 4-5 years. However, one particular store is facing reduction in profits for the past 6 months. I need to give recommendations for that. Is my understanding correct?

Yes, please go on.

Sure. To start with, I would like to know whether this problem is persistent with all the stores available or only to our store?

So it is a problem with only our store.

Okay, so the problem may arise either from the reduced sales or due to increased costs.

Let us focus first on the sales side. You can assume costs to be same for the time being.

Sure. The revenue generated from sales is a product of the ticket size multiplied by the number of customers. Is there any one aspect I should focus on or should I explore both the aspects for the analysis.

Let's focus on both the aspect for the analysis of this case.

Sure. Let us analyze the number of customers first. Has there been a recent problem due to which accessibility to the place has been affected?

No nothing like that, we are present on google maps as well as have a good offline connectivity.

Okay, is there any problem with affordability of the items with respect to customers.

As I said that we were market leaders before this, so affordability can not change in the past 6 months only.

Okay got it. So is there any problem with the promotional side recently maybe due to budget cuts or something?

Yes. The visibility has decreased significantly because we have reduced promotional budgets. However this is only 1 aspect of the problem as the profit decrease is higher and this cannot be the only reason.

Okay then I will focus on the ticket size of the products brought as well. Is there a decrease in that?

Yes, the average value of the order has decreased. What do you think can be some of the reasons for the same?

Few of the issues I can think of right away can be with the type of products we are selling or maybe the customers are switching to healthy foods etc.

No, we have been selling for the past 4-5 years. I don't think this is a problem.

Is there any problem with the perception of our products because sometimes low prices as compared to the competitors can generate a negative image?

Yes, actually recently we ran a discount campaign in which we offered significantly high discounts. However, due to the campaign our high priced products are standing still in the shelves.

Yeah so these items results in lesser ticket size and the customers switching to competitors.

Great, can you think of any other reasons that the number of customers may be decreasing?



Profitability Case 10: 24/7 Store

Industry	Regular
Level	Advanced

Another reason maybe the advent of apps like blinkit.

Well we are on blinkit too, any other reasons?

An in-store less footfall may be due to attitude of the salespeople and cashiers there

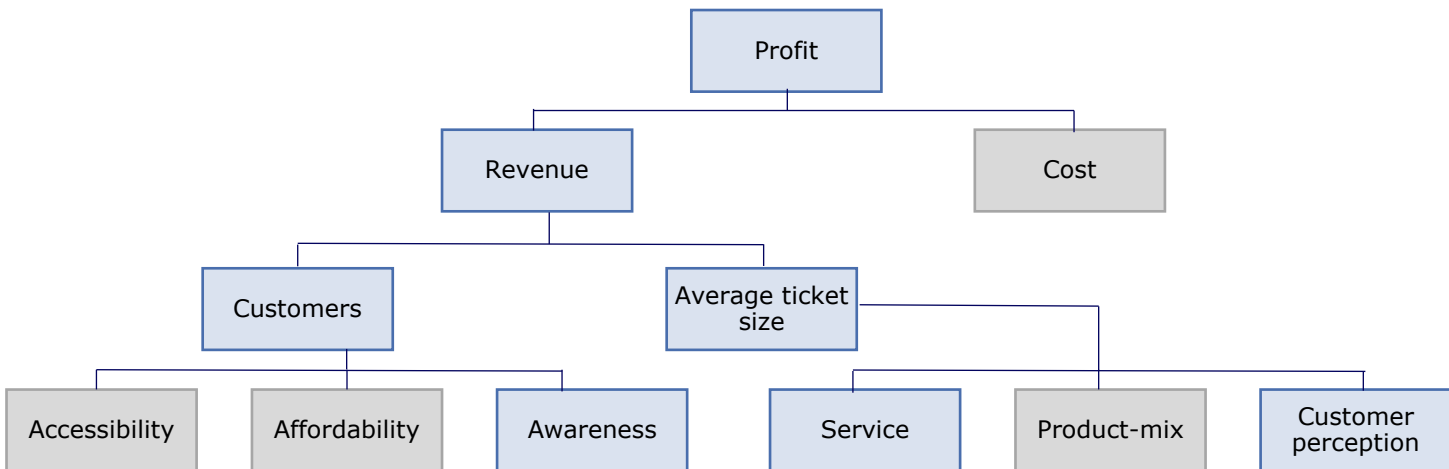
This can be another reason, right. Ok what are your suggestions then??

Ok I will recommend increasing promotional and marketing budget for the next phase of operations, increased training for the workforce and competitive pricing for the products to prevent any negative commotion around them



Profitability Case 10: Summary

Prompt: You have been approached by the owner of a 24/7 store selling all regular daily use items established in Gurgaon. The 24/7 store is all over Gurgaon and has been in business for the past 4-5 years and is amongst the top 1-2 brands. However, one particular store is facing a reduction in profits for the past 6 months. What would you recommend?

Case Facts	Interviewee Feedback	Approach
▪ Problem Area Store Specific ▪ Timeline Last 6 months ▪ Affected by Internal/External factors Mainly Internal ▪ Revenue Trend Decreasing ▪ Cost Trend Assumed Constant ▪ Store Visibility Decreased due to reduced promotional budgets	What Went Well? • Clear differentiation between store-specific and chain-wide issues • Focusing on both the sales side and customer numbers • Identifying the impact of promotional activities on visibility and sales Common Mistakes • Not considering the specific issues faced by the store • Assuming cost changes without the data	 <pre>graph TD; Profit[Profit] --> Revenue[Revenue]; Profit --> Cost[Cost]; Revenue --> Customers[Customers]; Revenue --> ATSA[Average ticket size]; Customers --> Accessibility[Accessibility]; Customers --> Affordability[Affordability]; Customers --> Awareness[Awareness]; ATSA --> Service[Service]; ATSA --> Product-mix[Product-mix]; ATSA --> Customer-perception[Customer perception];</pre>
Recommendations		Uninvolved Branches 1. Cost Structure: Assumed to be constant for the time being, hence not a primary focus 2. Chain-Wide issues: The problem is specific to one store, not affecting the entire chain

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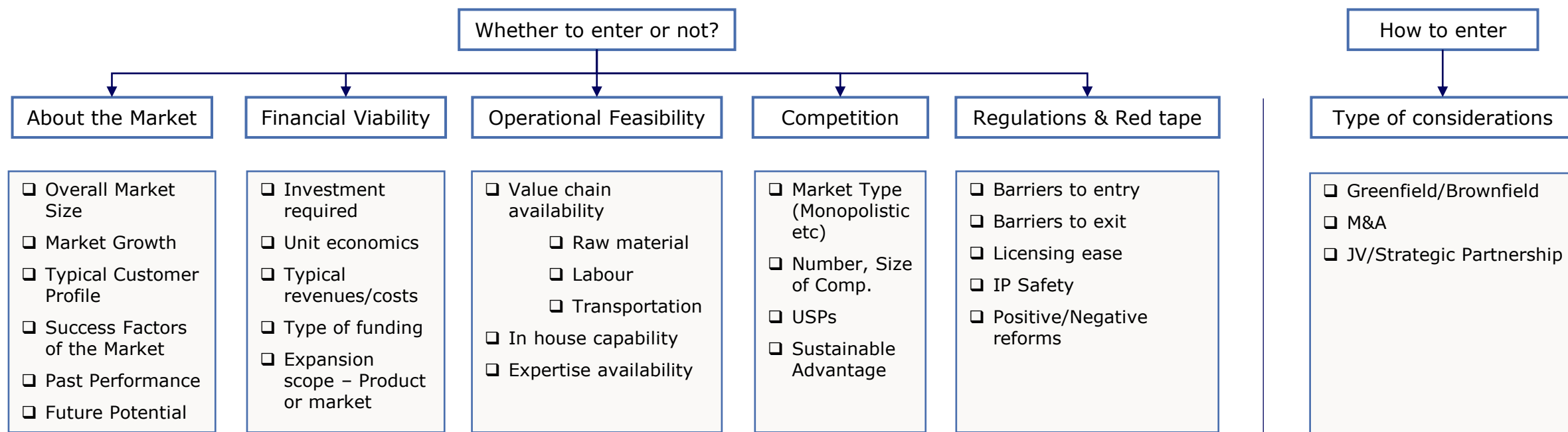
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Market Entry Framework

Framework

Application of MECE principle on Market entry cases is dependent on answering 2 major questions- Can you enter the new market? and if yes, then how?



High Level Analysis

- Reiterate the problem to have a clear understanding of the case
- Understand the motives of the market entry and keep them in mind throughout the case – essentially reaching the market entry target is important
- Additional considerations whilst deciding whether to enter or not, should also include company's internal resources as well as past expansions
- Candidates can use the framework – Industry, Company, Customer & Competition framework



Market Entry Case 1: E-Commerce

Industry	E-commerce
Level	Beginner

Prompt: Your Client is a US based E-commerce giant and as part of their expansion strategy, they are looking to enter the same business in the Philippines market. You are advising them on this activity. How should they go about it?

Just to reiterate the case understanding, our client is US based E-commerce giant, and they are looking to enter the same business in the Philippines market, and we have to advise them on how to go about it?

Yes, precisely.

Alright. I would like to begin by asking a couple of clarifying questions before I get into the analysis and recommendations.

- 1) What is our client's business model?
- 2) Why Philippines?
- 3) What are their objectives post entering this new market?

Well they are like any other E-commerce chain and have been in business for the last 15 years. Why Philippines, because the market has shown a tremendous growth of 40% in the last 2 years. However not all players have seen the same kind of growth. The primary objective is to breakeven in the first year & then grow in the subsequent years.

Alright, understood. I would break this problem into 3 parts. First, I would check if the entry into the Philippines market makes economical sense or not. Next, if it does, I would like to explore the different entry modes looking at our client capabilities and the country's dynamics. Finally, I would be looking at the go to market strategy for our client.

Alright, that sounds good. So you can begin with your first analysis then.

Sure. So, for assessing whether the entry makes business sense or not, I would like to look at the current market size of Philippines and also the competitive landscape. Do we have some data on that?

Yes, we do have some data related to that (Refer Annexure)

After performing the financial analysis it seems that it does make economic sense to enter the market.

Alright, that's good. You can proceed and discuss about the modes of entry.

So broadly we could look at 3 ways of entry. Standalone, Merger/Acquisition or a Joint Venture. Has the client performed some primary analysis related to the market dynamics of Philippines?

Yes. So based on the client's primary analysis there are two major barriers to entry. 1) Stiff Competition 2) Govt orders to levy more taxes on non-indigenous companies to give local firms greater operational flexibility.

Alright, that would make a standalone entry difficult to pursue, since we would be at a disadvantage compared to the existing firms and higher tax rates would eat into our profits. Moreover, the client does not have any experience of marketing in Philippines. Do we have data on the possibility of an acquisition or a JV?

Yes. Company PQR is not eager to go into any partnership. They have launched physical e-stores with cashless payments facility and goods takeaway capabilities. Company XYZ has not done much in terms of marketing. It had gained a lot of market share at the time of its advent in Philippines owing to the lower prices offered as compared to Company PQR. However, now they are bleeding money due to lower margins and are open to joint business options.

Alright, so based on the facts you provided it seems that going with company XYZ either through a Merger/Acquisition or JV route makes more sense. They have a strong position in the market with 40% market share but they are bleeding money at the same time and are open to a joint business opportunity. By partnering with XYZ, we can gain a significant market share right away and achieve the breakeven in the first year as we have planned.



Market Entry Case 1: E-Commerce

Industry	E-commerce
Level	Beginner

Alright, point taken. So, what should the go-to-market strategy for our client be?

Okay, sure.

- 1) First, as discussed, our client should go with either an M&A or a JV based strategy. Company XYZ is an ideal partner for this.
- 2) Figure out what the consumer needs are and if customers are experiencing any problems/gaps with the existing players' capabilities. The client needs to focus on addressing these pain points.
- 3) We can market using similar strategies as Company XYZ had done 4 years ago. Leverage 15 years of experience in the business while marketing.
- 4) Innovate in terms of offerings which are different and better than Company XYZ and any other offerings of any other companies. Market that innovation strongly.
- 5) Perform cost benefit analysis of opening e-stores similar to those of Company PQR and if it makes sense then subsequently open the stores to grow in the later years.

Alright, good. So, what are your final recommendations for our client, based on all the analyses done so far?

- 1) Based on the cost-benefit analyses, it is clear that our client will break even within the first year. So the client should go ahead with the launch (as financial break-even is one of the top objectives).
- 2) Further we looked at various mode of entries and conclude that going with a joint business operating model with the company XYZ is the best possible option at hand. There we would need to further look at integration challenges and other gaps that could arise.
- 3) Finally, talking about the go-to-market strategy, our client should leverage their 15 years of E-commerce business experience and innovate in terms of offerings so as to gain competitive advantage over PQR and other players.

Okay that's good. We can end the case discussion here. Thank you.



Market Entry Case 1: Calculations

Annexure 1

Potential Market Size

Philippines has a population of about of 100 Million and an internet penetration of 60%

Market Size of the competitors in the industry

Competition	Market Size (in revenue terms)	Competitor Origin	Operation duration in Philippines	Remarks
PQR	60%	Philippines	8 years	Rise in Profits
XYZ	40%	China	4 years (Total 12)	Decline in Profits

Revenue & Profit margin of the competition in this industry

Competition	Annual revenue (\$)	Avg. Profit margin (Last year)
PQR	600 Million	30%
XYZ	400 Million	20%

The overall market (in revenue terms) is expected to **grow by 40% in the next year**. And the client is expecting to capture **20% market share** this year

Price of products across all goods segments has been same for both competitors. For a start, the client can operate with a minimum of **20% profit margin**. Fixed investment cost for the client is **\$50 Million**.

Industry	E-commerce
Level	Beginner

Candidate's Calculations

Since the current market size in terms of revenues is \$ 1000 Million and it is expected to increase by 40% in the next year.

Therefore, total revenue for the next year => $1000 \times 1.4 = \$ 1400$ Million

Client's expected market share = 20%

Client's expected revenue in the next year = $1400 \times 20\% = \$ 280$ Million

Now to calculate the breakeven :

Fixed cost = \$ 50 Million

Variable cost (Considering 20% profit margin) = $280 \times (100\% - 20\%)$

= \$ 224 Million

Total Cost = Fixed cost + Variable Cost

= \$ 50 Million + \$ 224 Million

= \$ 274 Million

Since the **Total Revenue is greater than the Total Cost in the first year**, the client would be able to achieve breakeven in the first year itself.



Market Entry Case 1: Summary

Prompt: Your Client is a US based E-commerce giant and as part of their expansion strategy, they are looking to enter the same business in the Philippines market. You are advising them on this activity. How should they go about it?

Case Facts		Interviewee Feedback	Approach				
Reason for market entry Growing market Target objective Breakeven in the first year & grow in the following years Barriers to entry Stiff competition and excess tax for non-indigenous firms Market size & growth: \$1000 million & 40% Client's expected market share: 20% Costs: \$274 million - PQR uninterested in partnership; XYZ gained market share but bleeding money & looking for JV		What Went Well? - Concentrated and to the point clarifying questions - Quickly identifying points to calculate market attractiveness, feasibility and the go to market strategy Common Mistakes - Recommendations could be more concise	Market Entry	Market attractiveness	Financial feasibility	Operational feasibility	Strategy for entering
			Reason	Market size	Costs incurred by client	Regulations	Standalone ²
			Objective	Market growth potential	Break-even point	Resource availability ¹	Joint Venture
				Client's expected market share			Mergers & Acquisitions
				Increase in market share per year			
Recommendations			Uninvolved Branches				
Conclusion: Based on the cost-benefit analyses, since the client will break even within the first year it should go ahead with the launch as a joint business operating model with the company XYZ Short Term Recommendation - Invest in innovation and marketing of new product offerings - Leverage experience in marketing to produce different schemes Long Term Recommendation - Analyze the cost-benefit relationship for the possibility of opening e-stores to grow in the future years			- Resource availability has not been discussed in the case; it has been assumed that the client has the required resources to expand - Due to stiff competition and government levying more taxes on non-indigenous firms, standalone entry is difficult for the client and hence, not been discussed				



Market Entry Case 2: Luxury Yacht Manufacturer

Industry	Manufacturing
Level	Beginner

Prompt: Your Client is an Italy based multi billion-dollar luxury yacht manufacturer. Their business is majorly based in Italy, but they are seeing a decline in profitability over the past 3 years. The client has been planning to enter a new market for a while and now with this profitability problem, they have decided to enter one of the following countries: Netherlands, France, or Taiwan. The client would like you to evaluate which of these countries it should enter. How would you assist them with this exercise?

Just to reiterate the case understanding, our client is an Italy based luxury yacht giant and they are looking to enter a new market – either Netherlands, France or Taiwan owing to a decline in profitability in their domestic market, and we have to advice them on how to go about it?

Yes, that's right. Please proceed.

Alright. I would like to have a few clarifications first.

1) Why are our client seeing a decline in profitability in the Italian market? 2) What is the basis for choosing these 3 specific countries? 3) What are their objectives post entering this new market?

Well as far as the decline in profitability is concerned,

1. The overall economic downturn in Italy has caused the luxury yacht market to shrink from €4B to €2.5B over the last five years.
2. Italy implemented a new tax on luxury boats 2 years ago that has increased the costs for the client.

Each of the 3 proposed countries has a huge market for luxury yachts, similar to that of Italy, and they show good growth prospects.

Coming to objectives, there are no fixed objectives, the client just wants to increase their overall revenue as well as profitability.

Alright, understood. I would like to analyse the three potential markets both from a quantitative as well as qualitative point of view. Quantitatively speaking, I would like to analyse the market size as well as potential revenues that our client could generate in these 3 markets, and on the qualitative front I would like to analyse these 3 markets in terms of barriers to entry and the competitive landscape.

Alright, that sounds good. Go on!

Do we have any data on the market size in these 3 countries, the growth potential and what percentage the client is likely to capture?

Yes, we do have some data on this. (Refer Annexure 1)

So upon calculating the revenue over 3 years we see that France has the biggest luxury yacht market (€3B), the client's potential market share is highest in the Netherlands, and the overall revenues are highest in France (€1.73B).

Alright, that's good. So would you recommend that the client enter the France market then?

Not yet, now since we are done with the economical analysis, I would like to analyse the market entry scenario based on the qualitative aspects.

Yes, sure. Go ahead.

Alright, so I would break down the qualitative analysis in 3 aspects for each of the target countries.

- 1) I would analyse any barriers to entry from regulatory and legal points of view.
- 2) I would like to look at the competitive landscape and map out the players.
- 3) I would analyse the labour market in each of the countries, since the auto industry requires both highly skilled as well as cheap semi-skilled labour

Market Entry Case 2: Luxury Yacht Manufacturer

Industry	Manufacturing
Level	Beginner

Alright, that’s good enough for now. Do you have anything else to add?

Well, our primary analysis tells us that the client should enter the French luxury yacht market for two main reasons: first, the client’s potential revenues in France are higher than either of the other two countries.

Next, on the qualitative side, we can also look at geographical factors like - Taiwan is geographically isolated from Italy, increasing operational complexity and adding to costs. Cultural imbalance is a challenge too. So, at this point if I were to make a recommendation, the client should target the French market.

And once if we have established that entering France makes the most sense, then we could look at various modes of entry and how operational efficiency can be established.

That’s a very good analysis. Alright, I think we can stop the case here. Well done!

Annexure 1

Market	Luxury Yacht Market Size	3 year CAGR predictions	Potential Market share	Increase in market share/yr. (Absolute)
Netherlands	€2B	5%	15%	5%
France	€3B	10%	10%	7%
Taiwan	€2B	10%	10%	6%

Candidate’s Calculations

Market	Market Size * Growth Rate * Potential Market Share	Revenue (3 years)
Netherlands	€2B * 15% + €2B * 1.05 * 20% + €2B X 1.05 * 1.05 * 25%	€1.271B
France	€3B * 10% + €3B * 1.10 * 17% + €3B * 1.10 * 1.10 * 24%	€1.732B
Taiwan	€2B * 10% + €2B * 1.10 * 16% + €2B * 1.10 * 1.10 * 22%	€1.084B



Market Entry Case 2: Summary

Prompt: Your Client is an Italy based multi billion-dollar luxury yacht manufacturer. Their business is majorly based in Italy, but they are seeing a decline in profitability over the past 3 years. The client has been planning to enter a new market for a while and now with this profitability problem, they have decided to enter one of the following countries: Netherlands, France, or Taiwan. The client would like you to evaluate which of these countries it should enter. How would you assist them with this exercise?

Case Facts		Interviewee Feedback	Approach																	
Reason for market entry Declining profitability in domestic market Target objective Choose 1 out of Netherlands, France and Taiwan to enter Reason for declining profitability i.Economic downturn in Italy ii.New tax on luxury boats Market size, growth & potential market share Annexure 1 Qualitative Analysis Geographical location, operational complexity and cultural balances need to be analysed		What Went Well? - Tried to understand the reason for declining profitability in the domestic market and the respective objective in the new market - Ability to calculate the market size based on the given data of market share and future projections - Also touched on the qualitative aspects Common Mistakes - Focusing only on calculations and not considering other qualitative aspects	Market Entry	Market attractiveness	Financial feasibility	Operational feasibility	Strategy for entering													
			Reason Objective	Market size Market growth potential Client's expected market share Increase in market share per year	Costs incurred by client¹ Break-even point	Regulations¹ Resource availability	Standalone² Joint Venture Mergers & Acquisitions													
Recommendations			Uninvolved Branches																	
Conclusion : Enter the market of France as it is providing the maximum benefits both quantitatively and qualitatively Short Term Recommendation - Explore the various modes of entry (JV/organic) basis the competitive landscape of France - Decide how well the operational efficiencies could be established Long Term Recommendation - Analyze if the client could enter in the remaining markets/other new markets after getting established in France			- Financial and operational feasibility have not been discussed in the case; it has been assumed that the client has the required resources to expand - Strategy for entering has not been discussed in the case and is out of scope for this case																	
			<table><tr><th>Market</th><th>Market Size * Growth Rate * Potential Market Share</th><th>Revenue (3 years)</th></tr><tr><td>Netherlands</td><td>€2B * 15% + €2B * 1.05 * 20% + €2B X 1.05 * 1.05 * 25%</td><td>€1.271B</td></tr><tr><td>France</td><td>€3B * 10% + €3B * 1.10 * 17% + €3B * 1.10 * 1.10 * 24%</td><td>€1.732B</td></tr><tr><td>Taiwan</td><td>€2B * 10% + €2B * 1.10 * 16% + €2B * 1.10 * 1.10 * 22%</td><td>€1.084B</td></tr></table>	Market	Market Size * Growth Rate * Potential Market Share	Revenue (3 years)	Netherlands	€2B * 15% + €2B * 1.05 * 20% + €2B X 1.05 * 1.05 * 25%	€1.271B	France	€3B * 10% + €3B * 1.10 * 17% + €3B * 1.10 * 1.10 * 24%	€1.732B	Taiwan	€2B * 10% + €2B * 1.10 * 16% + €2B * 1.10 * 1.10 * 22%	€1.084B					
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Market Entry Case 3: Li-Ion Batteries

Industry	Energy
Level	Intermediate

Prompt: Your Client is an Indian renewable energy company that primarily operates in Solar and Wind Energy. They are the fastest growing private player in this market and to further expand their portfolio they are thinking of entering the Li-ion battery business. Should they enter this business and if yes, how should they go about it?

Just to clarify my understanding of the case, our client is an Indian renewable energy company that primarily operates in Solar and Wind energy. They are the fastest growing private player in this market & they are thinking of entering the Li-ion battery business. So, we need to advise them on whether they should enter this business or not?

Yes. And also if they do decide to enter, then how should they do about that.

Alright, understood. I would like to begin by asking a few clarifying questions

- 1) What is the client's current business model?
- 2) Why are they thinking of entering the Li-ion battery business ?
- 3) What are their objectives & success criteria post entering this new market?

Our client builds, owns and operates utility scale solar and wind projects that generate energy for commercial and industrial customers. As far as diversifying into the Li-ion business is concerned, our client believes that Li-ion storage solutions are the future with high integration capabilities with EVs. Their objective is to gain considerable market share (at least 20%) in the next 5 years.

Alright, understood. So, to begin with I would like to understand more about the current Li-ion market in India. There, I would look at the areas where Li-ion batteries are being used, market size, market growth and competitive landscape. Further, after assessing whether this is a good market to enter or not, I would like to explore the various modes of entry and see which would make the most sense in order to achieve the targets set by our client. Does this sound right to you? Or would you like me to explore any more domains?

Alright, that sounds good. We can proceed with this.

As I understand, in India Li-ion batteries are primarily used in EVs and as a storage solution for renewables energy such as wind & solar. Do we have data regarding the current market size of Li-ion batteries in India and its growth rate?

Yes, you're right and we do have some data regarding that. I would like you to calculate the addressable market size of Li-ion for the year 2021 based on the following data. ([Refer Annexure 1](#))

As per my calculation, the addressable market size for the year 2021 is approximately US \$ 4.7 Billion & 39 GWH. (Refer to Annexure 2 for candidate's calculation)

The growth prospects looks promising. The renewable energy market is expected to grow by 10% Y-o-Y and the expected growth in the share of EV mix is 75%. Therefore, this look like a promising market to enter and if our client can strategically enter and expand in this market, it could turn out to be a profitable venture in the long run.

Alright, now that we have established the addressable market size and proposed that the client should enter the Li-ion battery market, what would the client strategy be for this exercise?

To analyse different entry strategies, I would like to know more about the current capabilities of our client in the battery space and what part of value chain they are looking to enter?



Market Entry Case 3: Li-Ion Batteries

Industry	Energy
Level	Intermediate

Our client does not have any know-how related to Li-ion battery business as of now, and Li-ion batteries being a relatively complex business in terms of technology capabilities required, our client is looking to enter the final battery pack assembly stage of the value chain to start with, and not the cell manufacturing or RM formulation business.

Has our client performed any market study to assess the entry strategies in terms of a greenfield venture or strategic alliances/JVs?

Yes, based on the primary analysis done by our client we have two observations:

1. If they decide to enter the market organically, it will take 3 years to develop the expertise and then 1 year after that to set up an assembly plant.
2. If they decide to enter the market through an acquisition or a strategic alliance, they can essentially hit the ground running based upon the partnership.

Okay. According to me, there are 3 ways the client could enter this new business.

Option 1 – Enter organically through developing own expertise and manufacturing plant. This is going to have a long gestation period for the business.

Option 2 - They can acquire a company with the required expertise & capabilities and hit the ground running after the deal finalization.

Option 3 - They could go through with Joint Venture and look for a partner having the technical know-how, with our client providing their expertise in renewables and a strong brand name in the market.

Right. What are the advantages and risks associated with each of these options?

Sure, so we can discuss these three options one by one and see which one makes the most sense.

Option 1 (Organic Growth): The client would have the most control over their operations and better understanding of the on-ground issues. But, because it would take our client 4 years to start selling in the market, it could lead to a substantial market share loss, as we had seen previously that the market is growing rapidly.

Option 2 (Acquisition): The client would get the head start by leveraging the target's capabilities, knowledge and supplier base and would be able to enter the market right away, thus reducing the risk of losing the market share. But initial capital cost might be high, and there are possibilities of a buying the liabilities of the target company. Other risks associated M&A are also significant.

Option 3 (Joint Venture): The client could join hands with an international player with technical expertise on Li-ion batteries and save on the 3 years development time. But, acquiring the technology and recalibrating it to the Indian market would require time and capability building exercises. Moreover, there are possibilities of conflicts in operation, and growth would be slower compared to the acquisition route.

That is a comprehensive analysis. Which option would you recommend?

Looking at the potential and growth prospects of the Li-ion battery business, waiting for another 3-4 years and losing out on the market would not be advisable. Our client should therefore go with the acquisition route in my opinion.

And what should be the go-to-market strategy and what would the roadmap look like for next 10 years if the client decides to go through the acquisition route?

Going with the acquisition route, it could take one year to look for a potential target, finalize the deal, and implement it. The client could then start the production. For the initial 4-5 years, they should leverage their own expertise in the renewable energy sector, being the leaders, and focus primarily on renewable integration to gain market share and a competitive advantage. At the same time, since we have seen massive growth in the 2 & 3 wheeler EV segment in recent times, the client could focus on providing battery solution for that segment.

After gaining enough market share and brand recognition in 5 years or so, the client should expand their portfolio and enter into other applications such as the 4 Wheeler market, telecom, IOT devices an so on.

Finally in the long run, the client should look at the possibility of backward integration and develop expertise in the cell manufacturing stage as well.

That's a very good analysis. Alright, I think we can stop the case here. Well done!



Market Entry Case 3: Li-Ion Batteries

Industry	Energy
Level	Intermediate

Annexure 1 – Key Data Points

Renewables integration market	
Large-scale renewable energy capacity in India as of January 2021 (GW)	150
Annual growth of renewable energy capacity starting January 2022	10%
Percentage of renewable energy capacity linked to 2-hour battery systems	10%
Per kWh rate of battery, capex, in 2021 (USD/kWh)	\$120
Annual per kWh price reduction in battery capex	10%
Electric Vehicles market	
Number of automobiles manufactured in India	30 million
Percentage of automobiles that are 2 and 3-wheelers	80%
Percentage of automobiles that are 4-wheelers ¹	20%
Average battery size of 2 and 3-wheelers (kWh)	10 kWh
Average battery size of 4-wheelers (kWh)	35 kWh
Annual growth in the automobile manufacturing sector in India	3%
Percentage EV sales in 2021	2%
Annual growth of EV share of automobile mix	75%

Annexure 2 – Candidate's Calculations

Renewables integration market	Unit	2021
Renewable Energy Capacity	(GW)	150
Percentage of renewable energy capacity linked to 2-hour battery systems (10% of 150)	(GW)	15
Renewables' integration battery storage market size (15GW * 2Hr)	(GWH)	30.00
Per kWh rate of battery, capex, in 2021	(USD/kWh)	\$120.00
Renewables' integration battery storage market size (30 GWH*120\$/KWH)	(\$)	\$3,60,00,00,000
Electric Vehicles market	Unit	2021
Number of automobiles manufactured in India	(million)	30
No. of 2 and 3-wheelers (80% of 30M)	(million)	24.00
No. of 4-wheelers (20% of 30M)	(million)	6.00
Share of EV in the automobile mix		2%
No. of EV 2 and 3 wheelers (2% of 24M)	(million)	0.48
No. of EV 4 wheelers (2% of 6M)	(million)	0.12
Battery storage market 2&3 wheelers (0.48M*10KWH)	(GWH)	4.80
Battery storage market 4 wheelers (0.12*35KWH)	(GWH)	4.20
Electric Vehicles' Battery storage market size	(GWH)	9.00
Per kWh rate of battery, capex, in 2021	(USD/kWh)	\$120.00
Electric Vehicles' Battery storage market size	(\$)	\$1,08,00,00,000
Total addressable market size	(GWH)	39.00
Total addressable market size	(\$)	\$4,68,00,00,000



Market Entry Case 3: Summary

Prompt: Your Client is an Indian renewable energy company that primarily operates in Solar and Wind Energy. They are the fastest-growing private player in this market and to further expand their portfolio they are thinking of entering the Li-ion battery business. Should they enter this business and if yes, how should they go about it?

Case Facts	Interviewee Feedback	Approach				
About client Builds, owns & operates utility scale solar and wind projects that generate energy for commercial and industrial customers Reason for market entry High growth prospects in Li-ion storage solutions with high integration capabilities with EVs Target objective Gain market share (at least 20%) in the next 5 years Market size & growth Annexure 2- candidate's calculation	What Went Well? - Quickly identifying points to calculate market attractiveness, feasibility and the go to market strategy - Comprehensive analysis of the different mode of entry options and deciding the suitable option as per the client objective for the entry Common Mistakes - Focusing only on calculations and not considering other qualitative aspects	Market Entry	Market attractiveness	Financial feasibility	Operational feasibility	Strategy for entering
		Reason	Market size	Costs incurred by client ¹	Value chain analysis	Standalone
		Objective	Market growth potential	Break-even point	Regulations ²	Joint Venture
			Client's expected market share		Resource availability ²	Mergers & Acquisitions
			Increase in market share per year			
Recommendations		Uninvolved Branches				
Conclusion : Client should enter the market by acquiring a company with the required expertise & capabilities Short Term Recommendation - For the initial years, they should leverage their own expertise in the renewable energy sector, and focus primarily on renewable integration to gain market share and a competitive advantage Long Term Recommendation - Client should look at the possibility of backward integration and develop expertise in the cell manufacturing stage as well		- Financial feasibility has not been discussed in the case; it has been assumed that the client has the required financial capability to expand - Regulations and resource availability were not mentioned in the case and were assumed to not be obstacles during the entry				



Market Entry Case 4: Industrial AC Manufacturer

Industry	Manufacturing
Level	Intermediate

Prompt: Your client is an industrial air conditioner manufacturer. Currently, the customer sells products throughout the United States. They've asked us to look at whether they should start taking overall plant air-conditioning contracts. Should the client go into this business or not?

Just to clarify my understanding of the case, the client is an industrial air conditioner manufacturer with plants across the country. They want to explore the proposal of taking over air conditioning contracts of mills and plants. I would like to understand the business and the idea a bit more. What does a plant air-conditioning contract mean?

The client currently manufactures and sells industrial heavy duty air conditioners. Their clients are majorly industrial goods plants and mills which uses these air conditioners to create human working conditions in their plants.

Some of these mills and plants need extra manpower and training to maintain air conditioning of their units. The client wants to take over these operations under maintenance contracts which gives them recurring constant revenue and scope for more units of their make to be purchased.

That clarifies the business model and proposal. Since the client is looking to run maintenance operations I would like to understand the operational capabilities of the client which makes them think they can take over such a business.

The client currently has the highest market share (30%) in the industrial air conditioning market. By being the largest producer they have achieved highest economies of scale giving it a cost structure that is the lowest in the industry. This also gives them cheap access to every kind of AC equipment and chemicals.

They have also perfected the technique of remote monitoring air conditioners and have the minimum average plant downtime/breakdown in the industry.

So I can infer that the client will have a clear pricing advantage against the competition. Also a technology of remote monitoring will be crucial in having an upper hand in plant operations.

That is a reasonable assumption.

That clarifies the client's business and capabilities. Do we have some information on the competitive landscape and market growth in this sector?

There are 3 other national firms that manufacture and provide air conditioners. Their market shares are smaller than that of our client. The product is a commodity for these plants so it grows along with GDP which is steadily going upwards.

These factors seem to work for the client. I would like to understand from a customer point of view what they look in 3rd party air conditioning maintenance?

The cost of the operations for the customers is a small % of their total direct production costs. It is just extremely important for the customers to have minimal downtime as a plant shutdown is extremely expensive for them. They have been looking for expert operators to minimize this downtime.

My understanding is that the client can create value by taking over maintenance operations and lowering the operational cost for customers. More importantly their capabilities can minimize the downtime adding more significant value. Therefore, based on the value proposition, the client should enter into this business.

Also the client gets a running revenue stream and more exposure to problems faced in industrial air conditioning for product development.

How should the client enter the market and implement this plan?

The client's capabilities are unique in the industry and they have a favourable value proposition in their favour. They can sign exclusive third party contracts to take over managing plant air conditioning operations clubbed with making use of their products. They should initially target plants where they can leverage remote monitoring and then gradually expand.

I think we can close the case with that.



Market Entry Case 4: Summary

Prompt: Your client is an industrial air conditioner manufacturer. Currently, the customer sells products throughout the United States. They've asked us to look at whether they should start taking overall plant air-conditioning contracts. Should the client go into this business or not?

Case Facts		Interviewee Feedback	Approach				
About client Industrial air conditioner manufacturer Reason for market entry Maintenance contracts will give recurring constant revenue and scope for more units to be purchased Current client edge Highest market share (30%) in the industrial air conditioning i. Pricing advantage ii. Technology of remote monitoring Market size & growth No quantitative data given but opportunities look solid		What Went Well? - Analysis of value proposition was very detailed and coherent - Ability to understand the concepts of Annual Maintenance Contract (AMC) was reflected in the discussion Common Mistakes - Focusing solely on the standard method of addressing a market entry case could be problematic because this case required more innovative thinking than usual	Market Entry	Market attractiveness	Financial feasibility	Operational feasibility	Strategy for entering
			Reason	Market size ¹	Costs incurred by client ²	Regulations	Standalone
			Objective	Market growth potential	Break-even point	Resource availability	Joint Venture ³
				Client's expected market share			Mergers & Acquisitions
				Increase in market share per year			
Recommendations			Uninvolved Branches				
Conclusion: The client should take over maintenance operations and lower the operational cost for customers Short Term Recommendation - Sign exclusive third-party contracts to take over managing plant air conditioning operations clubbed with making use of their products - Initially target plants where they can leverage remote monitoring and then gradually expand Long Term Recommendation - Utilise the knowledge learned about industrial air conditioning issues to help design new products			- No quantitative data was discussed for understanding the market attractiveness, it has been assumed that the opportunities in the concerned segment are solid for the entry - Financial feasibility has not been discussed in the case; it has been assumed that the client has the required financial capability to expand - Since the client has the capability and resources to enter into contracts, they don't need to think about entering in any JV or alliances				



Market Entry Case 5: High-End Fashion Retail

Industry	Retailing
Level	Advanced

Prompt: Your client manufactures, import/exports and retails high-end branded apparel in the US. They are considering entering the Indian market, and you have been hired to determine whether they should enter this new market or not.

Just to clarify my understanding, our client is an American retail brand that primarily deals in high end branded apparel right through manufacturing to distributing. They are thinking of entering the Indian market. So, we need to advise them on whether they should enter this business or not?

Yes. And also if they do decide to go ahead, what should be their strategy in this entry.

Can I begin by gaining some more understanding about the client, its current capabilities in the US market and its target segment?

Our client is currently the third biggest high-end apparel retailer in the US by revenue and they have been in the business for over 50 years. The target segment for the client is individuals in the high income group.

Before I look to estimate a potential target market size for our client in India, can I know why the client wishes to enter the country?

The client has been looking at the fast growing demand for high-end fashion in the country which aligns with positive macroeconomic trends. The client also likes the opportunities in distribution and retail in the country which gives them multiple growth avenues.

Alright, understood. I would break this problem into 3 parts. First, I would check if the entry into the Indian market makes economical sense or not. Next, if it does, I would like to explore the different entry modes looking at our client capabilities and the market dynamics. Finally, I would be looking at the go to market strategy for our client.

That makes sense. Please try to analyse the economic sense in this venture using the given data ([Annexure 1](#)).

We can estimate the size of the high end market to be worth about \$200m which would grow to 220m where the client expects to capture 20% or \$44m of revenue. Do we have any information on expected costs and will this figure make sense against that?

Yes, your calculations looks good, and the client is happy to work with a revenue of \$44m in the first year.

Since we see that the market is growing at a rate of 10% and current global players are operating with comfortable margins, it does make economic sense to enter the market. Furthermore, our target group being concentrated allows us to make well directed isolated efforts making entry efforts simpler and focused.

Now if the client is happy with the economic returns in the market broadly we could look at 3 ways of entry. Standalone, Merger/Acquisition or a Joint Venture. Has the client looked into any of these options and analysed the current players in the market?

Yes the client has analysed the competitors and would like to make a standalone entry, the other players are direct competitors for the client globally. If the client does make a standalone entry, what channels should they consider for a potential go-to-market?

The client should enter the market by distributing to department stores coupled with online options, limiting costs of testing the market. Once this has proven successful, they should think about rolling out a series of brick-and-mortar stores, beginning by flagships stores for the brand which will help them position in the new market.

When going for a brick and mortar store network the client could again explore partnership options to develop a network faster.



Market Entry Case 5: High-End Fashion Retail

Industry	Retailing
Level	Advanced

The launch strategy makes sense. Could you list some major factors and risks for the client in this business.

Some of the major factors and risk that could be considered are new organizational culture compared to US and Europe, exchange rate risks, logistics times and costs.

What are some future opportunities that the client could look at to grow in the market?

So, since the client has complete control in the value chain right from manufacturing to retailing they should look at moving more parts of the value chain into India and cut down on costs. This would also allow them to provide better prices to consumers by saving on import duties. To start on this the client could also partner with local high-end designers where it would be easier to start a local value chain.

I think that satisfies me we can summarise and close the case here.

Sure, based on the economic analysis and client’s expectations on returns we identified that it makes sense to enter the market. The available information indicates that our entry strategy should be through a standalone entity.

The client should start by distributing to departmental stores and online stores to understand market behaviour before launching brick-and-mortar stores in targeted locations. We should also consider risks and opportunities associated with this venture and identify how to minimize them.

Thank you I think that sums it up well.

Annexure 1

Revenue & Profit margin of the competition in this industry

Total Revenue = \$1B

Category	Market Share
High End	20%
Traditional	30%
Value Driven	50%

Current Players in the High-End Market

Competition	Market Size (Revenue)	Competitor Origin	Gross Margin	Remarks
ABC	40%	China	45%	Steady Margins
XYZ	25%	India	10%	Dropping Margins
PQR	35%	UK	30%	Steady Margins

The overall market (in revenue terms) is expected to **grow by 10% in the next year**. And the client is expecting to capture **20% market share** in one year due to its access to high end brand retail.



Market Entry Case 5: Summary

Prompt: Your client manufactures, import/exports and retails high-end branded apparel in the US. They are considering entering the Indian market, and you have been hired to determine whether they should enter this new market or not.

Case Facts		Interviewee Feedback	Approach				
About client Third biggest high-end apparel retailer in the US by revenue and they have been in the business for over 50 years Target segment Individuals in the high-income group Reason for market entry i. Fast growing demand for high-end fashion in India ii. Positive macroeconomic trends Market size & growth potential Annexure 2		What Went Well? - Identified risks and opportunities very well and covered most of the points coherently - Developed a very effective go-to-market strategy considering the important requirements in the fashion segment Common Mistakes - Focusing only on quantitative analysis and not considering other qualitative aspects	Market Entry	Market attractiveness	Financial feasibility	Operational feasibility	Strategy for entering
			Reason	Market size	Costs incurred by client ¹	Regulations ²	Standalone
			Objective	Market growth potential	Break-even point	Resource availability	Joint Venture ³
				Client's expected market share			Mergers & Acquisitions
				Increase in market share per year			
Recommendations			Uninvolved Branches				
Conclusion: Client should enter the market as the calculated returns match their expectations and should focus on a standalone entry Short Term Recommendation - The client should start by distributing to departmental stores and online stores to understand market behavior before launching brick-and-mortar stores in targeted locations - Perform analysis of risks and opportunities based on client capabilities Long Term Recommendation - Client should look at moving more parts of the value chain into India and cut down on costs			- Financial feasibility has not been discussed in the case; it has been assumed that the client has the required financial capability to expand - Regulations and resource availability were not mentioned in the case and were assumed to not be obstacles during the entry - Since the client has the required capability and resources, they don't need to think about entering in any JV or alliances				



Market Entry Case 6: Music company

Industry	Music
Level	Advanced

Prompt: Our client, a prominent music company with an annual revenue of \$250 million, is considering a strategic expansion into the theatre industry. Could you guide us through this?

Just to clarify my understanding, our client is a prominent music company with an annual revenue of \$250 million. They are thinking of a strategic expansion into the theatre industry.

That is correct.

Let's begin with an in-depth market analysis. Do we have specific data on the size, growth trends, segmentation, and customer demographics of the theatre industry?

Yes, the theatre industry is currently valued at \$12 billion with an expected annual growth rate of 5%. The key segments include traditional theatre goers, making up 50% of the market, and a growing segment interested in tech-driven, immersive experiences, accounting for 30%. The primary age group is 25-45 years.

Noted. Now, let's move to financial feasibility. What's the client's budget for this venture and their revenue targets?

The client is willing to invest \$60 million initially. They aim for a \$20 million revenue in the first year, projecting a 20% annual increase in subsequent years.

Interesting. Regarding operational feasibility, what's the plan for resource allocation, infrastructure, and staffing for theatre operations?

They intend to invest \$25 million in infrastructure, including a state-of-the-art theatre. Staffing and initial productions are estimated to cost another \$15 million. They'll hire experienced theatre personnel and leverage their existing music production team.

Let's delve into unit economics. What are the expected ticket prices, average attendance, and frequency of shows?

The average ticket price is set at \$100. They aim for a 70% occupancy rate in a 500-seat theatre. Initially, there will be 5 shows per week.

So, the weekly revenue potential is $\$100 \times 500 \text{ seats} \times 70\% \text{ occupancy} \times 5 \text{ shows} = \$175,000$. Annually, that would be around \$9.1 million, considering operational weeks. This is below the \$20 million target. It highlights the need for additional revenue streams such as merchandise, sponsorships, or special performances.

Precisely. Now, what's your take on the competitive landscape?

With major players dominating 60% of the market through traditional productions, our client's focus on innovative, tech-enhanced theatre could differentiate them. However, they need to be wary of the competitive response to their entry.

And the regulatory aspect?

Licensing costs and compliance with regulations could add up to \$3 million in the first year. Ongoing compliance costs should be around 5% of the operational costs annually.

Based on this, what's your recommendation?

The venture is challenging yet promising. The client has the financial capability, but the initial revenue target seems optimistic given the unit economics. A more realistic approach would be to start with a lower revenue expectation, focusing on building a strong brand presence in the market. They should explore additional revenue streams to meet financial goals. A pilot production could validate the concept and provide valuable market insights.

Any final thoughts?

The client should proceed cautiously. They need to monitor market response closely and be ready to adapt their strategy. Building partnerships with established theatre companies could offer critical insights and aid in navigating the competitive and regulatory landscape. It's also vital to continuously analyze and adjust unit economics to ensure long-term profitability.



Market Entry Case 6: Summary

Prompt: Our client, a prominent music company with an annual revenue of \$250 million, is considering a strategic expansion into the theatre industry. Could you guide us through this?

Case Facts		Interviewee Feedback	Approach				
Reason for market entry i. Theatre industry valued at \$12 billion with an expected annual growth rate of 5%. ii. Opportunity to differentiate with innovative, tech-enhanced theatre productions. Market size & growth potential \$12 billion industry size. 5% annual growth rate. Expected revenue: \$20 million in the first year with 20% annual increase. Cost and Pricing Initial investment: \$60 million, Infrastructure: \$25 million, Staffing and productions: \$15 million, Ticket price: \$100, Occupancy rate: 70%, Show frequency: 5 shows per week		What Went Well? - Identified market size, segmentation, and growth trends. - Calculated break-even analysis. - Considered additional revenue streams (merchandise, sponsorships). Common Mistakes - Underestimating competitive response. - Not fully considering licensing costs and compliance.	Market Entry	Market attractiveness	Financial feasibility	Operational feasibility	Strategy for entering
			Reason	Market size	Costs incurred by client	Regulations	Standalone ¹
			Objective	Market growth potential	Break-even point	Resource availability and allocation	Joint Venture
				Client's expected growth in revenue			Mergers & Acquisitions
				Increase in market share per year			
Recommendations			Uninvolved Branches				
Conclusion: Proceed cautiously with a focus on innovative productions and additional revenue streams. Monitor market response and adjust strategy accordingly. Short Term Recommendation - Start with a lower revenue expectation and build a strong brand presence. - Explore additional revenue streams (merchandise, sponsorships). - Pilot productions to validate the concept. Long Term Recommendation - Continuously analyse and adjust business strategies to ensure long-term profitability. - Build partnerships and navigate competitive market dynamics.			1. Strategy for entering: Details on entry strategy not discussed and thus out of scope.				



Market Entry Case 7: Automobile manufacturer

Industry	Automobile
Level	Advanced

Prompt: Your client is a premium American automobile manufacturer aiming to enter the Indian market with their latest electric SUV priced at ₹28 lakh. As part of their expansion strategy, you've been tasked to advise them. How should they go about it?

To confirm my understanding, the client is already established in the electric SUV segment and now wants to expand into India, correct?

Yes, precisely.

I'd like to start by asking a few clarifying questions. First, what is the client's value proposition for the Indian market?

The client's SUVs are known for their luxury and high-tech features.

Why has the client chosen India for expansion? What are their objectives post entering the Indian market?

They are interested in India due to its growing economy and interest in electric vehicles. The primary objective is to establish a strong market presence and capture a share of the luxury EV market.

Understood. I'd approach this in three parts. First, assess whether entering the Indian market makes economic sense. Next, understand local market dynamics and consumer behaviour.

Alright, let's start with the economic sense.

Do we have data on the current market size for electric SUVs in India and the competitive landscape?

India's premium vehicle segment is about 1.5% of the total market, with electric vehicles accounting for a small but growing fraction. Assuming a total annual car market of 3 million units, that's around 45,000 premium cars. If the electric segment captures even 10% of this over the next 5 years, that's 4,500 premium electric vehicles annually.

That's a good starting point. What market share does the client aim for?

For a new entrant in a competitive market like India's, a 5-10% share in the first 2-3 years is aggressive but achievable. That would be around 225-450 vehicles per year. To reach this, we must ensure a strong value proposition.

Do we have insights on consumer behaviour in this segment ?

Yes, consumers in the premium segment value brand image, after-sales service, and exclusivity.

Our client can leverage their global brand image and focus on providing an exceptional customer experience to differentiate themselves.

Considering stiff competition and potential higher taxes, how should they enter?

A Joint Venture with a local player could be beneficial. For example, if we partner with company ABC, which has a 2% share of the premium car market but is struggling with their EV models, we could target a combined market share of 7% in the premium EV segment within the first year, translating to approximately 315 vehicles.

How would the financials work out in this Joint Venture?

If we're aiming to sell 315 vehicles in the first year at ₹28 lakh each, that's a revenue of ₹88.2 crores. Assuming a net margin of 10% after all expenses, including the JV setup, we're looking at a profit of ₹8.82 crores in the first year. We'd need to ensure that the operational costs, including the JV investment, don't exceed this margin.

And what about the risks?

The major risks include market acceptance, competition response, and operational execution. We can mitigate these through thorough market research, a phased rollout plan starting in metropolitan areas, and leveraging ABC's existing infrastructure.



Market Entry Case 7: Automobile manufacturer

Industry	Automobile
Level	Advanced

Could you elaborate on the roll-out plan?

We could start in Delhi and Mumbai, which have the highest density of premium car buyers. A phased approach allows us to gauge customer response and refine our strategy. If we capture 3% market share in these cities, which sell about 15,000 premium cars annually, that would mean 450 cars, aligning with our targets.

That's a comprehensive analysis. How would you position the SUV?

Positioning should emphasize sustainability, luxury, and performance. We can conduct marketing campaigns highlighting the SUV's features, such as its range, charging speed, and luxury interiors, which cater specifically to the Indian consumer's aspirations and lifestyle.

Interesting approach. We can end the case here.



Market Entry Case 7: Summary

Prompt: Our client, a prominent music company with an annual revenue of \$250 million, is considering a strategic expansion into the theatre industry. Could you guide us through this?

Case Facts		Interviewee Feedback	Approach				
Reason for market entry - Growing economy and interest in electric vehicles in India. - Objective to establish a strong market presence and capture a share of the luxury EV market. Market size & growth potential Premium vehicle segment is 1.5% of the total market, with electric vehicles accounting for a small but growing fraction, Total annual car market: 3 million units, Potential: 45,000 premium cars annually, Goal: Capture 10% of this segment over the next 5 years, approximately 4,500 premium electric vehicles annually Cost and Pricing SUV price: ₹28 lakh, Initial target: Sell 315 vehicles in the first year, Revenue target: ₹88.2 crores in the first year, Net margin target: 10%, yielding a profit of ₹8.82 crores.		What Went Well? - Clarified value proposition: Luxury and high-tech features. - Assessed economic sense of entering the Indian market. - Analysed consumer behaviour and competitive landscape Common Mistakes - Not considering the potential competitive response and higher taxes. - Overlooking the operational costs, including JV investment.	Market Entry	Market attractiveness	Financial feasibility	Operational feasibility	Strategy for entering
			Reason	Market size	Costs incurred by client	Regulations ¹	Standalone
			Objective	Market growth potential	Break-even point	Resource availability ¹	Joint Venture
				Client's expected market share			Mergers & Acquisitions ²
				Increase in market share per year			
			Uninvolved Branches				
Recommendations			Regulations and Resource availability: Assumed not to be obstacles during entry. Strategy for entering: Details on mergers & acquisitions not discussed and thus out of scope.				
Conclusion: Proceed with a phased approach, starting in Delhi and Mumbai to gauge customer response and refine strategy. Short Term Recommendation - Emphasize sustainability, luxury, and performance in marketing. - Capture 3% market share in initial cities. - Conduct market research to mitigate risks Long Term Recommendation - Leverage partnerships to enhance market presence and operational efficiency.							



Market Entry Case 8: Hotel chain

Industry	Hotel
Level	Advanced

Prompt: Your client is a hotel chain based in Gurugram, looking to expand into a new city. They've narrowed it down to three prospects: New Delhi, Pune, and Hyderabad. They need a recommendation on which city to choose for expansion.

To start, we should evaluate each city based on a set of criteria such as market demand, competition, cost of expansion, and potential return on investment. Could we begin by discussing the current performance of our client's hotels in Gurugram?

Of course. In Gurugram, their occupancy rate averages 75% with an average daily rate (ADR) of ₹10,000. They are known for excellent service and have a strong brand presence in the luxury segment. They expect to replicate this success in the new city.

Good to know. Let's look at the market size and growth potential in each target city. Do we have data on the number of tourists and business travellers visiting New Delhi, Pune, and Hyderabad?

Yes, New Delhi sees approximately 2 million tourists annually, Pune 1.2 million, and Hyderabad 1.5 million. All cities are expected to grow at a rate of 5-7% per year.

Let's consider the competition. What is the current saturation of luxury hotels in these cities?

New Delhi is highly competitive with a luxury hotel occupancy rate of about 70%, Pune is moderately competitive at 65%, and Hyderabad is less so at 60%.

Now, regarding the cost of expansion, we'd need to factor in the cost of acquiring land or a building, construction or renovation costs, and the cost of obtaining necessary permits and licenses. Any insights on these?

Preliminary estimates suggest a total expansion cost of ₹150 crore for New Delhi, ₹100 crore for Pune, and ₹120 crore for Hyderabad, given real estate and construction costs.

With those figures, we can calculate expected returns based on our client's performance in Gurugram.

Assuming they can achieve a similar occupancy rate and ADR in the new location, the annual revenue potential for each city would be the product of the ADR, occupancy rate, and number of rooms. Shall we use a hypothetical number of 200 rooms for our calculations?

Yes, let's proceed with that assumption.

Taking New Delhi's competitive market into account, a conservative estimate of a 60% occupancy rate might be realistic, resulting in potential annual revenue of ₹43.8 crore. For Pune, with a moderate competition, let's estimate a 65% occupancy rate, which would lead to ₹47.45 crore in revenue. Hyderabad, with the least competition, could potentially achieve a 70% occupancy rate, resulting in ₹51.1 crore.

Interesting. And how would you suggest we weigh these revenue potentials against the costs and risks?

We should perform a break-even analysis. For instance, if New Delhi's high cost of expansion means it would take 10 years to break even, while Pune and Hyderabad would take 7 and 8 years respectively, Pune presents the most attractive option from a financial perspective.

And what about the qualitative factors, such as brand alignment and market potential?

Brand alignment is crucial. New Delhi offers the prestige of the capital city, but the high competition might dilute our client's brand. Pune, being an educational and IT hub, has a growing market with a younger demographic that could be a good brand fit. Hyderabad, with its mix of tourism and business travel, also aligns well with our client's luxury positioning.

Taking all this into account, which city would you recommend for expansion and why?



Market Entry Case 8: Hotel chain

Considering the balance between cost, competition, and market potential, I would recommend Pune. It has a favorable market for luxury services, a growing economy, and the cost and time to break even are the most attractive. It offers a strong opportunity for brand growth without the intensity of competition found in New Delhi.

Industry	Hotel
Level	Advanced



Market Entry Case 8: Summary

Prompt: Hotel chain known for excellent service and strong brand presence in the luxury segment, with an average occupancy rate of 75% and an average daily rate (ADR) of ₹10,000 in Gurugram.

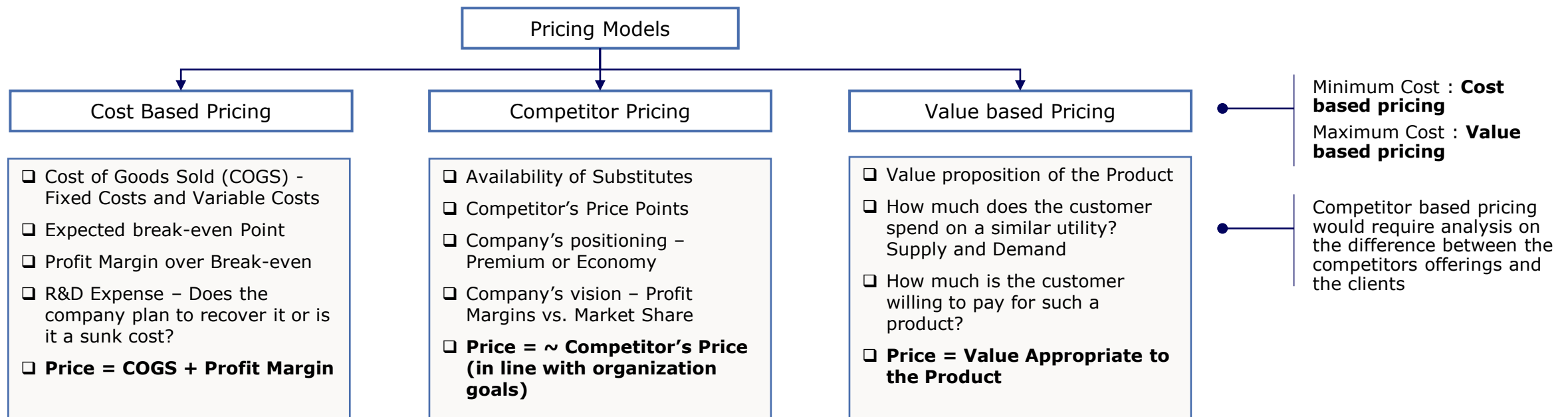
Case Facts		Interviewee Feedback	Approach																													
Reason for market entry i. Expanding brand presence in new markets. ii. Leveraging growth potential in major Indian cities. Market size & growth potential New Delhi: 2 million tourists annually; Pune: 1.2 million tourists annually; Hyderabad: 1.5 million tourists annually; Growth rate for all cities: 5-7% per year. Cost and Pricing Expansion cost: New Delhi: ₹150 crore; Pune: ₹100 crore; Hyderabad: ₹120 crore. Occupancy rate: New Delhi: 60% Pune:65%; Hyderabad: 70%. ADR: ₹10,000. Hypothetical number of rooms: 200		What Went Well? - Evaluated market size and growth potential. - Considered competition and cost of expansion. - Conducted break-even analysis for each city. Common Mistakes - Not weighing revenue potentials against costs and risks. - Overlooking qualitative factors like brand alignment and market potential.	<table><tr><th>Market Entry</th><th>Market attractiveness</th><th>Financial feasibility</th><th>Operational feasibility</th><th>Strategy for entering</th></tr><tr><td>Reason</td><td>Market size</td><td>Costs incurred by client</td><td>Regulations¹</td><td>Standalone</td></tr><tr><td>Objective</td><td>Market potential</td><td>Break-even point</td><td>Resource availability¹</td><td>Joint Venture²</td></tr><tr><td></td><td>Client's expected market share</td><td></td><td></td><td>Mergers & Acquisitions²</td></tr><tr><td></td><td>Increase in market share per year</td><td></td><td></td><td></td></tr></table>					Market Entry	Market attractiveness	Financial feasibility	Operational feasibility	Strategy for entering	Reason	Market size	Costs incurred by client	Regulations ¹	Standalone	Objective	Market potential	Break-even point	Resource availability ¹	Joint Venture ²		Client's expected market share			Mergers & Acquisitions ²		Increase in market share per year			
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	Increase in market share per year																															
Recommendations		Uninvolved Branches																														
Conclusion: Considering the balance between cost, competition, and market potential, Pune is recommended for expansion Short Term Recommendation - Focus on capturing a moderate market share in Pune. - Leverage existing brand strength and service quality. - Conduct market research to refine strategy. Long Term Recommendation - Continuously analyze market response and adjust strategy. - Explore further expansion opportunities based on initial success.		Regulations and Resource availability: Assumed not to be obstacles during entry. Strategy for entering: Details on mergers & acquisitions, and JV not discussed and thus out of scope.																														



Pricing Framework

Framework

Types of cases where in you are to price a product, commodity or service. The idea is to reach an optimal range of price points using the pricing models



High Level Analysis

- ❑ Reiterate the problem to have a clear understanding of the case. Understand the motives of the pricing
- ❑ Start with a cost based pricing in order to get the minimum cost that the product, commodity or service would require. Pricing would need to be greater than this cost. CBP method is heavy on guesstimate and can be a make or break
- ❑ Between competitor and Value based pricing, choose the one appropriate to the case in order to get the required upper limit



Pricing Case 1: Fertilizers

Industry	Chemicals
Level	Beginner

Prompt: Your Client is a US based chemicals manufacturing company and wants to launch a new fertilizer brand in the Indian market. You are required to suggest an optimal price point for this product. How would you go about it? What are your considerations?

I would like to start with a few questions. I would like to know more about the client. What is the main business of the client? What are its products?

The client manufactures chemicals and fertilizers. They currently operate in the US and now have come up with a new type of fertilizer for the Indian market.

Okay. Is there any particular customer segment in India that they are targeting?

They are targeting Punjab and Haryana based farmers, as this fertilizer is for rice and wheat farming.

Is it different from the fertilizers people generally use in Punjab and Haryana?

Yes. It enhances the growth by 20% and there are no similar products in the market – either locally or globally produced.

Understood. So, there are three ways we can approach the pricing exercise – a cost-based model, a competitor driven pricing model, and a values-based pricing model. We can start with cost-based pricing as it will act as a benchmark.

Sure. Sounds good. Please start with cost-based pricing.

I expect there were R&D costs in development. Do we have any data for the same?

While this is a good point to start with, I would like you to consider R&D and product development costs to be sunk costs for time being.

Alright. I would then like to focus on the value chain of the fertilizer. I would assume it involves the same steps to deliver a packet of fertilizers as any packaged product. Do we know if we are going to be manufacturing in India? And what would be the cost of the product?

Yes we will be manufacturing in India. The cost of 1kg packet of the fertilizer is expected to be Rs. 400. Assume a 20% post break-even profit margin.

Okay. So, at 20% margin over the break-even, the price of the produce would be Rs. 480. Now to check if this price is viable, I would like to do a competitor benchmarking exercise. Do we have any data on the competitors in this market – their products and price points?

Competitors' products sell for an average price between Rs 500/kg to Rs 600/kg. But let's look at the value that the client's product creates.

Okay. How much area of land does the 1 kg packet of fertilizer cover?

1 kg packet of the fertilizer can be used over 1000 sq. ft area of land. Also, do note that for one cycle of crops, the fertilizer needs to be used twice.

Noted. I'd like to quantify the value addition that our product is capable of. Wheat and rice are sown in different seasons. I'll assume the entire period from sowing to harvesting to be 5 months for both rice and wheat. Since our fertilizer enhances growth by 20%, the total cycle time of 10 months will reduce to 8 months. So we have farming land available for an extra 2 months. Suppose, the area of land is 1000 sq. ft. for one cycle of wheat and rice farming, in one year we would need 4 kg of the fertilizer.

4 kg of fertilizer is equivalent to 1000 sq. ft. land for two months. 1 kg would be equivalent to 250 sq. ft. land for 2 months. We could calculate the value created out of 250 sq. ft. of land for two months. Farmers can use this land for farming crops with shorter cycle times. Is there any data on this monetization capability?

That's good. Assume the value to be Rs 100 for 250 sq. ft of land for 2 months.

Okay, thank you for that data. So we can sell the product for a premium. My recommendation for price would be between Rs. 650 to Rs. 700. This takes into account the premium quality of our product and extra value that it is creating.

Okay. That helps. Thank you. We can close the case here.



Pricing Case 1: Summary

Prompt: Your Client is a US based chemicals manufacturing company and wants to launch a new fertilizer brand in the Indian market. You are required to suggest an optimal price point for this product. How would you go about it? What are your considerations?

Case Facts		Interviewee Feedback	Approach	
Product Portfolio Chemicals and fertilizers Targeted Market Segment Punjab and Haryana for rice and wheat farming - Product enhances growth by 20% - R&D and product development costs are sunk - Expected: Price: ₹400/kg, Margin: 20% post break-even - Competitors' products pricing: ₹500/kg to ₹600/kg 1 kg packet used on 1000 sq. ft area; 1 crop cycle needs a 2 rounds - Value of 250 sq. ft of land for 2 months is ₹100		What Went Well? - Interviewee was able to start with cost-based pricing and then move on to competitor-based pricing and value-based pricing - Good with the quantitative aspect of the case Common Mistakes - Not asking more preliminary questions to understand the case better - Calculations can be more structured	Pricing - Cost based - R&D¹ - Other fixed costs¹ - Variable costs - Competitor based - Price² - Efficiency - Value based	
Recommendations Conclusion: The product may be priced at a premium over the expected Rs 480 (20% margin over the price of ₹400) at around ₹650 to ₹700 Short Term Recommendation 1 kg of fertilizer would give an extra value of 250 sq. ft of land for 2 months to the farmers Long Term Recommendation - Price at an initial price of ₹650 to ₹700 (which would be a premium price)			Uninvolved Branches - R&D costs are sunk costs - Product development costs are sunk costs - Since the client's product is a unique product, approach should be focussed on value-based pricing rather than competitive pricing	



Pricing Case 2: Multipurpose Furnitures

Industry	Manufacturing
Level	Beginner

Prompt: Your Client is a major steel manufacturer. The company plans to expand its business and move into the home furnishing space. It wishes to launch a multipurpose furniture – a bed cum sofa and a workstation, all in one. At what price point should the company launch this product?

Sure. I'd like to ask a few preliminary questions to understand the situation and the requirements better. How exactly does the product function? What other utility does it have?

It is a modular system. It is a sofa with workstation capabilities that can be extended to form a single bed. The value proposition is that it is multipurpose and provides space saving. The product is made up of 70% steel and 30% wood.

That's interesting. What geographies is the client targeting?

Our client is based out of India and we are targeting Indian market. Since it is a premium product our target customer belongs to tier 1 cities in India.

Okay. Who are the competitors? Does this kind of multipurpose furniture exist in the market?

The furniture industry is 20% organised retail and while 80% of it is unorganised. We have one major competitor who enjoys a market share of ~60% in organized retail. The others are small players. No one among the major players have introduced this kind of furniture. However, furniture makers in the unorganised sector have made such product based on customer's demand.

Alright. There are three ways we can approach the pricing exercise – cost-based pricing, competitor driven pricing, and values-based pricing. I would first like to start with the cost-based pricing because it will give me a minimum price point. Can I get an idea about the COGS?

The cost of the product is Rs. 10,000 for one set. The company has spent Rs 1,00,00,000 on R&D and Product Development.

Does the company plan to recover the R&D cost through its pricing? If so over how many years?

Yes. The client wants to recover the product development costs. They wish to do so in 2 years or earlier. You can assume break-even as both necessary and sufficient.

Alright, thank you. So there are both fixed and variable costs that have to be recovered. However, since break-even is sufficient over two years, only the fixed costs will have to be recovered over this time period. I'm assuming the contribution margin to be zero. Do you have any data points on how many such sets the client is expected to sell this year and the one that follows?

For the first two year, the client will only be selling in the NCR region. Initial research shows that the client will be able to sell about 150 of these units in the first. Assume a 10% Y-O-Y on the sale volume for the subsequent year.

Okay. That's helpful. I've assumed the Contribution Margin (Selling Price/Unit – Variable Cost/Unit) to be zero. Year 1 Sales = 150 Units. Year 2 Sales (@10% growth) = 165 Units. Total = 315 Units. Cost to be Recovered = 1,00,00,000.

Per Unit Selling Price = Rs. 32,000. Per Unit Variable Cost = Rs. 10,000. Total Sale Price for a 2-year Break-even = Rs. 42,000

So, the client can look at pricing the product between Rs. 40,000 and 45,000. I'd like to do a sanity check at this point. What are the price points at which our competitors sell their products?



Pricing Case 2: Multipurpose Furnitures

Industry	Manufacturing
Level	Beginner

Our major competitor sells single metallic bed for Rs. 20,000 and the sofa set for Rs 25,000.

Alright, that helps. We have a multi-purpose convertible product. Basis the competitor's price we can price the product between the price of the more expensive product (the sofa set) and sum of both products. So, we should consider pricing it between Rs. 25,000 and Rs. 45,000.

However, there are two reasons why the price should be on the higher end of the price range. First, it is offering a unique value proposition (saving space) which the competitor is not offering. Further, it is a premium product targeted only towards the tier 1 city customers. This pricing is also in alignment with the price points we arrived at to recover the R&D costs.

Yes, that makes sense. Good. What is your final recommendation? Anything you'd like to call out explicitly?

The client can look at pricing the product between Rs. 40,000 and 45,000. This is in line with both the analyses – recovering R&D costs and value based pricing. However the client needs to run an initial analysis to understand the willingness of the customer to pay this amount for such a product. Off the bat, it seems reasonable, but further analysis will be needed. Accordingly, recovery periods and profit margins may have to be adjusted. The client can also look at other selling opportunities and use cases for this product – such as hotel chains, airport lounges, SPAs and so on. These B2B sales may have higher revenue generating potential for the client.

Great. That's a good analysis. We can stop here. Thank you!



Pricing Case 2: Summary

Prompt: Your Client is a major steel manufacturer. The company plans to expand its business and move into the home furnishing space. It wishes to launch multipurpose furniture – a bed cum sofa and a workstation, all in one. At what price point should the company launch this product?

Case Facts	Interviewee Feedback	Approach
▪ Product Portfolio: Bed cum sofa and a workstation ▪ Targeted Market Segment: Tier 1 cities only since it is a premium product ▪ Industry: 20% organized retail & 80% unorganized and one major competitor with a market share of ~60% in organized retail ▪ Competitor Price: Metallic bed for Rs 20,000 & Sofa set for Rs 25,000 ▪ COGS/set = Rs 10,000, R&D = Rs 1,00,00,000 ▪ Expected Sales: 150 for the first year, 10% YoY increase in sale volume, the subsequent year	What Went Well? ▪ Asked all the important preliminary questions ▪ Interviewee was able to start with cost-based pricing and then factor in competitor-based pricing and value-based pricing Common mistakes ▪ The questions throughout the case can be more pointed	<pre>graph TD; Pricing --> Cost based; Pricing --> Competitor based; Pricing --> Value based; Cost based --> R&D; Cost based --> Other fixed costs; Cost based --> Variable costs¹; Competitor based --> Price; Competitor based --> Efficiency²; Value based --> Space saving;</pre>
Recommendations	Uninvolved Branches	
Conclusion: As per R&D recovery and value-proposition analysis, the pricing of the product can be between Rs 40,000 and Rs 45,000 Short Term Recommendation ▪ Space-saving value proposition and alignment with the price calculated to recover the R&D costs Long Term Recommendation ▪ B2B opportunities such as hotel chains, airport lounges, SPAs, and so on need to be explored since they may have a high revenue-generating potential	1. Variable costs can be ignored since break-even is sufficient over two years 2. Efficiency of the product does not need to be compared to the competitor’s product since the client’s product is a premium category product	



Pricing Case 3: Hotel Business

Industry	Tourism
Level	Intermediate

Prompt: Your client is a multi-hotel chain franchise and is planning to add waterpark facilities in one of the hotels. You have been tasked to help the client identify if this is the right investment opportunity or not.

I would like to start with a few questions. What is the client's objective behind opening a waterpark in their hotel? Which hotel they have chosen? What is the client's current clientele?

After a lot of consideration, the client is able to narrow down to the hotel in Gurgaon. The current clientele consists primarily of business travelers. The client believes that there are a lot of potential benefits of opening up a waterpark like creating family friendly image, year-round business and potential to expand their customer base to families.

Thanks! Next I would like to understand if the client has any competitors and what is our differentiating factor against the competitors.

There are no competitors near our Gurgaon hotel currently and there is no indication for a new competitor to come up in the short run either.

Okay. So to analyze if this is the right investment opportunity, I will first do a break-even analysis and find the pricing of hotel services. If the pricing is in sync with the customer and market expectations, then we can go ahead with this planned investment.

Makes sense.

I will first start with calculating the costs. Cost component can be broken into 2 parts – fixed and variable. Here, fixed costs would be one time equipment and setting up cost, SG&A, insurance and variable costs would be a room's maintenance cost. Do you have any relevant data for the same?

Yes. Let's first analyse the fixed costs. The one time equipment and setting up cost is ₹10 Cr, SG&A cost per year is ₹2 Cr and insurance cost per year is ₹50 lakh.

Thank you. What payback period is the client looking at?

Client is looking to recoup his capital in 4 years.

Okay. Let's move to variable costs then. For this aspect, could you share the information on no. of rooms in the hotel, the average occupancy rate, variable cost per room for a night?

Sure! There are total 150 rooms in a hotel and the average occupancy rate for the year is 40%. The average cost of a room per night is ₹1,000.

Thank you. Based on these numbers, total fixed cost is ₹10 Cr + ₹2 Cr x 4 + ₹50 L x 4 = ₹20 Cr

And Total variable cost for 4 years duration is $150 \times 365 \times 40\% \times ₹1,000 \times 4 \text{ yrs.} = ₹8.76 \text{ Cr}$

Therefore, the total cost for 4 years = ₹28.76 Cr

In order to achieve break even, the hotel must charge = $₹28.76 \text{ Cr} / (150 \times 365 \times 40\% \times 4) = ₹3,283 \text{ per room per night.}$

That is correct. Go ahead.

So, based on the cost based pricing model, the revenue which hotel must charge per room per night is ₹3,283 in order to break even in 4 years. By taking a 20% Profit Margin, the price will come out to ₹3,940 per room per night.

Based on my real life experience, I believe this is very cheap for a franchise based hotel chain in Delhi NCR Region which has no competition currently or in the near future. Hence, we should proceed ahead with a premium pricing model by charging a premium of ~52% and pricing a room at ₹5,000 per night.

This is a standard price for hotels in this region and people would be willing to pay this amount.

Apart from this, is there any other way for client to monetize this business?



Pricing Case 3: Hotel Business

Industry	Tourism
Level	Intermediate

Yes. The client can proceed in the following ways:

- 1) Include a separate ticket/fee for waterpark entry only
- 2) merchandising and sales of swimming suits and accessories
- 3) Promotional ventures in collaboration with other brands
- 4) Food and beverage in the waterpark

Great. Are there any challenges which the client might face while going in this direction of a waterpark?

First of all, the major challenge for the client will be to assess the requirements for setting up a waterpark, if the client possesses the required competency or not. Then, there are a lot of regulatory and health risks involved in such a business model. The hotel will open its doors to potential lawsuits in case of any mishaps in the waterpark.

Also, the hotel's clientele is currently business focused and there is a possibility that this waterpark might end up alienating these customers.

Perfect. Very well thought out. Let's end the case here.



Pricing Case 3: Summary

Prompt: Your client is a multi-hotel chain franchise and is planning to add water park facilities in one of the hotels. You have been staffed to help the client identify if this is the right investment opportunity or not.

Case Facts	Interviewee Feedback	Approach
▪ About the client: Client is a multi-hotel chain franchise with business travellers clientele planning to add waterpark facilities in one of the hotels ▪ Competitors: No current or potential competitors ▪ Fixed Costs: One time equipment & setting up cost is ₹10 Cr, Annual SG&A & insurance costs of ₹2cr. & ₹50 lakh respectively to be recovered in 4 years ▪ Variable Costs: 150 rooms in a hotel and the average occupancy rate for the year is 40%. The average cost of a room per night is ₹1,000	What Went Well? ▪ Asked all the important preliminary questions ▪ Interviewee was able to divide the costs into fixed and variable and then move forward ▪ Also added touched the concept of insurance Common Mistakes ▪ Not breaking down the opportunities into buckets before delving into each further	Pricing - Cost based - R&D¹ - Fixed costs - Variable costs - Competitor based² - Price² - Efficiency² - Value based - Premium price for UVP Uninvolved Branches 1. Since the case is related to a service, there are no R&D costs involved 2. No competitors near the client’s hotel and no indication of any hotel coming up in the near term either
Recommendations		
Conclusion: As per the breakeven analysis and ensuring value-based premium pricing - each hotel room could be charged ₹5,000 for a night Short Term Recommendation ▪ Major challenges for setting up waterpark facilities would include set-up requirements, regulatory and health risks, alienating existing clientele Long Term Recommendation ▪ Additional revenue potentials: Admission fee, swimsuit merchandising & sales, food & beverage, promotional ventures with other brands		



Pricing Case 4: Pharmaceuticals Company

Industry	Healthcare
Level	Intermediate

Prompt: Your client is a United States based Pharmaceutical company who has just developed a drug for AIDS. You have been staffed to help the client identify the correct pricing strategy for this drug in Emerging Markets.

Thank you. I'll start with clarifying a few aspects about the client. Is our client the first corporation to have develop such a drug? Is the drug covered under US FDA Copyright laws? Which all geographies does the client cater to? What is the client's objective?

The client is the largest pharmaceutical company of the world with presence in over 200 countries. The AIDs drug is a novel drug and covered under the US FDA Copyright laws as well. The client wants to ensure that the drug is easily available to everyone as soon and easily as possible.

Thank You! As the goal is to develop a pricing strategy for Emerging Markets, I'll first break down Emerging Markets into relevant clusters with similar sociographic trends. Also, since the aim is to ensure quick and maximum reach of drugs, we should go with a cost based pricing approach.

Makes sense. Which countries do you think fall under Emerging Markets?

Emerging Markets can be classified into : Emerging Asia, Latin America, Africa And Middle East. Could you please confirm if we are aligned on the geographies?

First, I would like to understand what all countries you are considering under Emerging Asia.

Sure! So Emerging Asia should have all the Asian countries except Australia, New Zealand, South Korea and Japan. These markets have grown significantly and don't follow trends of the remaining developing countries.

Okay, great! The overall alignment is correct. However, for this example, let's just exclude Middle East from the calculation.

Sure! First, I would like to understand the R&D cost associated to this drug and the time taken to develop the drug.

Consider the total R&D cost as \$5B and the client wants to recover 40% of the cost from Emerging Markets. Also, it has been 10 years since the patent was issued.

So, the aim is to recoup the \$2B investment from Emerging Markets. And since the drug patent limit is 20 years, the client has only 10 more years before generic drugs flood the market. Do we have any information on the dosage taken by a patient?

This drug is taken by a patient once a year. Assume only adult population.

Let's start with Emerging Asia first. The adult population would be ~ 3B. Since education and access to healthcare is low in these countries, we can consider 0.2% people who have verified AIDS cases. Of this, our targetable audience should be 50% to give us the addressable market size as $3B \times 0.2\% \times 50\% = 3M$

Correct. Let's move on to the other two. And let's assume 70% attainable market and 300M adult population in Africa and 40% attainable market with 600M adult population in Latin America.

Sure! For Africa, taking adult population of 300M with 9% AIDS patients and 70% attainable market, we get the total market size as $300M \times 9\% \times 70\% = 18.9M$
For Latin America, taking adult population of 600M with 0.4% AIDS patients and 40% attainable market, we get the total market size as $600M \times 0.4\% \times 40\% = 960K$.

This gives us total addressable market across all regions as $3M + 18.9M + 0.96M = 22.8M$

The addressable market is correct. Let's move ahead.

Okay! Considering 1 dose given per year to a patient, the break even cost in the 10 years life cycle would be around \$8.75 per dose. As the purchasing power in Emerging Markets is low, what is the profit % client is aiming for?



Pricing Case 4: Pharmaceuticals Company

Industry	Healthcare
Level	Intermediate

Client would get the majority of profits from the Developed Markets. From Emerging Markets, they are aiming for only 10% profits.

Alright. So based on this assumption, The client should price this drug at \$9.6. This pricing is reasonable for the developing countries as well as this is being paid once an year. Also, for the very poor population, the governments would be easily able to include this cost in their welfare schemes.

Great! Can you summarize the case?

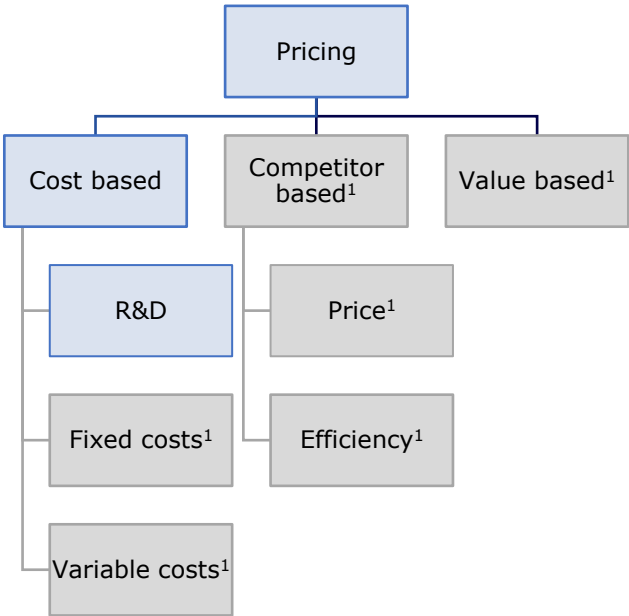
The client is looking to launch a novel AIDS drug and required our assistance in pricing it in Emerging Markets. Since the objective for the client is to get maximum profits from the Developed market and ensure maximum reach in Emerging Markets, we decided to choose a cost based pricing model with 10% profits for the client. This results in a final cost of around \$9.6 per dose which fits in the economical situation of these countries.

Thank you! We are done here.



Pricing Case 4: Summary

Prompt: Your client is a United States based Pharmaceutical company who has just developed a drug for AIDS. You have been staffed to help the client identify the correct pricing strategy for this drug in Emerging Markets.

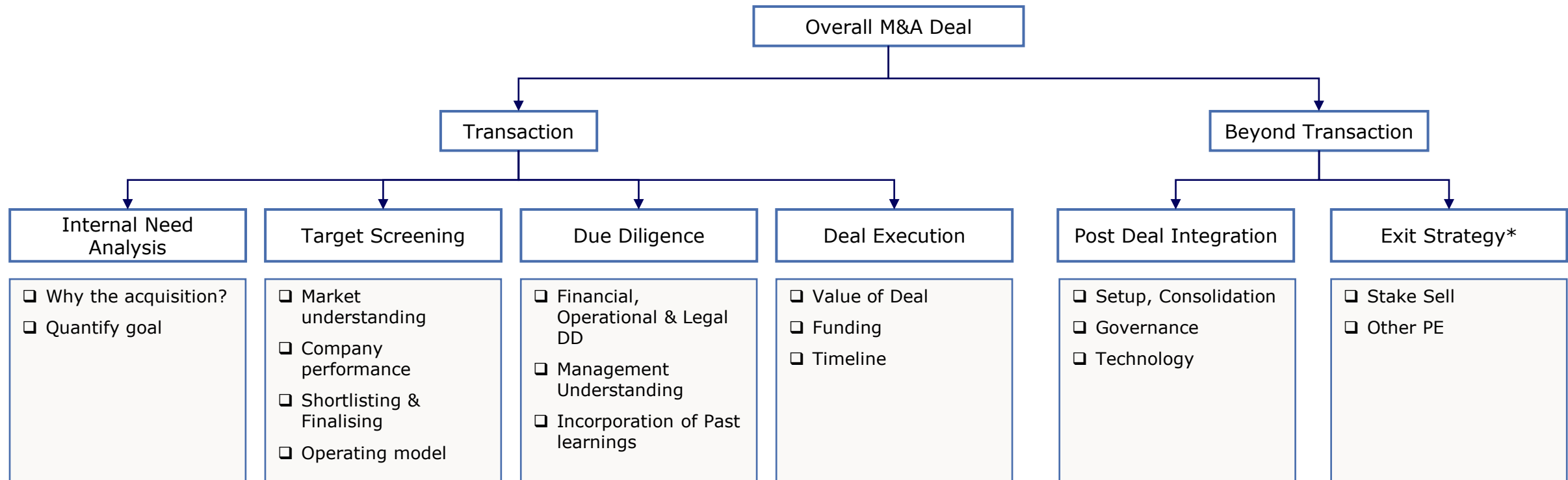
Case Facts	Interviewee Feedback	Approach
▪ About the client: US-based pharma company with a newly developed novel drug for AIDS needing a pricing point for emerging markets ▪ Drug: Drug is covered under the US FDA Copyright laws; it has been 10 years since the patent was issued; dose is taken once annually ▪ Target market: Exclude Middle east from emerging market category; attainable markets - 40% in Africa, 20% in Latin America ▪ R&D cost: \$5B, estimated recovery from Emerging Markets: 40% ▪ Aiming only for 10% profits from Emerging Markets	What Went Well? ▪ Interviewee was able to narrow down the target markets and produce an appropriate price Common mistakes ▪ Could have asked more preliminary questions to understand the case better ▪ Interviewee could have covered the competitive and value-based pricing aspects as well for more comprehensiveness	 Uninvolved Branches
Recommendations Conclusion: As per the cost-based pricing model, taking the client's requirements into consideration, the drug should be priced at \$9.60 per dose Short Term Recommendation ▪ The drug should be priced at an economical price which would also help the government include it in welfare schemes Long Term Recommendation ▪ Keep the price lower than the competitive price so that the demand for the drug is more (since it is priced economically)		1. The fixed and variable costs, competitive benchmarking and value-based pricing are not covered in the context of the case



Merger & Acquisition Framework

Framework (Detailed Transactional View)

Used to solve cases pertaining to M&A transactions by detailing the entire value chain of the deal and looking at post deal integration



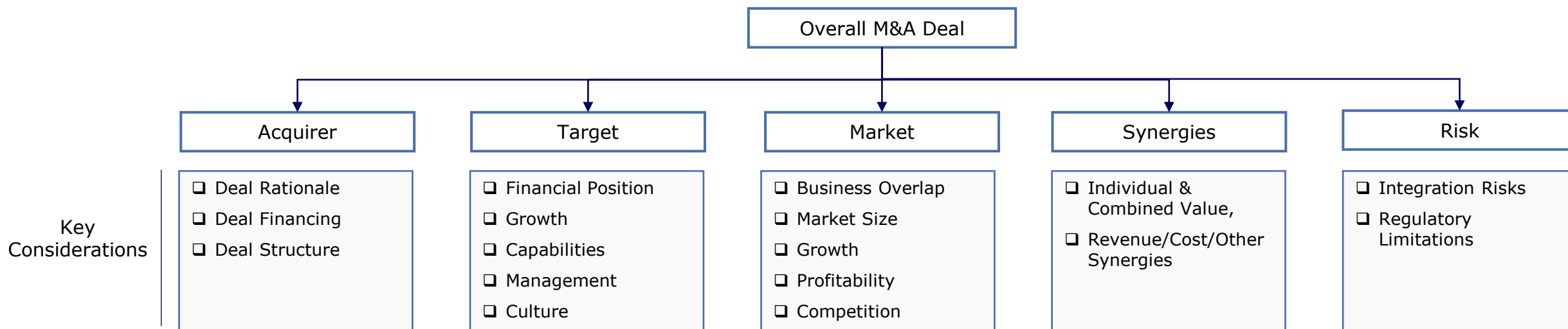
* If Applicable



Merger & Acquisition Framework

Framework (Quick Environment View)

Used to solve cases pertaining to M&A transactions which involve five major components – Acquirer, Target, External Environment, Synergies & Risk



High Level Analysis

- ❑ Reiterate the problem to have a clear understanding of the case
- ❑ Combine the two frameworks in most cases to get a wholistic view of transaction. Let the interviewer guide on the particular branch to proceed whether to go transaction based analysis (DTV) or Quick environment view (QEV)
- ❑ DTV can be used in case there is particular focus required on 'Due Dilligence', 'Target Screening', 'Post Merger Integration' or 'Exit Options'
- ❑ Use QEV, when M&A is a smaller part of the case. It's usually a MECE principle to cover a deal quickly
- ❑ In case of DTV, usage of numbers would be high and technical – be careful on the terms used
- ❑ For additional reference, know the various ways, tools & databases that are used in companies who deal in M&A transactions



Merger & Acquisition Case 1: Airlines Acquisition

Industry	Airlines
Level	Basic

Prompt: Your Client is a major airline operator and has been doing well financially in the recent past. The management is looking at potential M&A activities to grow the company's business. You've been on-boarded as a consultant and they client wants you to advise them on their M&A plans.

Sure. So, the client is looking to grow their business and wants to see if M&A is the right way of going about it. When client says that they want to grow, I am assuming that focus is on augmenting revenues. Is that right?

Yes, the focus is on revenue growth.

Thank you. Now, I would like to break the analysis into two sections – a) I'd like understand if M&A is the right strategy for growth, and b) If so, what are the potential targets we can look at.

Yes, that's a good structure. Please proceed.

Okay, sure. First I'd like to understand a little about the client. What does the business look like? What are the services provided, and where does the client operate in?

The client offers passenger – economy & executive – and cargo services and operates on multiple international routes. US, Europe, and Asia-Pacific are the primary focus areas for the client. In Asia, the client primarily offers connectivity to tourist destinations from the US and Europe.

Okay. Since our focus is on improving top line for the client, I would like to breakdown the revenues and the competitive landscape by these parameters. Do we know the channel split for revenues by service (passenger/cargo) and geography? Besides, from a competitive perspective what are the clients' market shares by the same parameters?

You can ignore the service variants for now. Let's focus on geography of operations. 60% of our revenues flow in from US operations, 30% from European operations, and only 10% from operations in Asia-Pacific. You can assume a similar distribution for the market share in the three geographies.

That's helpful. Going by this, I suggest the focus for the client should be on growing the market share and correspondingly revenues in the Asia-Pacific region. An acquisition certainly would help achieve these targets quickly. Do we have any data about potential targets that can be acquired and their capabilities.

That sounds logical. Yes, the client is looking at 3 potential companies to acquire.

Target 1 is an established airline operator in Asia, and provides luxurious passenger services and operations across major Asian destinations and own 30% of the market share in Asia.

Target 2 is an emerging airline operating out of Australia and provides connectivity between Eurasia and Australia. They have a strong cultural fit with the client and would be the easiest to acquire.

Target 3 is a disruptive airline operating in Asia, and has grown rapidly and captured 20% of the Asian market over the past 3 years. This airline does not offer any luxury travel and operates between select destinations.

You can assume all of them are profitable operators and have strong finances.

Based on the client's requirements, Targets 1 and 3 look to be good options. Target 2 may however provide greater operational flexibility and ease of integration.

I would like to explore synergies and risks associated with acquiring each of these companies, and then make a suggestion.

Let's start with revenue and cost synergies. I would like to know by how much the client's revenue and cost margins would change by acquiring each of these targets. Do we see significantly different operational synergies with each of these targets?



Merger & Acquisition Case 1: Airlines Acquisition

Industry	Airlines
Level	Basic

For the sake of simplicity, assume revenue contributions would only be marginally different in each of the cases. From an operating perspective our assets and capabilities align most with Target 1. Target 3 has a much leaner operating model, and Target 2 fits in between.

Alright. Looks like Target 1 might be an ideal acquisition at this stage. Finally, I would like to look at the Asian air travel market to understand how it's shaping up and what forms of travel are taking precedence. Insights on customer behaviour and preferences would help make a final recommendation.

Excellent point. Recent trends have revealed that air travel has been on the rise in Asia, as more people enter higher income groups. Trends also suggest that passenger traffic is the highest between a select few destinations in Asia – India and China particularly. Efficient low cost air travel is expected to grow at 13% CAGR.

Noted. This significantly changes the dynamics of our proposal. The client is already a major airline operator in the US and Europe with flights connecting major tourist destinations in Asia to both these continents. While Target 1 seems to be a good acquisition based on overlap of operating models and cost synergies, it would appear that acquiring Target 3 would provide the client with flexible operating options, help cater to a large and rapidly growing market. Target 3's operations also complement the client's routes and help develop a more exhaustive network of operations, without any redundancies. The lean operating model would offer several advantages that the client may carry back to their operations in US and Europe. With marginally different revenue contributions, the focus shifts to the cost of acquisition. Acquiring a new airline operator with a lean operations would seemingly cost less than acquiring an established airline with massive assets. The client can also maintain a lean workforce that overlooks operations of the acquired company, providing the client with greater managerial control. With this segment of travel up and coming, the client can also expect to grow the business rapidly with investments out of US and Europe.

That's very good. So, what is your final recommendation?

Based on the client's current revenue and market share structure across geographies, Asia should be focus area for the client.

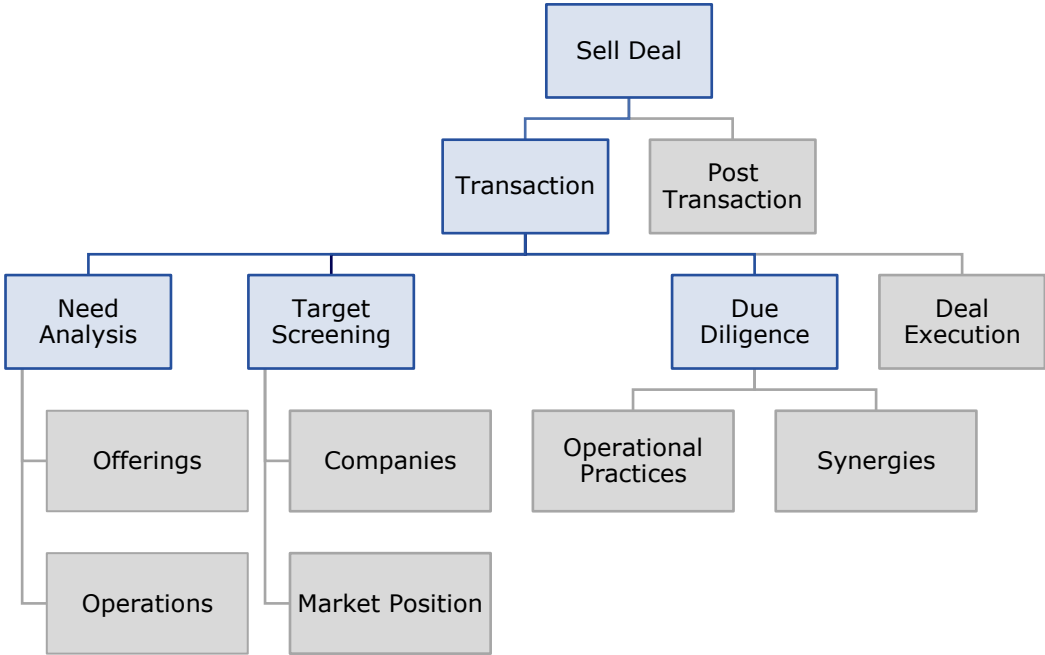
Among the proposed targets, Target 3 offers the greatest growth potential, complementing the client's current operations. While Target 1 seemed to be a good option, Target 3 offers several advantages and brings in new operational capabilities. Based on this, the client should consider acquiring Target 3.

Excellent. That will be all. Thank you.



Mergers & Acquisitions 1: Summary

Prompt: Your Client is a major airline operator and has been doing well financially in the recent past. The management is looking at potential M&A activities to grow the company’s business. You’ve been on-boarded as a consultant and they client wants you to advise them on their M&A plans.

Case Facts	Interviewee Feedback	Approach
▪ About the client: Airline operator that offers both passenger and cargo services ▪ Market Presence: US (60%), Europe (30%) and Asia-pacific (10%) market ▪ Focus: Revenue growth ▪ Target: Potential Targets in Asia: Established Airline operator, Emerging Airline Operator, Disruptive Airline ▪ Similar revenue synergies and operational synergies are better with Target 1 but Target 3 has a leaner operating model ▪ Increase in low cost air travel will lead to passenger traffic in India and China	What Went Well? ▪ Assuming that it’s a revenue growth strategy since the client is doing financially well ▪ Breaking down the pros and cons for the targets logically Common mistakes ▪ Starting the analysis by saying Target 1 & 3 look good – use analysis first approach ▪ Negate targets only if you have a consensus on 2-3 pointers that it may not be a good fit	 <pre>graph TD; SD[Sell Deal] --> T[Transaction]; SD --> PT[Post Transaction]; T --> NA[Need Analysis]; T --> TS[Target Screening]; T --> DD[Due Diligence]; T --> DE[Deal Execution]; NA --> O[Offerings]; NA --> OP[Operations]; TS --> C[Companies]; TS --> MP[Market Position]; DD --> OP2[Operational Practices]; DD --> S[Synergies];</pre> Uninvolved Branches Note: Ideally in a Due Diligence cases, almost all relevant factors are involved and need to be studied. Try to consider all options.
Recommendations		
Conclusion: Airline operator looking for inorganic growth, focusing on revenue, with multiple targets in mind. Short Term Recommendation ▪ Focus on the Cost of acquisition ▪ The client should primarily focus on the Asia market ▪ Target 3 would give the best possible scenario for the acquisition Long Term Recommendation ▪ Can look at other options once in a better growth stage		



Merger & Acquisition Case 2: Brand Integration

Industry	Manufacturing
Level	Intermediate

Prompt: Your Client, say X, is a high-end manufacturer of leather-based luxury goods. They are unable to keep up the with demand for alligator-skin products – handbags, belts, and wallets. Besides the shortage, the price of alligator-skin has gone up by 70% in the past nine months, squeezing otherwise fat margins. The client is considering buying company A, one that sources, tans, and processes alligator leather. What are your considerations while deciding on a go/no-go strategy?

First I would like to establish a deal rationale and validate it before proceeding further. Acquiring company A would guarantee an uninterrupted supply of alligator-skin based leather, it would help restore margins by cutting costs and establishing operational synergies, and finally it would enable the client to pre-empt competition and diversify holdings. Anything that I am missing here?

No. That’s excellent. Please proceed.

Sure. I’d like to break down the analysis into the following buckets – the client (company X), the target (company A), the luxury leather industry, acquisition costs and risks, and finally an exit strategy. As we are clear about the client and the current situation, I would like to start with the target – company A. I would like to understand the target’s revenues and profits over the past 3 years, who its suppliers and customers are, and what are it’s operating margins and capabilities.

Alright. Company A has seen a 15% growth in its revenues each year over the past 3 years. Margins have also seen a steady growth with the current number sitting at nearly 40%. The company primarily sells to the client’s competitors. The target also has strong supplier relationships, and enjoys a good position in the market.

That’s great. The target company seems to be in an excellent position both financially and operationally. Besides developing a steady flow of raw materials, the client will also enjoy ancillary revenues by selling alligator-skin. A significant competitive advantage can be developed by cutting off supplies to competitors based on a cost benefit analysis. Besides, I am also assuming sale of by-products would help augment revenues for the client.

Yes, that’s good. What next?

In this particular case, I feel external factors – operating conditions, animal treatment, ethical considerations, and regulations would be critical. It is important that the client thoroughly analyses these considerations and map out any risks associated with it that might hamstring the acquisition.

Very valid points. The target company has well established operating practices that adhere to all regulations and guidelines. So, these considerations, while extremely valid are not potential risks. What else would you look at?

I would like to understand how the market for animal skin based luxury products is evolving. With a focus on sustainability and emergence of better materials, the market might not have great potential in the long run. So, it would be important to establish that the client actually sees growth potential in the market and can capitalize on it. Do we know the current size of the market, the profit margins, and expected rate of growth/contraction? I would also like to understand the expected competitive response a little and how best we can tackle it.

Okay. The global leather goods market is valued at US \$430 Billion. This is expected to grow at a CAGR of 4%. Fashion contributes to nearly 60% of all products. Some new applications in design and decoration have come up, and these are expected to add to the growth.

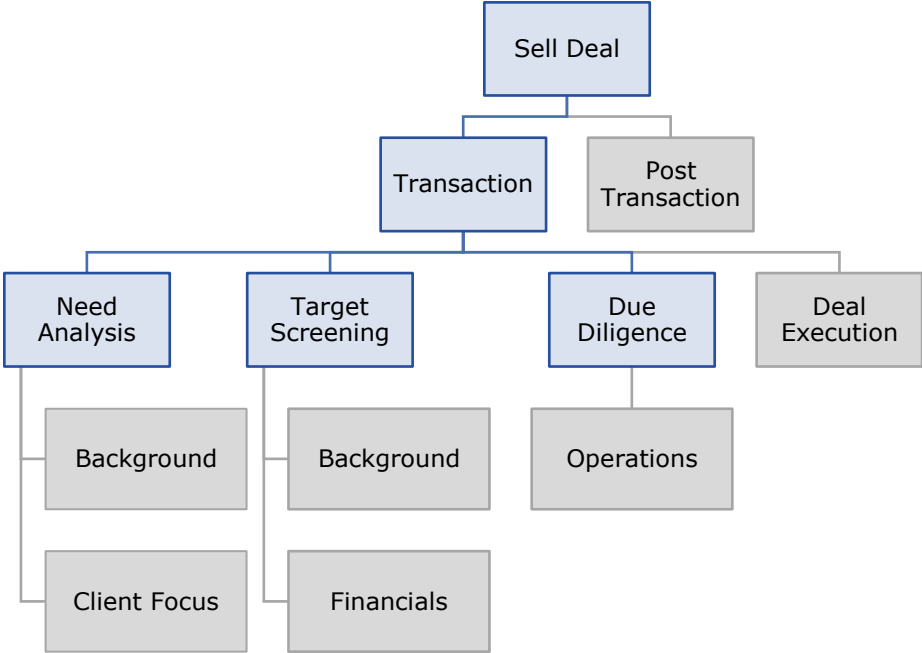
Okay. That’s a good sign. So, even from the market perspective, there’s enough potential for the client to pursue this opportunity. I would finally like to look at the financial viability of the acquisition. The cost of the acquisition, the financial alternatives, the client’s capability to fund it, and the nature of the transaction.

Good. That’s an exhaustive analysis. Let’s stop here. Well done.



Mergers & Acquisitions 2: Summary

Prompt: Your Client, say X, is a high-end manufacturer of leather-based luxury goods. They are unable to keep up the with demand for alligator-skin products – handbags, belts, and wallets. Besides the shortage, the price of alligator-skin has gone up by 70% in the past nine months, squeezing otherwise fat margins. The client is considering buying company A, one that sources, tans, and processes alligator leather.

Case Facts	Interviewee Feedback	Approach
▪ About the client: Manufacturer of high end luxury leather goods who are unable to keep up with the demand of alligator skin products ▪ Target: Company that sources, tans, and processes alligator leather and supplies to its competitors ▪ Target has a annual CAGR of 15% in its revenue over the past 3 years. Margin at 40% ▪ Global leather market is valued at \$ 430 billion and is expected to grow at a CAGR of 4%	What Went Well? ▪ Quick rundown on the understanding of the need ▪ Also understanding any external factors Common mistakes ▪ Candidate could have asked more probing preliminary questions ▪ Target analysis should also consider USPs ▪ Synergy consideration are important	 <pre>graph TD; SD[Sell Deal] --> T[Transaction]; SD --> PT[Post Transaction]; T --> NA[Need Analysis]; T --> TS[Target Screening]; T --> DD[Due Diligence]; PT --> DE[Deal Execution]; NA --> B1[Background]; NA --> CF[Client Focus]; TS --> B2[Background]; TS --> F[Financials]; DD --> O[Operations];</pre>
Recommendations Conclusion: Acquisition driven by a needs analysis followed by a due diligence on the client Short Term Recommendation ▪ Acquisition can help gain competitive advantage Long Term Recommendation ▪ The financial viability of the acquisition needs to be looked carefully including client’s funding ability and the alternatives		Uninvolved Branches Note: Ideally in a Due Diligence cases, almost all relevant factors are involved and need to be studied. Try to consider all options.



Merger & Acquisition Case 3: Buy-side DD

Industry	Manufacturing
Level	Intermediate

Prompt: Your Client is a large PE firm, based out of India. It focuses on firms in the home utility and consumer durables' space. The client has identified a company (referred to as the Target) in the second-hand furniture space (C2B and B2B), that it wants to invest in. They want us to conduct a due diligence study of the furniture re-commerce market and the target capabilities. How would you approach this engagement? What would your considerations be?

Sure. So, to clarify the objective, the idea is to develop a structure for the due diligence activity – covering both the furniture re-commerce space and the Target. Is that right? Are we also expected to come up with recommendations on the investment strategy?

Yes, that's right. No, recommendations are not needed. I only need you to structure the due diligence activity.

Sure, understood. I'd like to breakdown the analysis into 3 sections – The Furniture Re-commerce Market, The Target, Client (PE) Capabilities and Synergies.

Let's shelve the client analysis for now. Focus on the market and target analysis.

Okay. I'd like to start with the market. There are 2 aspects that I want to look at as a part of the market analysis. a) I want to do a sizing activity to gauge the second hand furniture market size in India; b) Next, I'd like to look at the growth drivers of this market to understand how the market will grow over the next 4-5 years (typical investment period for a PE firm)

Okay. That's a good start. Go ahead. I have some data points to help you get started. All datapoints are for FY 21. You can assume a 10% CAGR on the top-line.

Total Furniture Userbase in India ~ 450 M

Total Annual Furniture Shipments ~ 250 M

Average Furniture Replacement Cycle ~ 3 Years

% of Furniture Exchanged Commercially ~ 30 (Buy Back/Exchange/Re-sale)

% of Second-hand Furniture Exchanged in P2P Mode ~ 90

Okay, thank you. Let me take a minute to understand the data.

Sure, take some time and let me know how you would go about it.

Since we are looking at how many second hand furniture pieces are exchanged (bought/sold), I'd like to look at the number of furniture pieces shipped on an annual basis. From this total number, I would look at the number of new and second hand furniture pieces that are shipped. Finally, I would like to look at the number of second hand furniture pieces exchanged through organized C2B platforms (such as the Target and its competitors).

Total Furniture Userbase = 450 M

Average Furniture Replacement Cycle = 3 Years

Number of New Furniture Sold/Shipped Annually = $450/3 = 150M$

Number of Second-hand Furniture Transactions = $250 - 150 = 100M$

Number of Second-hand Furniture Shipped Commercially = $0.3 \times 100 = 30M$

Number of P2P Second-hand Furniture Shipments = $0.9 \times 30 = 27M$

Organized Exchange of Second-hand Furniture = $30 - 27 = 3M$ (FY '21)

So the current market size for organized second hand furniture market is about 3M units annually. Do you want me to project these numbers for a 5 year period assuming 10% CAGR on the top line?

Good! The market size estimation is indeed accurate. Well done. No, we can leave the projections be for now. Let's move ahead. What do you think would be the growth drivers for this market? Would you expect the market to grow or shrink?

Major macroeconomic factors indicate that real estate and home furnishing businesses in India will continue to be on the rise over the years to come. Growing GDP, higher per capita income, the growing demand for smart homes, IoT enabled furnishings, and rural adoption of basic furniture point towards a strong growth potential. New business models such as organized P2P renting, refurbishing, and customization will drive business in the Target's niche. As customers also realize the monetary potential of used furniture, the market is likely to boom and prospects look good over the next 5 years.



Merger & Acquisition Case 3: Buy-side DD

Industry	Manufacturing
Level	Intermediate

Alright. That's a fair justification. Let's move on to the analysis of the Target. What are your considerations?

In looking at the Target, I would first want to understand the core business proposition – what is it that the business does? Does it operate in a niche market or is it a general proposition? If need be I would also look at riper international markets to understand how they have evolved, how the players have consolidated themselves and get a sense of where the Indian market may be headed.

That sounds good. So, the target primarily has capabilities in furniture repair and refurbishment and they sell primarily to businesses (OMs and Retailers). They source used furniture sets from users, undertake refurbishment activities and further sell these units. In terms of volume, the Target is the 3rd largest player in the market and handles about 23% of all second hand furniture exchanged.

I want to start with a competitive benchmarking exercise, to understand and map competitor and Target capabilities and USPs. This would help identify approximately what portion of the growth pie the Target can internalize. Creating this market map would also help identify market niches and extend the Target's business portfolio.

A thorough competitive benchmarking is indeed the next logical step that we'd adopt. Good! Let's move on. You spoke about wanting to look at international markets. Why would you do that? And if you had to pick one market that's closely related to the Indian marketplace, which would it be? And why?

The Indian market for consumer durable re-commerce is still nascent and studying a mature international market would help us understand how a transformation might occur and serve as a base for identifying the common challenges. From a PE perspective as well, it would help the client understand what they can expect over their investment period and how they can plan for suitable exit options.

In terms of market relevance, I would say China is closely related to the Indian market. The market size, structure, buying patterns, and consumer mindsets of the two countries are largely similar. Further, India's start-up revolution has been largely inspired by the Chinese market and that is good reason to believe that any transformation in India is likely to be inspired by the Chinese market.

Makes sense. Good. To bring this to a logical closure, can you list down the top 4 exit options that you think would be plausible for the client.

Sure. The most likely exit options for the client involve the buy-out of the client's stake by larger entities.

- a) Client stake buy-out by a larger global PE firm
- b) Client stake buy-out through the Target's acquisition by an Indian ecommerce giant or a large furniture manufacturer/assembler
- c) Client stake buy-out through the Target's acquisition by a larger global firm in the furniture re-commerce space
- d) Client stake buy-out through an IPO for the Target

Additionally, it's also possible that strategic partnerships are formed with niche industries such as IoT, Home Automation, Insurance and Technology Services. The exit in these situations would have to be looked at on a case by case basis.

Alright. That's a very good analysis. We can stop at this point. Well done. Thank you.



Mergers & Acquisitions 3: Summary

Prompt: Your Client is a large PE firm, based out of India. It focuses on firms in the home utility and consumer durables' space. The client has identified a company (referred to as the Target) in the second-hand furniture space (C2B and B2B), that it wants to invest in. They want us to conduct a due diligence study of the furniture re-commerce market and the target capabilities

Case Facts	Interviewee Feedback	Approach
▪ About the client: Large PE firm that deals in home utilities and wants a due diligence study to invest in a second hand furniture space ▪ Target: 3rd largest player in the market, handles ~ 23% of all second hand furniture exchanged ▪ Target has Capabilities in furniture repair and refurbishment and they sell primarily to businesses ▪ Market involves 'second hand' furniture	What Went Well? ▪ Quick and thorough guesstimate to cover the market sizing activity ▪ Covering the need for competitive benchmarking ▪ Using macroeconomic factors to justify good growth for the Industry Common mistakes ▪ Missing out on 'second hand' part in the guesstimate ▪ Could have asked about the USP of the client in the preliminary questions stage	<pre>graph TD; SellDeal[Sell Deal] --> Transaction[Transaction]; SellDeal --> PostTransaction[Post Transaction]; Transaction --> NeedAnalysis[Need Analysis]; Transaction --> TargetScreening[Target Screening]; Transaction --> DueDiligence[Due Diligence]; Transaction --> DealExecution[Deal Execution]; PostTransaction --> Integration[Integration]; PostTransaction --> ExitStrategies[Exit Strategies]; DueDiligence --> MarketAnalysis[Market Analysis]; DueDiligence --> BusinessModel[Business Model]; DueDiligence --> Synergies[Synergies]; MarketAnalysis --> MarketSize[Market Size]; MarketAnalysis --> GrowthDrivers[Growth Drivers]; ExitStrategies --> LargerPEFirm[Larger PE Firm]; ExitStrategies --> TargetsAcquisition[Target's Acquisition]; ExitStrategies --> IPO[IPO]; ExitStrategies --> NicheIndustries[Niche Industries];</pre> Uninvolved Branches Note: Ideally in a Due Diligence cases, almost all relevant factors are involved and need to be studied. Try to consider all options.
Recommendations		
Conclusion: Considerations of the Buy side DD involve market estimation, growth factors, Company analysis & Competitors Short Term Recommendation ▪ Competitive benchmarking to better understand the competition in the market Long Term Recommendation ▪ The niche industries need to be studied one by one to understand the possible exit scenarios		



Merger & Acquisition Case 4: Sell-Side DD

Industry	IT
Level	Intermediate

Prompt: Your Client is a large IT firm, based out of India. It is a global leader in the IT Services industry. The client has identified a particular arm of the business in a specific geographic location they want to sell. They want us to conduct a due diligence study. How would you approach this and what would your considerations be?

I would like to start by clarifying the objective- the client is a market leader in the IT services industry with a global presence. They are currently looking at selling off a strategic business unit in a specific geographical location and would want our end of the due diligence.

Yes, that's right. No, recommendations are not needed. I only need you to tell me about the due diligence activity.

Sure, understood. I'd like to breakdown the analysis into 3 sections – Internal Analysis, Sell Options, Deal Execution and Implementation.

Let's start by understanding the client.

Sure. I'd like to start with the internal analysis. I would like to understand what is the issue that is causing the client to sell of a business unit – is it based on external or internal factors?

So the client is looking to sell of their South American business unit. While the unit had been extremely profitable, recent government regulations have made outsourcing of contracts extremely difficult leading to new business deals drying up. Local employment policies have also prevented the company from having foreign staff working dominating on shore offices.

So I understand the major concerns are operational concerns in staffing and the lack of new business due to new regulations. Can I understand the client's assets and capabilities in the region?

The client owns multiple offices in countries like Brazil, Chile, Argentina. The client employs about 20,000 employees and owns equipment to provide infrastructure in serving various IT related business deals which can be utilised very easily in any kind of takeover.

Now that I have a clear idea of the client's reasoning behind selling and its capabilities I would like to understand the sell options the client has.

The client has multiple firms bidding on various percentages of majority stake ownership and the client needs to decide the best of option to sell.

Considering that the units have been profitable before the new regulations, the client should look at the market economics and growth potential to understand what percentage of minority ownership they would like to retain.

Outside ownership stake the client needs to consider the capabilities and assets it owned and what would provide best deal value.

We should further look to analyse the technology structure of our bidders to understand where we could have the easiest handover and reduce transfer cost.

After deciding on selling a majority stake while still holding 49% of the unit what would be the next step towards completing the sell off?

We would next come to our deal execution and implementation considerations.

We need to bucket our business critical applications(ERP, CRM, Client Databases) and non critical applications(internal accounting systems) separately to decide what needs to be kept and what will be transferred.

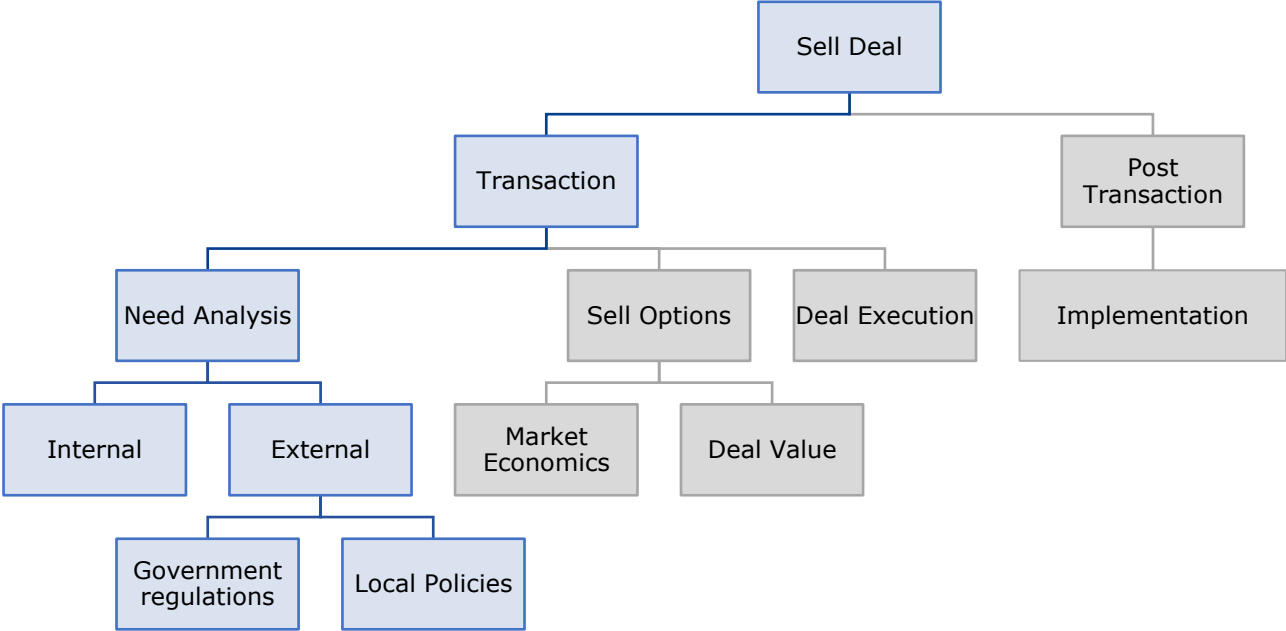
We then need to consider the needs of the acquirer and what they require in maximizing their business benefit. Finally the staffing and organisation restructuring needs to be implemented. Emphasis needs to be on ensuring transparency for all stakeholders.

Thank you I think we can close our discussion.



Mergers & Acquisitions 4: Summary

Prompt: Your Client is a large IT firm, based out of India. It is a global leader in the IT Services industry. The client has identified a particular arm of the business in a specific geographic location they want to sell. They want us to conduct a due diligence study. How would you approach this and what would your considerations be?

Case Facts	Interviewee Feedback	Approach
▪ About the client: Client is a market leader in the IT services industry with a global presence ▪ Geography: South America ▪ Problem: Recent govt. regulations have made winning deals and staffing offices extremely difficult ▪ Current Hand: Multiple bids offered with varying stake sell options. Client chooses to retain 49% in the deal	What Went Well? ▪ Interviewee understood that reasons to sell needs to be understood ▪ Understanding the assets & capabilities of the company in the affected geography Common mistakes ▪ Could have asked more preliminary questions to understand the case better ▪ Interviewee could have divided the case first into Pre-sell & Post sell	 <pre>graph TD; SD[Sell Deal] --> T[Transaction]; SD --> PT[Post Transaction]; T --> NA[Need Analysis]; T --> SO[Sell Options]; T --> DE[Deal Execution]; NA --> I[Internal]; NA --> E[External]; I --> GR[Government regulations]; I --> LP[Local Policies]; E --> ME[Market Economics]; E --> DV[Deal Value]; PT --> IM[Implementation];</pre>
Recommendations		Uninvolved Branches Note: Ideally in a Due Diligence cases, almost all relevant factors are involved and need to be studied. Try to consider all options.

Conclusion: Considerations of the sell side DD should include reasons, assets and information on the buyer

Short Term Recommendation

- Streamline integration and handover to optimize continuation of current commitments

Long Term Recommendation

- Ensure maximum transparency for shareholders and consider requirements of acquirer



Merger & Acquisition Case 5: Alliance formation

Industry	IT
Level	Intermediate

Prompt: Our client, GlobexCRM, is a CRM SaaS provider operating in more than 50 countries. They're considering an alliance with ProcureTech, a Procurement SaaS provider. GlobexCRM has a strong presence in North America but is looking to expand its influence in the Asian and European markets.

To start, I would like to know more about the alliance. What is the objective for the alliance with ProcureTech?

Their annual revenue growth for GlobexCRM in these regions is around 8%, but they aim to double that. They believe an alliance with ProcureTech could be the key. ProcureTech's annual revenue is \$200 million, with a solid customer base but limited growth capacity.

Thank you. Starting with the deal rationale, forming an alliance seems to be a strategic move for GlobexCRM to leverage ProcureTech's existing market penetration in Asia and Europe. With an 8% growth rate, an alliance could accelerate GlobexCRM's expansion and potentially increase market share, aiming for that 16% growth target.

Indeed. They've also seen a synergy potential of up to \$30 million in cross-sales and cost savings. How should they structure this alliance?

With that level of synergy, a joint venture could be the most beneficial structure. This would allow both companies to share resources and risks equitably. Let's say they aim for a 50-50 investment in the venture, which would mean a significant commitment from both sides but also shared governance.

Good. Also, They've had a stable 5% EBITDA margin for the past three years. How does that factor into the decision?

A 5% EBITDA margin is modest. It suggests ProcureTech has been managing its earnings prudently, albeit without much aggressive investment for growth. GlobexCRM could offer the necessary capital influx to innovate and scale ProcureTech's operations. Given ProcureTech's \$200 million revenue, the alliance could use this stable financial base to fund growth initiatives. Can you guide me more about the market conditions?

The European market is highly regulated, and the Asian market is extremely competitive, with local players dominating.

So, These conditions imply that the alliance needs to be strategic about entry points. In Europe, compliance with regulations like GDPR will be crucial, and in Asia, a localization strategy to compete with domestic players is necessary. A go-to-market strategy could involve leveraging ProcureTech's existing relationships and adapting their solutions to meet local needs.

And do you think there are any risks associated with the integration?

Integration risks are a significant concern, especially when it comes to aligning different company cultures and systems. GlobexCRM should perform a thorough cultural assessment and systems compatibility check. A risk mitigation strategy might include setting up cross-company integration teams and investing in change management programs.

Excellent analysis. Anything else you want to add to the analysis?

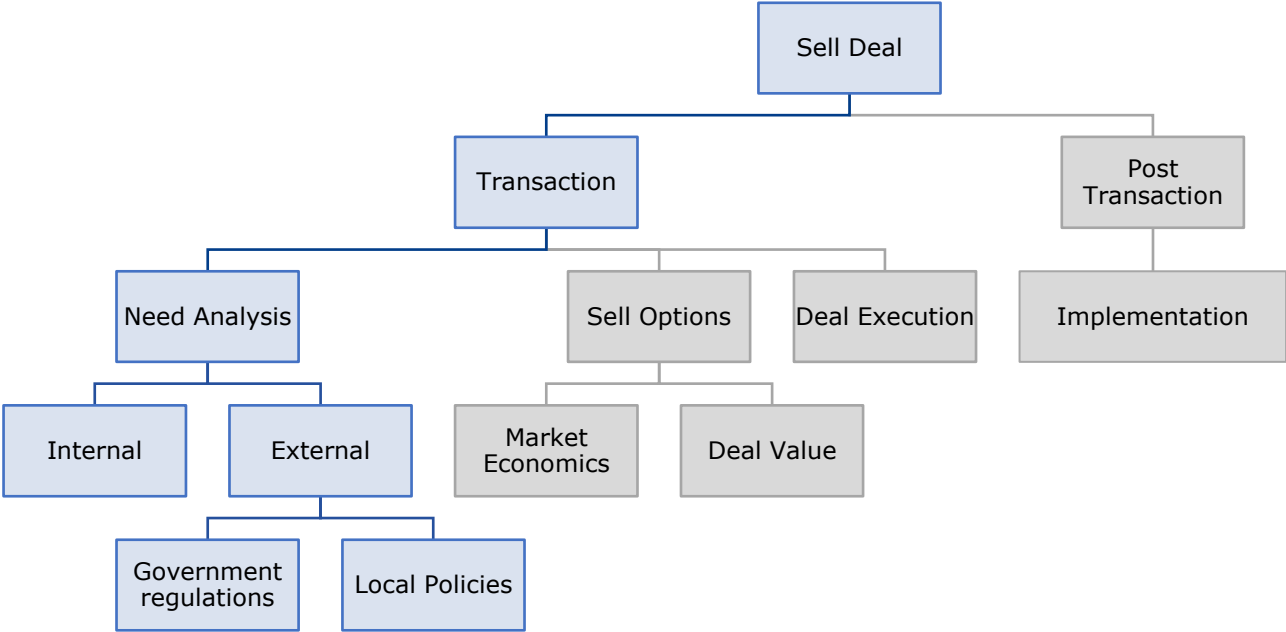
Yes, Due diligence should be comprehensive, covering financial audits, customer satisfaction analysis, and a detailed technology assessment. Given the synergy potential, a valuation exercise to quantify the economic impact of the alliance would be prudent. This would involve not just financial metrics but also strategic fit and potential market gains.

Thank you I think we can close our discussion.



Mergers & Acquisitions 5: Summary

Prompt: Our client, GlobexCRM, is a CRM SaaS provider operating in more than 50 countries. They're considering an alliance with ProcureTech, a Procurement SaaS provider. GlobexCRM has a strong presence in North America but is looking to expand its influence in the Asian and European markets.

Case Facts	Interviewee Feedback	Approach
About the client: Market leader in the CRM SaaS industry with a global presence. Strong presence in North America. Geography: Focus on Asian and European markets. Problem: Seeking to double the 8% annual revenue growth in these regions. Alliance with ProcureTech for market penetration. Current Hand: ProcureTech's annual revenue: \$200 million. Synergy potential: Up to \$30 million in cross-sales and cost savings. Aim for 16% growth rate through the alliance.	What Went Well? - Understood the strategic rationale behind the alliance. - Identified potential synergies and cost savings. - Recognized the importance of aligning company cultures and systems. Common mistakes - Could have explored more about ProcureTech's financials and market conditions. - Missed discussing the detailed due diligence process.	 <pre>graph TD; SD[Sell Deal] --> T[Transaction]; SD --> PT[Post Transaction]; T --> NA[Need Analysis]; T --> SO[Sell Options]; T --> DE[Deal Execution]; NA --> I[Internal]; NA --> E[External]; I --> GR[Government regulations]; E --> LP[Local Policies]; SO --> ME[Market Economics]; SO --> DV[Deal Value]; PT --> IM[Implementation];</pre>
Recommendations		Uninvolved Branches Note: Almost all relevant factors are involved in this case, thus no branches are left uninvolved.

Conclusion: The alliance with ProcureTech should include thorough due diligence, financial audits, customer satisfaction analysis, and a detailed technology assessment.

Short Term Recommendation

- Establish a joint venture with a 50-50 investment.
- Focus on aligning company cultures and systems.
- Implement a risk mitigation strategy.

Long Term Recommendation

- Leverage ProcureTech's market presence and adapt solutions to meet local needs.



Merger & Acquisition Case 6: Jewellery acquisition

Industry	Jewellery
Level	Intermediate

Prompt: Your client, Aabhushan, a well-known Indian jewellery brand specializing in traditional Indian jewellery. They have recently acquired another established jewellery brand and are now seeking advice on post-deal services, specifically on identifying and realizing possible synergies.

To start, I would like to know more about the revenue of both the brands in their respective markets.

Aabhushan's annual revenue is \$50 million, and the acquired brand has a revenue of \$20 million. Both brands have a strong presence in their respective markets.

Thank you for the context. Do we have any information about their operational characteristics?

Aabhushan has a strong online presence, while the acquired brand has an extensive network of brick-and-mortar stores, especially in Tier-2 and Tier-3 cities.

By leveraging Aabhushan's e-commerce model, we could potentially increase the acquired brand's sales in the next fiscal year.

That's a good start. With the acquisition, Aabhushan also inherits a skilled artisan base from the acquired brand, known for their craftsmanship in diamond jewellery which Aabhushan lacked. How can we capitalize on this?

This presents a fantastic opportunity for product expansion. Aabhushan can introduce a new line of diamond jewellery, combining their design expertise with the newly acquired craftsmanship skills. We could see a decent increase in their high-margin product sales.

The acquired brand has a different operating model, focusing on wholesale, while Aabhushan is largely retail-oriented.

This calls for a hybrid operating model. Aabhushan could adopt a 'best of both worlds' approach, utilizing the acquired brand's wholesale network to distribute Aabhushan's products, thereby expanding reach and improving inventory turnover. I'd estimate some cost synergy from supply chain optimization.

There's also the issue of brand positioning. Aabhushan is positioned as a premium brand, whereas the acquired brand has a value-for-money proposition. How should they approach this?

Brand differentiation is crucial. Aabhushan should maintain the acquired brand's identity to cater to a broader market segment. They can position the new product lines as 'Aabhushan's Exclusive Collection' under the acquired brand, aiming to attract price-sensitive customers to higher-value offerings.

Okay do you want to add anything futher?

Yes, we should also look at the cultural integration. Given the heritage and values associated with traditional Indian jewellery, preserving the cultural ethos of both brands will be essential. A unified corporate culture that respects the legacy and craftsmanship of both entities will be key to a smooth transition.

Considering potential risks, what would you say are the major ones to address?

The primary risk is the cannibalization of sales. Careful market segmentation and targeted marketing strategies will be needed to prevent this. Additionally, there's the challenge of integrating two distinct company cultures and customer bases without diluting brand equity.

Finally, what would be your recommendation for the first steps post-deal?

The first step should be a joint workshop with leaders from both brands to align on vision and strategy. Then, we should conduct a market analysis to understand cross-selling and upselling opportunities. Lastly, a task force dedicated to integration should be established to oversee the synergy realization process.



Mergers & Acquisitions 6: Summary

Prompt: Your client, Aabhushan, a well-known Indian jewellery brand specializing in traditional Indian jewellery, has recently acquired another established jewellery brand and is now seeking advice on post-deal services, specifically on identifying and realizing possible synergies.

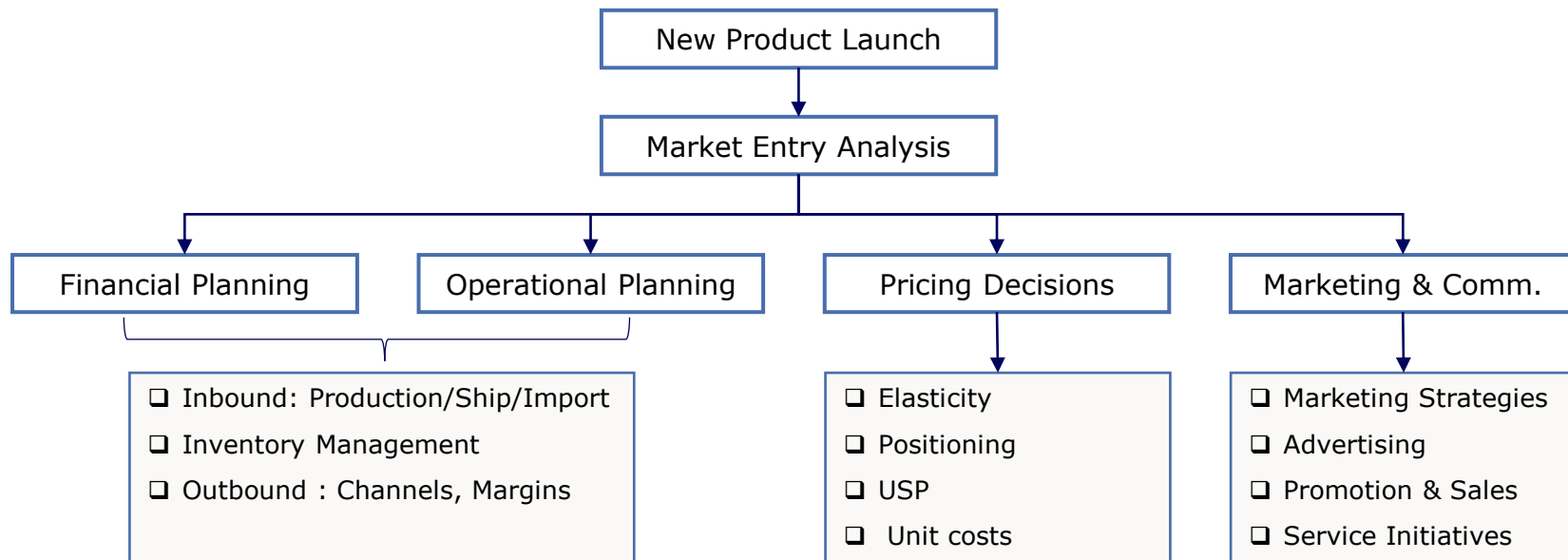
Case Facts	Interviewee Feedback	Approach
About the client: Aabhushan: Annual revenue of \$50 million. Acquired brand: Annual revenue of \$20 million. Geography: Strong online presence for Aabhushan; extensive network of brick-and-mortar stores in Tier-2 and Tier-3 cities for the acquired brand. Problem: Integration and realization of synergies post-acquisition. Current Hand: Potential for leveraging e-commerce to increase sales. Opportunity for expansion through inherited skilled artisan base.	What Went Well? - Identified the operational characteristics and potential for e-commerce leverage. - Recognized the opportunity for product expansion using acquired craftsmanship. - Understood the importance of brand positioning and cultural integration. Common mistakes - Could have explored more about operational efficiencies. - Missed discussing detailed risk mitigation strategies.	<pre>graph TD; SD[Sell Deal] --> T[Transaction]; SD --> SO[Sell Options]; SD --> PT[Post Transaction]; T --> NA[Need Analysis]; NA --> I[Internal]; NA --> E[External]; SO --> ME[Market Economics]; SO --> DE[Deal Execution]; ME --> DV[Deal Value]; DE --> IM[Implementation]; PT --> INT[Integration]; PT --> MON[Monitoring]; UB[Uninvolved Branches];</pre> Note: Almost all relevant factors are involved in this case, thus no branches are left uninvolved.
Recommendations		
Conclusion: The acquisition presents significant opportunities for synergy realization through e-commerce leverage, cultural integration. Short Term Recommendation - Conduct a joint workshop with leaders from both brands to align on vision and strategy. - Perform a market analysis to understand cross-selling/upselling opportunities. Long Term Recommendation - Leverage the acquired brand's wholesale network to improve inventory turnover and broaden market reach.		



New Product Launch Framework

Framework

Extension of Market Entry where in you developing an analysis and implementation plan for introducing product lines in new markets. Brings together the market entry framework, the pricing framework, and conceptual business considerations.



- Similar to mapping in market entry, there will be some overlaps
- Key Considerations

High Level Analysis

- ❑ Reiterate the problem to have a clear understanding of the case.
- ❑ Start off with a market entry framework to understand whether the product can be launched or not
- ❑ Use the NPL framework post the ME decision to go ahead with
- ❑ Focus more on the product and target audience. Segregation can be done using geography, income levels, demography etc
- ❑ For the product – use features, SKUs & Packaging features



New Product Launch Case 1: Nicotine Gums

Industry	Manufacturing
Level	Beginner

Prompt: Your Client is a manufacturer of Nicotine Gums. They have been successful in the US market and are now considering entering the Indian market. They want you to suggest if and how they can enter the market and also determine an appropriate price point of the product. How would you go about it?

Sure! I would like to breakdown the analysis into two sections. First, I'd want to understand if entering the Indian market is a feasible option, and if so how. Second, I'd like to look at how the product can be launched, and then address the financial, operational, marketing, and pricing considerations in that order.

That's a sound approach. Please proceed.

I'd like to understand a little about the company and the product itself. What differentiates the product? Are there any characteristic features for these gums? Does the client manufacture the product inhouse?

Yes, the company owns the patented formula for the gum, and has a fully integrated manufacturing setup. The product has the lowest nicotine content among competitors and clinical trials have proven that it is able to hold off cravings for longer than other products. The client has strong financials as well and can invest as needed.

Okay. So, we have a highly differentiated product and strong financial and operational capabilities. That's a very good sign. I would now like to look at the Indian market and estimate the potential user base for such a product. Can I proceed with a numerical analysis for this? I'd also like to understand our profit margins to decide on a price point.

The product has high profit margins in the US. It is a premium gum, and earns nearly double what it costs. The focus for the client is on entering the Indian market and capturing the right user base. Profitability is of primary importance to the client. For the analysis, start with 120 Million smokers in India.

Noted. Since the product is a premium one, we should try and target the mid to higher end of the smokers' pyramid. That would allow us greater price flexibility.

Do you think smokers of hand rolled cigars and premium cigarette brands would be willing to switch to Nicotine Gums? Assume that the 120 Million people are equally distributed among 3 income classes. Can you arrive at the number of potential customers for this product?

Right. The product should indeed be targeted at the lower and mid sections of the smokers' pyramid, where smoking is an addiction, and people might be willing to quit. With the upper sections, it could be a pleasure and status symbol. They may never consider switching to Nicotine Gums.

Assuming 40 Million smokers each in the mid and low income segments, at 20% quit potential, and 80% & 30% affordability respectively, we have a TAM of 9 Million people. With high product performance and efficacy, we should expect to achieve 60% penetration in one year. That will give us ~5.5 Million users. A 10% CAGR can be expected in the near future, and that gives us a sizable market.

Okay. That's a fair analysis. Convinced by the size and potential, the client has decided to enter the Indian market. You are required to suggest an operational strategy and also help the client identify the right price point for the product.

I would like to look at the price points first. Assuming that the median cost of a cigarette is ₹10, and on average people smoke 4 cigarettes a day, monthly spending comes out to ₹1,200. Given the higher efficacy of the product, an average smoker would chew 2.5 gums per day. Monthly consumption would be 75 gums. Assuming that gums are sold in packs of 25 each, each pack can be priced at ₹350. $(1200/(75/25) + 50^*)$. *Premium for the health benefits over cigarettes.



New Product Launch Case 1: Nicotine Gums

Industry	Manufacturing
Level	Beginner

That's a good analysis. Can you quickly go over the client's strategies from an operational and marketing perspective?

Sure. The client can either consider setting up a manufacturing unit in India, or choose to import the products from its manufacturing plants in the US. Since the product has the potential to grow rapidly and entails repeat purchases, it may be more efficient to setup an integrated manufacturing unit in India.

Okay. That's reasonable. What would your recommendations be for promoting and selling the product?

The two most prominent challenges for the client are –

- Creating an effective and consistent communication strategy that clearly articulates the product capabilities and develops a compelling narrative for usage
- Developing a robust salesforce and employing an omnichannel distribution strategy to ensure that the product is available at every location where it may be potentially demanded.

With restrictions on direct advertising, subtle product placement and promotion will be critical. The client has to focus on developing distribution channels that cater both to the organized and unorganized retailer segments. Joint promotions can be explored to improve brand awareness and perception.

Yes, that is a good analysis. Do you see any risks for the client in entering the Indian market? If so, how do you suggest they be tackled?

From a product perspective, the client runs the risk of losing out on its advantage of holding the unique formulation, as reverse engineering and development of alternatives can happen rather quickly, given India's poor protection of IP. With a number of low cost alternatives readily available, successful differentiation will be critical for market success. Without a distinctive brand preference, the client risks speeding the commoditization of the market.

To mitigate these risks, the client will have to seek strong protection of its IP and lobby with the state to bring in stringent regulations. This might eventually be the most critical aspect differentiating a go/no-go strategy.

The client will have to focus on a brand first marketing strategy, and create a unique proposition for its product, effectively differentiating itself from competition.

That's right. We can stop here. Well done!



New Product Launch Case 1: Summary

Prompt: Your Client is a manufacturer of Nicotine Gums. They have been successful in the US market and are now considering entering the Indian market. They want you to suggest if and how they can enter the market and also determine an appropriate price point of the product. How would you go about it?

Case Facts

- Product differentiator**
Patented formula for gum and Lowest nicotine content
- Category**
Premium with 100% Profit Margin
- Target Audience**
Low and middle tier of smoking pyramid
- Most effective product among competitor brands
- Strong financial and operational capabilities of company
- Fully integrated manufacturing setup

Interviewee Feedback

What Went Well?

- Clear thought structure throughout the discussion with to the point questions
- Calculation of Target market size was done properly
- Ability to think of additional risks that could be involved

Common mistakes

- Targeting the mid to higher end of the smokers' pyramid as the product is a premium one

Approach

Market Entry analysis

Go

No Go¹

Pricing planning

Operational planning

Marketing & Communication

Financial planning²

Pack of gums ₹350
Premium pricing

Set-up Integrated Manufacturing Unit in India

Omnichannel distribution
Consistent Communication

Uninvolved Branches

1. Based on the discussion and opportunity in India, product should be launched

2. The client has strong financials as well can invest as needed so ignoring the financial planning branch

Target Market Size Calculation

Group	Smoker	Quit potential	Affordability	Potential customers	TAM (60% penetration)
Mid income	40M	20%	80%	9M	5.5M
Low income	40M	20%	30%		

Recommendations

Conclusion: Total addressable market for nicotine gum is 5.5M with a 10% expected CAGR indicating that the product should be launched in India.

Short Term Recommendation

- Omnichannel promotion and marketing should be included to ensure clear and consistent messaging across different consumer groups

Long Term Recommendation

- Client must seek strong protection of its IP and lobby with the state to bring in stringent regulations to ensure that their investment reaps the maximum rewards



New Product Launch Case 2: EV Manufacturer

Industry	Automotive
Level	Beginner

Prompt: Your Client is the largest global manufacturer of EVs. The firm invests heavily in R&D and its advanced battery technology has enabled it to penetrate the mid and upper strata of the US automobile (car) industry. The firm sees opportunity to enter the Asian markets – particularly India. They want to understand what the strategy should be to enter this market. Assume that the decision to enter has been made. What would your product strategy look like?

Sure. I'd like to clarify the objectives before I begin. The idea is to develop a strategy for the client to enter the Indian market. Is that right?

Yes. But, I'd like you to focus on the product strategy and the company for now. Let's assume that the market, regulation and all such external factors are favourable. The client is looking at fat margins in India.

Understood. I'd like to structure my analysis in 2 segments. First, I'd like to start off with the client – the current financial position, top and bottom lines, operational capabilities and organizational flexibility. This would help gauge the client's ability in entering new markets, to sustain and drive growth. Next, I'd like to look at the client's product portfolio, the market segments they serve and their suitability for the price sensitive Indian market. This analysis would help gauge the fit of the current product mix to the Indian market, and make decisions pertaining to new product development.

That's a good start. You can assume that organizational capabilities are high and the as-is operational and financial outlook is positive. From the product portfolio perspective, the client has 3 best selling models – one each at 3 different price points, serving the luxury, mid-commercial, and affordable segments.

Do we have information on the price points for these models and on the suitability of these models to the Indian market – both from the customer perspective and capabilities for Indian conditions – roads, driving patterns, and performance?

Yes. The price points for these models are \$200,000, \$90,000 and \$40,000 respectively. You can assume that the models are capable of serving the Indian conditions. As far as the customer fit is concerned, there is no data available.

Alright. Before I develop a product strategy, I would want to understand the costs involved. Is the client looking at setting up a manufacturing plant in India?

The client will set up production & assembly capabilities in India, source components from suppliers to its US facilities, assemble and sell cars locally.

Understood. What are the costs involved in this process? Both fixed and variable? You also mentioned that the client is looking at fat margins in India. What are the profit margins that the client expects?

The one time fixed costs are expected to be US \$2 Billion, and variable production costs are about 70%, 75%, and 70% of the selling price for the affordable, mid-commercial and luxury models. The client is looking at 30-35% ROI on its fixed investment in the near future.

This helps. I would like to look at the price points of each model and analyse if the client's options are comparable with regular fuel-based cars at the same price.

Luxury Variant: It costs at nearly INR 1.5 Crore, and is likely to be a comparable option with other luxury cars at that price point. High end, environmentally sensitive customers are likely to pay for this model as it is likely to match regular cars in terms of features and drive capabilities.

Mid-commercial Variant: It costs nearly INR 70 Lac and seems to be a model for nothing in the Indian market. The features, brand perception and value from a regular car at this price point are definitely much better than what the client has to offer. So, this model may not be a viable option in the Indian market.

Affordable Variant: It costs nearly INR 30 Lac and has a similar limitation as the mid-commercial model. At this cost, the middle class Indian expects the car to be feature rich and have unique capabilities. Regular fuel based cars are likely to be more feature rich than the client's model. So, it wouldn't make financial sense – given that the sale volumes have to be very high in order to achieve the desired profit margins – to introduce the low end model either.

Does this sound right? Or am I missing something here?



New Product Launch Case 2: EV Manufacturer

Industry	Automotive
Level	Beginner

That's an interesting approach. Our initial research has also suggested that the high end luxury model is best suited among the 3 alternatives for the Indian market. How long would it take to break-even and achieve the desired profits? Would it be possible to reach these numbers in the Indian market?

Sure. Let me work out the math to understand the required sale volumes.
One-time Fixed Investment = \$ 2 Billion
Selling Price of Luxury Model = \$ 200,000
Per Unit Variable Manufacturing Cost = \$ 140,000 (@70% Variable Costs)
Contribution Margin = \$ 60,000
Break-even Sale Volume = 33,334 Units
Similarly, for 30% return on the fixed investment (At the same contribution margin), Sale Volume = 43,334 Units

I'm assuming that the production set-up will have the capabilities to meet this demand. Do we have data on how many units are expected to be sold in the first year, and what the subsequent year on year growth is expected to be?

Alright. Those numbers make sense. In the US market, the client had sold nearly 500,000 vehicles in the past year in a 50-40-10 split between the affordable, mid-commercial and luxury models. Based on these numbers, can you forecast the numbers for the Indian market? Do they make sense?

Sure. So, out of the 500,000 units sold, 50,000 units were the luxury variant. To get the corresponding volumes for the Indian market, I would like to use the PPP adjusted per capita GDP ratios. India's PPP adjusted per capita GDP is about 10% of that of the US. From that we project the sales in India to be 5000 units in the upcoming year. However, this number seems to be rather high. I'd like to do a sanity check on this number.

Yes, makes sense. Go ahead.

Less than 0.001% of India's population falls under the super rich category. Among these people, less than 20% are likely to consider the decision to go for the luxury electric vehicle, and less than 5% of those in the final consideration are likely to actually make the purchase.

That sounds right. So, what is the number you are going to arrive at?

Assuming India's current population to be 1.4 Billion, the number of luxury electric cars expected to be sold are 140 per year. Accounting for under accommodations and impulsive purchases, I would ceil the number at 200.

Perfect. That number makes better sense. This is a very strong analysis. So what would your final client recommendations be?

We started out on the premise that the client has decided to actually enter the Indian market. So my recommendations to the client would be two fold:

First, the current Indian market for EVs is in a very nascent stage, and it might be a little early to enter the market and setup operations at scale. So, the first suggestion is that the client should not enter the Indian (and other Asian) markets at this point in time.

Second, if the client still chooses to enter the market, they need to embrace the fact that their expected return on Fixed Investments (~30%) in the near future is certainly impossible. The mere break-even, even with full scale operational setup, is expected to take well over a decade. Additionally, the client will only be able to manufacture and sell the luxury model, if any at all. So setting up its own production capabilities in India would be a very risky strategy for the client – with almost no payoff potential.

A reasonable alternative for the client is to consider exclusive partnerships and JVs with established OEMs in India. The client can enable the technology, set production and quality standards, offer manufacturing expertise, and lend it's strong brand. In partnership with Indian (and established foreign) OEMs and assemblers, the client may consider entering the Indian market with co-branded EVs. While challenges such as marketing communications, adoption, and after sale service will continue to exist, it is financially much more easier for the client to implement.

Wonderful. That is a very good analysis. We can close the case here.



New Product Launch Case 2: Summary

Prompt: Your Client is the largest global manufacturer of EVs. The firm invests heavily in R&D and its advanced battery technology has enabled it to penetrate the mid and upper strata of the US automobile (car) industry. The firm sees opportunity to enter the Asian markets – particularly India. They want to understand what the strategy should be to enter this market. Assume that the decision to enter has been made. What would your product strategy look like?

Case Facts	Interviewee Feedback	Approach
▪ Market Entry conditions i. Market, Regulation & all other external factors- favourable ii. Operational, Financial and Organizational factors- Positive ▪ Product categories Luxury, mid and affordable worth \$200k, \$90k and \$40k respectively ▪ Costs involved Fixed - \$2B & variable costs ranging between 70% to 75% ▪ In US, client sold 500K vehicles in 50-40-10 split across affordable, mid and luxury segments respectively	What Went Well? ▪ The thought process during the entire interview was very clear and comprehensive ▪ Was able to use the concepts of Purchasing power parity of India and US while forecasting the units in the Indian market ▪ Ability to include real world data related to EV infrastructure and customer perception towards EVs Common mistakes ▪ Not conducting a sanity check on the data in the context of India	<pre>graph TD; A[Market Entry analysis] --> B[Go]; A --> C[No Go]; B --> D[Pricing planning<sup>1</sup>]; B --> E[Operational planning]; B --> F[Marketing & Communication<sup>2</sup>]; B --> G[Financial planning]; B --> H[Launch strategy]; C --> I[Uninvolved Branches];</pre> The flowchart illustrates the Market Entry analysis process. It starts with 'Market Entry analysis', which branches into 'Go' and 'No Go'. 'Go' further branches into five planning areas: Pricing planning¹, Operational planning, Marketing & Communication², Financial planning, and Launch strategy. Below 'Operational planning' is a dashed box containing 'Setup production plant in India for \$2B'. Below 'Financial planning' is a dashed box containing '200 units not enough to reach breakpoint'. Below 'Launch strategy' is a dashed box containing 'Explore JVs and partnerships'. 'No Go' leads to 'Uninvolved Branches'.
Recommendations		Uninvolved Branches
Conclusion: Since EV is at a nascent stage in India, there isn't enough scale to achieve financial success yet. Hence, the client should reconsider entry into India. Short Term Recommendation ▪ Due to the nature of fixed costs and the long break-even time period associated with this process, the client should explore opportunities like Joint Ventures and Exclusive Partnerships Long Term Recommendation ▪ As the EV infrastructure and customer preference evolve in India, the client should explore options of opening its own facilities in the future		1. Pricing planning was not discussed as part of the case interview 2. There might be some communication and marketing challenges but that was not discussed as part of the transcript and is something that the client would need to take up in the future



New Product Launch Case 3: Autonomous E Bike

Industry	Automotive
Level	Beginner

Prompt: Your Client is a manufacturer of novel Autonomous Self-balancing Electric Bikes. A functional prototype is ready, and they want you to help develop a product launch strategy for the right markets. How would you go about it?

That's a very interesting product. Can you please tell me a little more about the Autonomous Self-balancing Electric Bike? What is this product? And what are its features?

The Autonomous E Bike is a novel 2 wheeled, self balancing vehicle that users can ride on (standing). It is a dock based electric commute option that serves users on-demand, through a mobile application. It has an expected range of 2 km, and can navigate independently from and to its closest dock stations.

That's very interesting. Per my understanding, the product would serve requirements in last mile commute and micro mobility. However, the range limitations and autonomous features greatly limit the product's applicability and we may have to look at niche use cases. Is the client willing to change some of the product features, and build a model that supports operations similar to that of Yulu, Bounce, or Vogo, for example?

Yes. Micro-mobility is the client's focus area. Autonomy and Electric Drives are the key differentiators for the client's product and these features can not be compromised upon.

Okay, I understand. So, I'm assuming that the prototype has been promising, and the client wants to know where and how to introduce the product. Is that right? Are there any other technology or business constraints that I should consider?

Yes. The prototype has been promising. However, the autonomy of the bike is not advanced enough for it to navigate open urban environments. The bike can navigate through fairly complex environments where there are no sudden disruptions. Besides, remember the fact that the bike is a dock based commute option.

Okay. Let me get my thoughts together and develop a framework.

Sure, go ahead.

I would like to look at this like a new product launch and analyse 3 segments –

- a) the markets to enter – if and how,
- b) the business operating model and scalability, and finally
- c) supporting financial and marketing strategies for the client.

That sounds like a good approach. Please go ahead.

I'd like to start with the suitable markets to enter, and see if they have enough financial and growth potential. Given the product's capabilities, use would be restricted to controlled residential and commercial environments, where micro mobility has significant potential. Some applications that I can think of include large apartments, gated housing communities, SEZs and technology parks, large corporate and academic campuses. Would you like me to do a numeric analysis of one of these segments?

That's a good start. The client is indeed keen on starting with gated communities and large campuses. Can you estimate the number of such bikes needed to serve the community at MDI Gurgaon?

Sure. The average batch size at MDI is about 650 across the all programs. At any given time the number of students on campus is approximately 800. Given the size of MDI's campus, there would less than 10% unique users from the student community. Among the 30 faculty members and 20 administrative and support staff, there are likely to be less than 1% unique active users at any given time. In all, I would say 70 bikes would suffice for the MDI campus here in Gurgaon.



New Product Launch Case 3: Autonomous E Bike

Industry	Automotive
Level	Beginner

However, to have maximum usage and on-demand availability of the E-bikes, it would be important to strategically place the docking stations. Based on mobility between commonly visited locations on campus, I recommend that 4 docking stations be installed – one each at the entrance, the hostel block, the academic block, and the canteen/mess area.

Okay. That's a good analysis. Can you recommend an integrated communication and pricing strategy for the product? How should the client go about selling the offering and how should it be priced?

Sure. Again, I would like to highlight the importance of launching the product in a controlled environment, and offering an integrated service portfolio with it. Marketing and communication efforts need to be directed towards commercial and retail builders, with a focus on developing an integrated technology hub/township/apartment complex that has state of the art capabilities in micro mobility. Further, large corporate and academic campuses should be targeted with the central idea of providing convenience, and making these campuses eco friendly with zero vehicular emissions. Extensive opportunities exist across the spectrum. IIT and IIM campuses, the Infosys campus in Mysore, and TCS campus in Siruseri offer great potential for such products.

Yes. That sounds right. Can you talk me through your approach for helping the client determine and adopt a pricing strategy ?

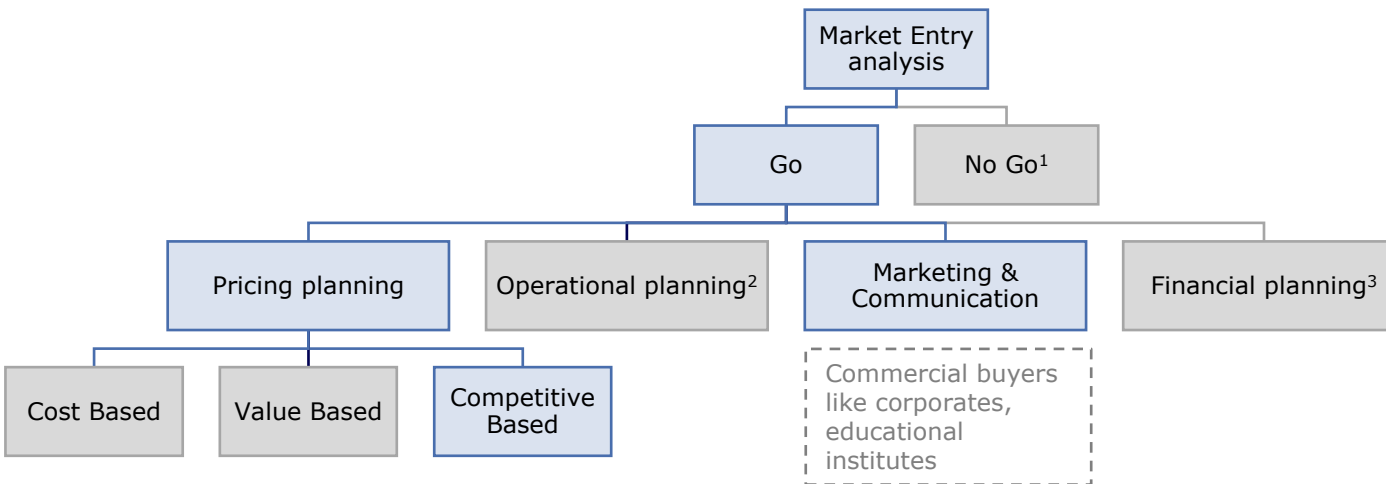
Definitely. I would like to look at the 3 standard pricing models and suggest the right strategy based on which model makes financial and strategic sense – a) Cost +Margin Model, b) Value Model, and c) Competitive Pricing Model. Based on our targeted selling markets, competition is a critical factor. Providers like Yulu and Ofo, have alternatives such as pedal bikes and electric scooters. To be able to sell our products and services, we will need to price them competitively. So, I recommend that we adopt a competitive pricing strategy, even if it means that we will have thin (or even negative) margins initially. Do you want me to conduct further analysis of such a strategy?

That's a good suggestion. No, let's stop here. It was good interacting with you.



New Product Launch Case 3: Summary

Prompt: Your Client is a manufacturer of novel Autonomous Self-balancing Electric Bikes. A functional prototype is ready, and they want you to help develop a product launch strategy for the right markets. How would you go about it?

Case Facts	Interviewee Feedback	Approach
▪ Product differentiator Novel 2-wheeled, self-balancing dock based electric vehicle with an expected range of 2kms ▪ Category Micro mobility ▪ Target segment Large apartments, gated communities, SEZs & technology parks & campuses ▪ The bike can navigate through fairly complex environments where there are no sudden disruptions ▪ Not advanced enough to navigate open urban environments	What Went Well? ▪ Ability to use the relevant data for market sizing of potential customer base ▪ Understanding of the Limitations of an electric mobility vehicle ▪ Knowledge of Different Pricing strategies Common mistakes ▪ Not asking relevant preliminary questions to understand the case better	 <pre>graph TD; A[Market Entry analysis] --> B[Go]; A --> C[No Go¹]; B --> D[Pricing planning]; B --> E[Operational planning²]; B --> F[Marketing & Communication]; B --> G[Financial planning³]; D --> H[Cost Based]; D --> I[Value Based]; D --> J[Competitive Based]; F -.- K[Commercial buyers like corporates, educational institutes];</pre>
Recommendations		Uninvolved Branches 1. Based on the discussion and opportunity, product should be launched 2. No discussion regarding the operational planning has been mentioned in the case 3. Financial planning was not in the scope of the case discussion and is assumed to be sufficient enough for the investment



New Product Launch Case 4: Anti-Depressant

Industry	Healthcare
Level	Intermediate

Prompt: Your Client is the US pharmaceutical division of an MNC. In 2 months, the division expects to receive the FDA's approval to launch an anti-depressant drug. The division, however, has concerns over the market potential for this drug and its ability to reach the key prescribers in this therapeutic category. We have been asked to help determine whether they should – a) launch independently, b) co-market with a partner, or c) sell, license or swap the drug. How would you go about it?

Sure. Sounds quite interesting. Before I proceed, I would like to understand what the client's primary apprehensions are. Any specific aspects that the client is concerned with?

The concerns over market potential center on whether the drug can gain adequate competitive advantage in a market having two dominant, patent-protected competitors and nearly 100 generic competitors. Additionally, a higher technology antidepressant, which appears to offer therapeutic advantages, was recently introduced by a competitor.

Alright, noted. To understand profitability potential, I'd like to explore the market attractiveness and our competitive position within that market in order to determine the market size we can target. Next, I'll explore the major cost drivers and how they impact the entry decision.

Alright. That sounds fair. Please proceed.

Starting with the revenue, I'd want to understand first what the overall market revenue opportunities are for this type of drug and for our product specifically. The client has expressed concern over the market potential for this drug. How big is the market and what is its potential growth rate?

The overall antidepressant drug market is relatively attractive at \$1.1 Billion per year and is growing well in excess of the population growth rate.

So, the overall antidepressant market is attractive at \$1.1 Billion, but within that market, there are segments based on different types of technology that may or may not be attractive. Does that sound right? What is the technology associated with our client's product? And how fast is this segment growing?

Yes, that's right. The client's technology is based on tricyclic formulations. The existing competitive environment in this segment is very intense and will only increase if the segment shrinks – which is likely to happen.

That drives me towards concluding that the overall segment is not very attractive. What percentage of the market share by volume do the competitors have?

In our own technology segment, the leader has approximately 10% and the number two player has about 4%. The rest of the 100 competitors each has less than a 2% market share. By comparison, the new technology has captured a 20% market share of the total antidepressant market.

Sure, noted. How much will our client's product be able to differentiate itself within our technology segment?

Not much. In a market research study we commissioned, the product was perceived to be very similar to the next best product in our technology segment, slightly inferior to the number one product, and slightly better than the generic products. The new technology introduced by the competitor was viewed as far better due to a lower level of sedation.

So, to summarize the market environment, although the anti-depressant market is attractive, the segment that we would be participating in is relatively unattractive and runs the risk of becoming smaller and more competitive over time. Additionally, within this unattractive segment, we have limited ability to differentiate ourselves relative to our competitors, and thus, will not be able to charge a premium price.



New Product Launch Case 4: Anti-Depressant

Industry	Healthcare
Level	Intermediate

Yes, that is right. So, what next?

I would think that this unattractive market and relatively undifferentiated position within that market would translate to a low market share. I would estimate that our share might be lower than either of the branded products given our new presence in the market, say maybe a 2-4% share and this, like the rest of the segment, would probably decline over the next couple of years.

Okay, that makes sense.

Knowing that our revenue potential is relatively low puts more pressure on minimizing the costs if we were to market the drug. I would want to see what area within the cost structure impacts profitability the most. What percent of net sales is COGS? Further, who would we be selling to?

COGS is about 20% of net sales, and most other expenses are SG&A. Good point on the customer. For such a drug, we would be selling directly to doctors – Psychiatrists and General Practitioners. It is the Psychiatrists that determine the success or failure of such a drug.

Sure. COGS seems to be reasonable and is not of concern at this point. SG&A are regular expenses and would be at realistic levels. I'd now like to focus on the people we sell to – the physicians. Do we have expertise in pharmaceutical sales? Do we have good relations with doctors?

Yes, that's right. No, we do not have any experience with pharmaceutical sales. We neither have relations with the doctors nor a trained salesforce that can do it. We will have to build those capabilities ground up.

Okay, noted. In undertaking this exercise, there would be significant costs that would have to be incurred. Further, pharmaceutical sales work based on good relationships between manufacturers and prescribers. This would take time and efforts to work, and given the already bleak state of the market segment, the client does not have the leg room to incur higher costs or the benefit of building relations over long time periods. They need to act now if all their R&D is to yield some tangible benefit to the company.

Yes, that's absolutely right.

So, that eliminates the option of directly launching the product. Co-marketing and branding with a partner in the space would be a good option for the client.

Okay. Can you walk me through that thought process?

Sure. By entering a co-marketing agreement, the costs of the sales force is spread across several products of the two companies. As we would choose a partner who does not have a competing product, our drug would get the appropriate selling attention warranted. The partner is likely to have existing relationships with the psychiatrists and doesn't need to take time to further establish these relationships. This might help the sales of our product might peak sooner. So, all in all, I would think that if we were to market this product, it would be a less costly and higher value option to enter into a co-marketing agreement rather than go at it alone.

That makes sense. So, is that your final recommendation?

Not yet, I'd like to look at the final option of selling/licensing or swapping out the drug. Do we have any information pertaining to this? Are there companies who we can potentially sell to, or those that would want to use our formulations?

What in your opinion would be the reasons to go for any of these alternatives?

The client would want to choose the option that is the most value creating. There could be several reasons for going with this alternative. a) We might sell our drug patent because the sum of the promotional or overhead costs may make it unprofitable for us to market whereas a company having a similar product line might be able to carry this product at a very small incremental cost. b) We might license it which would help companies with the expertise to actually sell the drug. c) We might swap it if we could find a company in need of this type of drug while having an innovation that might fit more with our existing infrastructure.

To evaluate these options, we might look at projected cash flows and discount them backwards to see which of them is the most value creating alternative.

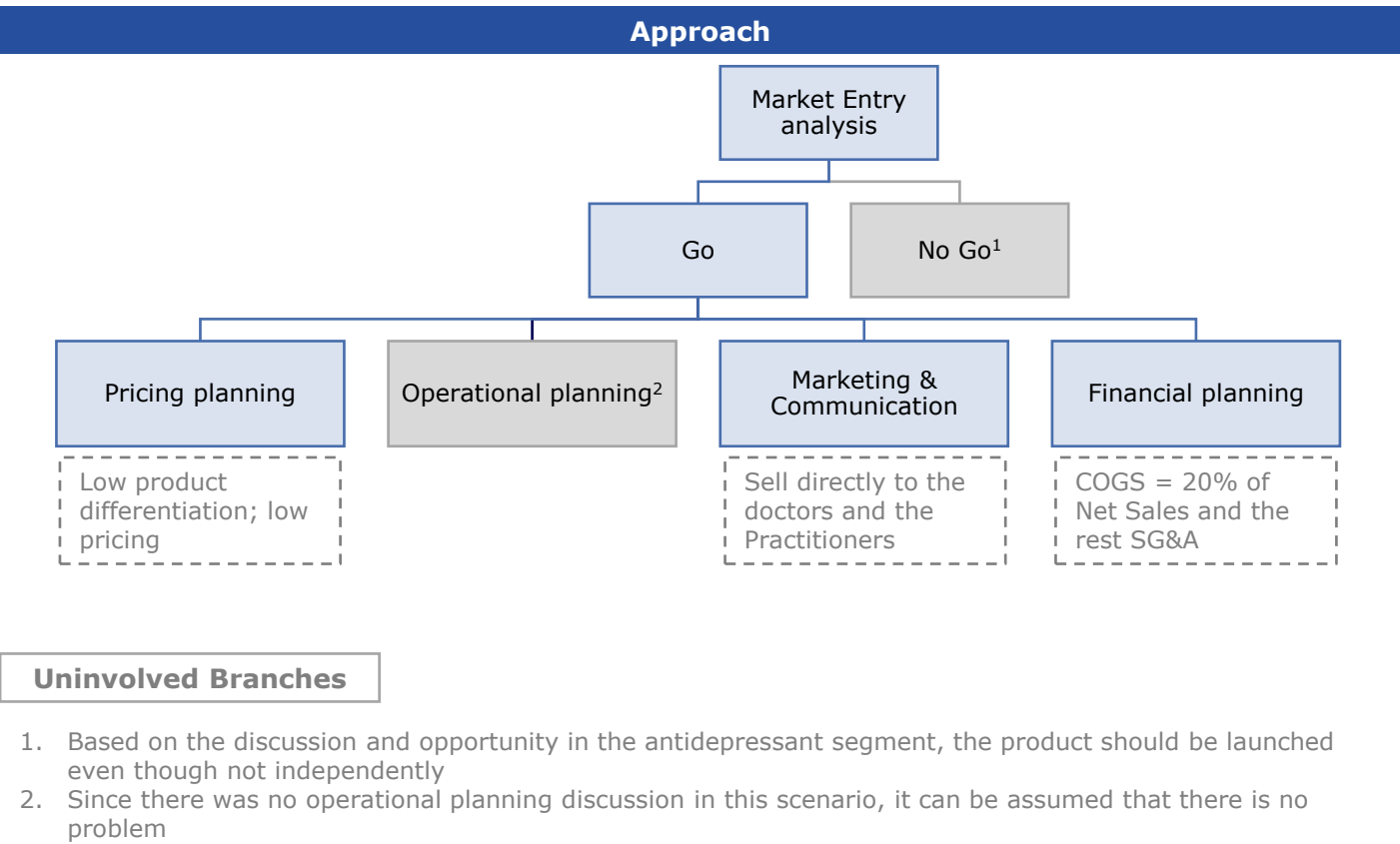
Perfect. That's good. We can stop here. Thank you for your time.



New Product Launch Case 4: Summary

Prompt: Your Client is the US pharmaceutical division of an MNC. In 2 months, the division expects to receive the FDA’s approval to launch an anti-depressant drug. The division, however, has concerns over the market potential for this drug and its ability to reach the key prescribers in this therapeutic category. We have been asked to help determine whether they should – a) launch independently, b) co-market with a partner, or c) sell, license or swap the drug. How would you go about it?

Case Facts	Interviewee Feedback
▪ Industry attractiveness The overall antidepressant market is worth \$1.1B ▪ Competitors 2 dominant patent-protected competitors and 100 generics ▪ Market share In the client’s segment, the market share of competitors is 10% and 4% while the rest have less than a 2% share ▪ Current cost structure COGS is 20% of net sales & the rest expenses are SG&A ▪ Client does not have any experience with pharma sales & will have to build those capabilities ground up	What Went Well? ▪ Clear thought structure throughout the discussion with to-the-point questions ▪ Ability to identify various cost drivers for a pharmaceutical business ▪ Assessing market potential and determining market share within the client's category Common mistakes ▪ Mistaking the market share for the overall antidepressant market as the prospective share in the client category
Recommendations	
Conclusion: Since the client currently doesn’t have experience with pharmaceutical sales and would incur high costs if they decide to launch the product independently, Co-marketing and branding with a partner in the space would be a good option for the client Short Term Recommendation ▪ Apart from co-marketing, consider other options of selling/licensing or swapping out the drug Long Term Recommendation ▪ Invest in R&D to work on new technologies that could help acquire more market share of the antidepressant market	





New Product Launch Case 5: In-Flight Connectivity

Industry	Travel
Level	Intermediate

Prompt : Your firm is a low cost US domestic airline carrier considering In Flight Connectivity technology. With competitive pressures rising, Wi-Fi in the sky is becoming a basic offering. Your client has yet to enter the game, but they know it's something they need to consider to stay competitive. What are some of the key considerations for their client as they launch their Wi-Fi in the Sky product?

Sure. Before I proceed, I would like to understand what all the client refers to as In Flight Connectivity.

IFC includes only Wi-Fi connectivity.

Alright, noted.

To understand the case a little better I would like to know our client's operational routes and competitors.

The airline flies primarily domestic routes within the continental US, as well as select flights to Canada, Mexico, and the Caribbean.

The information on competitors has been drawn up by analysts and can be found in Annexure 1. What do you think can be inferred from this competitor data?

Looking at Competitor 1:

- Pros: less operational cost burden, potential for customer experience continuity
- Cons: limited control over pricing, brand fit considerations

Looking at Competitor 2:

- Pros: control over pricing, control over user experience, potential for better ROI, easier to integrate with airline's other products like IFE
- Cons: more operational burden on airline, higher costs

That is a reasonable conclusion regarding the competitors.

After some initial analysis, the client has decided to partner with a IFC vendor to outfit all 90 of its planes. An investment of \$250k per plane is required which the airline and vendor will share 40-60, and then the airline will pay the vendor a per-session fee to cover operating expenses. The airline wants you to figure out what percentage of their passengers need to purchase a session for the airline to break even in 2 years at \$10 per session. Use the data given in Annexure 2.

Analyzing the data, I can come to the following conclusions:

- The Airline will require a total investment of \$9m including all the aircrafts
- We will have a total of 7M passengers in 2 years assuming 100% occupancy
- Using the above data, we will need a take rate of about 13% across our flights.

Do we have any market research data that would point at this figure being attainable?

Market research tells us that take rates are only between 5 and 10% today for paid connectivity, so our client is concerned about being able to hit the break-even targets. What do you think are the key drivers of IFC take rate?

Some factors I can think that would drive the IFC take rates are:

- Flight characteristics: duration, flight time (night vs daytime), other entertainment systems
- Product characteristics: price, speeds available, quality of service
- Passenger characteristics: age, gender, income, cabin class, business/leisure

Based on these factors and data how do you think the client should proceed with their go to market?

Firstly my recommendation would be the client try to create a branding with the best of the both competitor models by partnering with a IFC vendor wholesale for the technology while having a control on the pricing and avoid going down the free connectivity solution being a low cost carrier.

The client should also begin with pilot projects on routes that is expected to have more demand based on the above mentioned factors of take rate and will help us understand how we can bridge the gap in required take rate.

Can you identify the risks associated with the key decisions in this implementation?



New Product Launch Case 5: In-Flight Connectivity

Industry	Travel
Level	Intermediate

Due to large upfront investment, contract is likely to be 10+ years long, so smart vendor selection is very critical. Since we are trying to have a model where we have control over the session rates there might be a trade-off with technology. Difficult to strike balance between maximizing revenue and maintaining sufficiently low take rate to ensure higher speeds.

I think that is satisfactory and we can close the case here.

Annexure 1

	Competitor 1	Competitor 2
Airline Description	Major domestic and international carrier with 65% fleet IFC coverage	Domestic discount carrier with 90% fleet IFC coverage
IFC Branding	Vendor-branded	Airline-branded
Pricing	Determined by vendor, average \$25/session	Determined by airline, Free
Revenue Model	Revenue share	Wholesale

Annexure 2

	Wide Body	Narrow Body
Fleet Size	10	80
Passengers Per Aircraft	300	100
Flights Per Year	2,500	27,500

Candidate Calculations

To calculate the initial investment:

- Airline share of investment = $\$250K \times 40\% = \$100K$ per plane
- Wide body = $10 \text{ planes} \times \$100K/\text{plane} = \$1M$
- Narrow body = $80 \text{ planes} \times \$100K/\text{plane} = \$8M$
- Total investment = $\$1M + \$8M = \$9M$

To determine total passengers in 2 years:

- Wide body = $300 \text{ seats} \times 2,500 \text{ flights/yr.} \times 2 \text{ yrs.} = 1.5M$ passengers
- Narrow body = $100 \text{ seats} \times 27,500 \text{ flights/yr.} \times 2 \text{ yrs.} = 5.5M$ passengers
- Total = $1.5M + 5.5M = 7M$ passengers in 2 yrs.

To determine % take rate needed:

- Set up the following equation and solve for [take rate]:
- $7M \text{ passengers} \times [\text{take rate}] \times \$10/\text{session} = \$9M$
- [Take rate] = 12.9%



New Product Launch Case 5: Summary

Prompt: Your firm is a low-cost US domestic airline carrier considering In Flight Connectivity technology. With competitive pressures rising, Wi-Fi in the sky is becoming a basic offering. Your client has yet to enter the game, but they know it's something they need to consider to stay competitive. What are some of the key considerations for their client as they launch their Wi-Fi in the Sky product?

Case Facts	Interviewee Feedback	Approach
About client The client operates domestic routes within the continental US, as well as select international flights to Canada, Mexico, and the Caribbean Competitor 1: Major domestic and international carrier with 65% fleet IFC coverage, vendor branding, an average price of \$25/session, and a revenue share model Competitor 2: Domestic discount carrier with 90% fleet IFC coverage, airline branding, price determined by the airline itself, and a wholesale revenue model	What Went Well? - Ability to understand the cost drivers of an airline business - The candidate was also quick enough to understand the Key factors driving take rates in a business - Understanding of pricing flexibility and pros & cons with respect to partnering with vendors Common mistakes - Focusing only on short term gains and not having a long term strategic goal in the mind while deciding on the recommendations	Market Entry analysis Go No Go¹ Pricing planning² Operational planning³ Market planning Financial planning Domestic as well as International \$9M investment 7M passengers x [take rate] x \$10/session = \$9M [Take rate] = 12.9% Annexure 2 Uninvolved Branches 1. The discussion was about the considerations for the "Go" decision 2. There has been no mention regarding the Pricing and Operational planning that needs to be considered at this point in time
Recommendations		
Conclusion: Create a branding by partnering with a IFC vendor wholesale for the technology while having a control on the pricing. Short Term Recommendation - Begin with pilot projects on routes that are expected to have more demand and will help to understand how to bridge the gap in required take rate Long Term Recommendation - Based on the results of pilot projects, determine routes and strategy for future expansion		



New Product Launch Case 6: Men’s Magazine

Industry	Media
Level	Intermediate

Prompt: Your client a major Indian publishing company that produces educational as well as women’s magazines. The two magazines are profitable but has stagnant growth. He wants to start a third monthly magazine targeted at 25-50 year old men (e.g. GQ Magazine). His stated goal is to generate circulation revenues of 100 crores in the first year. He has hired you to figure out whether this is possible and should he go ahead with the plan?

Just to clarify my understanding, the client already produces educational and women’s magazines. Because of stagnant revenue growth the client is looking for a new opportunity in the form of a new magazine.

Yes that is correct. And that new magazine is a men’s magazine.

I would like to begin by understanding the revenue goals and pricing model.

This would allow me to understand the expected revenue by placing it against the estimated target market size. Finally I can compare it with the goals to verify if we should go ahead with the plan.

So our pricing model for the new magazine will be ₹200 per issue for the print version and a ₹100 per issue online subscription.

Our goal to ahead with the launch is to achieve a revenue of ₹100 crores in Year 1.

I will start by estimating the market size.

The total Indian population is approximately 1B. Approximately 25% of the population falls between 30-50 age group or about 250 million people. Approximately 50% are male or 125 million. Of the 125 million 30-50 year old men in that age group, assuming that at least 40% would read a magazine or 50 million.

Given the wide range of magazines on the market assume that only 10% of magazine readers would want to read a men’s journal or 5 million target customers.

So the men’s magazine market is of 5 million. What percent of the market do you think we can capture? There are 3 major competitors and their information is attached.

Looking at the data I think we can capture 20% market share easily in the first year from Competitor 2 and 3, considering we can keep some global content in our issues. That would give us an addressable market of 1 million.

Based on that if I look at the revenue, I am assuming a 60% subscription online that would give us a revenue of

$(600,000 \times 100 \times 12) + (400,000 \times 200 \times 12) = 72 \text{ cr} + 96 \text{ cr} = ₹168 \text{ crore}$

Therefore, we can comfortably estimate a revenue of north of 100 crore as was the goal for our client.

How can we help achieve these goals?

We need to gather subscribers by aggressive marketing. We could leverage our existing data on readers and push emails to let them know about our magazine. We need to spend on having high profile lead stories on our initial issues. We can further leverage social media to run targeted ads based on user data which might align with our content.

Thank you. I think we can close the case here.

	Competitor 1	Competitor 2	Competitor 3
Market	50% share, Steady	30% share, Shaky	20% share, Dying
Content	India Focused	India Focused	Global



New Product Launch Case 6: Summary

Prompt: Your client a major Indian publishing company that produces educational as well as women’s magazines. The two magazines are profitable but has stagnant growth. He wants to start a third monthly magazine targeted at 25–50 year-old men (e.g., GQ Magazine). His stated goal is to generate circulation revenues of 100 crores in the first year. He has hired you to figure out whether this is possible, and should he go ahead with the plan?

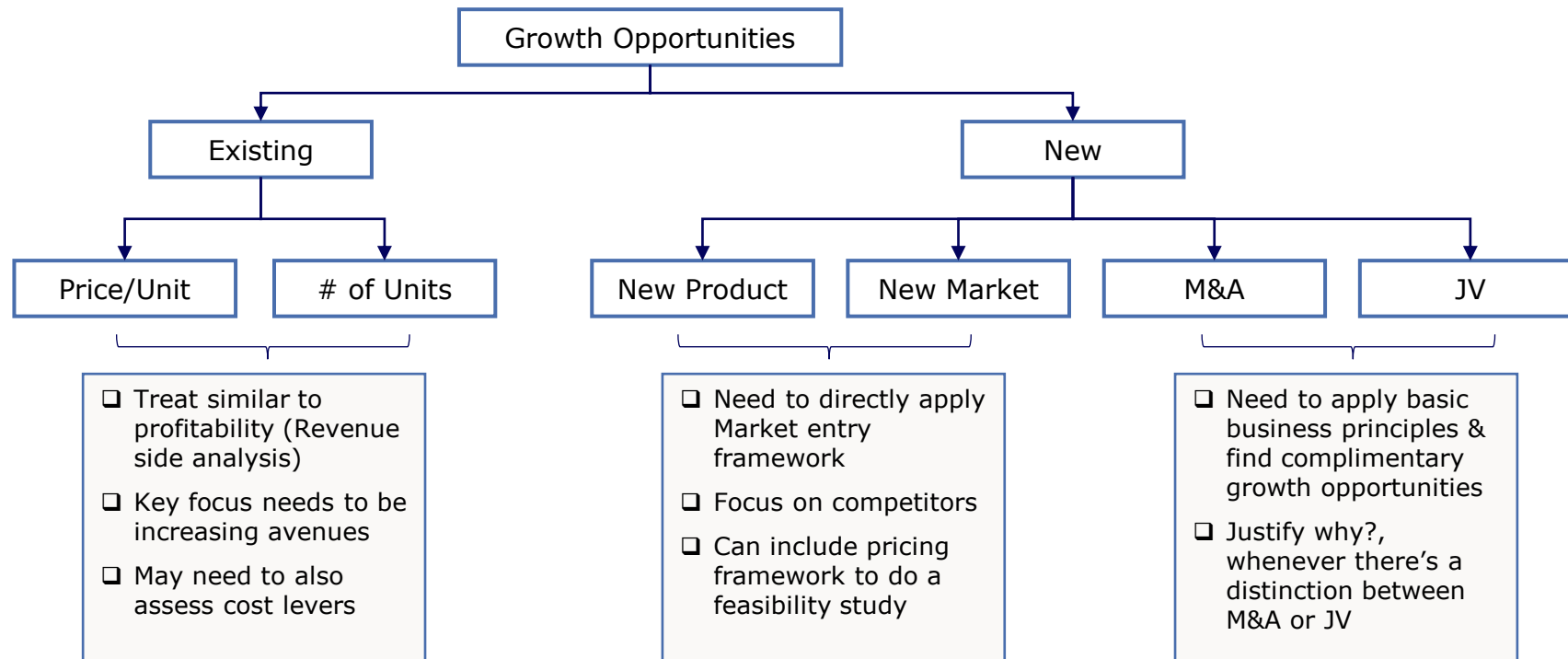
Case Facts	Interviewee Feedback	Approach
About client The client sells educational and women’s magazine Competitors i. Competitor 1 – 50% steady share, India focussed ii. Competitor 2 – 30% shake share, India focussed iii. Competitors with 3 – 20% dying share, globally focussed About new product The new magazine will be a men’s magazine and will be priced ₹200 for the print version and ₹100 for the digital version - Goal with the launch is to achieve a revenue of ₹100 crores in Year 1	What Went Well? - Clear thought structure throughout the discussion with to-the-point questions - Calculation of Target market size was done properly Common mistakes - Not asking relevant questions to get the data from the interviewer and ending up on a lot of assumptions	Market Entry analysis Go No Go¹ Pricing planning Operational planning² Marketing & Communication Financial planning ₹200 for print ₹100 for digital Aggressive marketing – emails, social media ₹168 crore revenue
Recommendations		Uninvolved Branches 1. Based on the discussion and availability of resources, the product should be launched 2. There has been no mention of Operation strategy and is assumed to be sufficient to sustain the product launch Target Market Size Calculation Population of India = 1B of which population between 30-50 = 25% or 250M; Men reading magazines = 40% of 50% male of 250M people = 50M; Men who are interested in Men magazine = 10% of 50M i.e., 5M



Growth Framework

Framework

Cases based on opportunities to grow business – which includes not just financial growth but also includes, geographical & product wise growth



- Helpful if you already know some strategies that existing companies follow & why?
- Use first principle thing to get to answers for most next steps
- Always look at feasibility of the solution before suggestions

High Level Analysis

- ❑ Reiterate the problem to have a clear understanding of the case
- ❑ Feasibility & Risk are two important aspects of the framework, make sure to address these during final recommendations
- ❑ Growth is a more intuitive case, be flexible in your approach for these types of cases



Growth Case 1: International School

Industry	Education
Level	Intermediate

Prompt: Your Client is an International School which is operating in India. Client wishes to increase the growth of their business. How can you help them achieve their goal?

I would like to start by understanding the current scope of business of the client. How many schools does the client operate?

In India, the client runs 4 schools. 2 each in Delhi & Gurgaon.

Okay. What is the level of education that is imparted in the school?

The schools are senior secondary. They cater to classes 1 to 12.

What is the fee structure of the school? How does that compare to the competitors in this space?

Since the client runs an International School, the fee is towards the higher side. They cater specifically to upper-middle class & upper class people.

Alright. Since the client wants to improve growth of the business, I would like to break the problem down into existing opportunities & newer opportunities. Should I start with the existing opportunities first?

Sure, Go ahead.

First, I'll segment existing business into the number of students & fee per student. Do we have any data regarding number of students per class and number of sections in a standard?

Take an average of 40 students per section & 5 sections in a standard.

So, based on these numbers there would be $40 \times 5 = 200$ students per standard. Hence, for the entire school there would be total 2,400 students across all standards from 1 to 12.

One way to increase growth of the business would be to increase the intake of students in the school. Does the school have the infrastructure to increase intake? How would the current students or their parents react to increasing the intake?

School has the infrastructure to increase the intake. However, the students & their parents won't take this news positively due to fears of drop in quality. Hence, the client is not looking to increase intake of students.

Okay. The 2nd component would be fees of students. Can the client further increase the fee they are charging to students?

Although the schools cater to affluent economic class, the client fears that increasing fees just after COVID would give them bad press. So, increasing fees is off the table for the client.

Okay. So we can then look into new opportunities for the client.

The client can diversify its services offerings. Along with providing regular classes, the client can look forward to launching different programmes or certifications which are taken over the weekend. These new programmes would not only be limited to school students and would also extend to working professionals.

Makes sense. Any other opportunities?

Yes. Client can also look at expanding their business in other cities as well. Since, currently they operate in only the NCR region, they should expand their footprint in other cities and states too.

Okay. So what will be some of the factors you will look at before choosing a city?

Since the client's operates an International school & their target audience is upper-middle & upper class, we should focus on metro cities with high per capita income & a much larger affluent class like Mumbai, Kolkata and Bangalore. Before setting up new schools in these cities, we can look for joint ventures or M&A opportunities which can help the client. Also, the competition in these cities would play a huge role before we finalize a city for expansion.

Great! We can close here



Growth Case 1: Summary

Prompt: Your Client is an International School which is operating in India. Client wishes to increase the growth of their business. How can you help them achieve their goal?

Case Facts	Interviewee Feedback	Approach
▪ Current scope of business 4 schools – 2 in Delhi & Gurgaon ▪ Fee is on the higher side and hence caters to Upper and Upper-Middle class economic group ▪ Each class has 5 sections & each section has an average of 40 students ▪ Increasing # of students is not possible as it would lead to fears of drop in quality ▪ Increasing fees of students is also off the table as it would incite bad press especially after COVID	What Went Well? ▪ Comprehensive questions ▪ Understanding the scope of the business ▪ Looking at existing and new opportunities Common Mistakes ▪ Not breaking down the opportunities into buckets before delving into each further	Growth Existing opportunities¹ Increase volume² Increase fee/prices³ New opportunities New geographies/ markets New products/ services Acquisitions and mergers Metro cities beyond NCR Programmes & certifications Joint ventures and mergers with other schools Uninvolved Branches 1. The existing opportunities did not make sense for the client in this case 2. Increasing the intake of students would affect the quality and hence, the school is not willing to increase the intake 3. Increasing the fees post COVID would give the school bad press
Recommendations		
Conclusion: Client can increase the growth of their business by looking at new opportunities Short Term Recommendation ▪ Launch new programs and certifications beyond the regular classes ▪ Make these available for working professionals as well Long Term Recommendation ▪ Expand in other metro cities beyond NCR and look at JV and M&A opportunities		



Growth Case 2: Beverage Company

Industry	FMCG
Level	Intermediate

Prompt: Your Client is a leading beverage company and has seen a drop in growth since the last year. You have been onboarded to help the client identify the cause of this decline and reverse the trend

Thanks. I would like to start by understanding if the decline revenue growth is specific only to the client or it is across the industry.

This issue is specific only to the client.

Okay. So since the issue is client specific, I start by analyzing the product portfolio of the client. Major products a beverage company sells are soda, water, shakes, syrups, smoothies etc. Could you confirm which products the client sells?

You have covered them all. Let's club these into 3 segments – Soda, Water & Others.

Sure. So, since revenue has been dropping, we can divide revenue into price per unit and volume sold. Does the client have any data regarding the same?

Yes. Note down the following data -

Category	Litres (MM)		Price per lit. (₹)		Cost per lit. (₹)	
	2020	2021	2020	2021	2020	2021
Soda	100	120	30	24	15	15
Water	30	33	25	25	12	12
Others	10	11	50	55	30	30

Okay. Based on this data, revenue of Soda segment has dropped over the past year from ₹3,000M to ₹2,880M registering a loss of ₹120M. On the other hand both Water and Others segments have increased their revenue from ₹750M to ₹825M and from ₹500M to ₹605M respectively. So the decline in growth is due to Sodas segment. Does the client have any information about the types of brands in sodas?

Yes. There are 3 brands in the Soda segment with the following data

Category	Litres (MM)		Revenue (₹ MM)	
	2020	2021	2020	2021
Brand A	50	30	1,800	1,080
Brand B	25	30	650	780
Value Brand	25	60	550	1,020

Okay. It is clearly evident that Brand A has suffered a huge loss in volume in the current year. Also, something to note is that volume of value brand has increased to 2.4x but the revenue is still less than 2x. I would like to calculate prices next to identify the cause.

Sure. Go ahead.

So, both Brand A & Brand B have constant prices at ₹36 & ₹26 respectively. However, value brand's price has decreased from ₹22 to ₹17. So, the combination of decline in volume of A and reduced price of value brands have caused a decline in revenue.

Alright. What do you recommend to reverse this declining growth?

We should focus on the declining volume of brand A. This can be done by studying the market trends & consumer surveys to identify the reason of decline. Then appropriate promotion activities can be taken up like marketing the drink to a different demography. Also, we can explore changing the placement of the product in stores.



Growth Case 2: Beverage Company

Industry	FMCG
Level	Intermediate

Also, we can adjust the price of value brand to increase the overall revenue. However, for this we need to understand the price elasticity before making the decision as we wouldn't want to alienate the value brand customers due to the price change.

Alright. Anything else?

The recommendations so far relate to the current business. We can also explore new business opportunities to increase the growth of the business. This would involve exploring new products like energy drinks & low sugar drinks which can supplement the current business by targeting the younger health conscious audience. Additionally, we can also explore venturing out into new untapped markets.

Great. Let's end here.



Growth Case 2: Summary

Prompt: Your Client is a leading beverage company and has seen a drop in growth since the last year. You have been onboarded to help the client identify the cause of this decline and reverse the trend

Case Facts

- Problem Area**
Client specific
- Product segments**
Soda, water and others
- About the client**
Client is a leading beverage company and has seen a drop in growth since the last year wishing to find the cause of decline and a strategy to reverse the trend
- Revenue of each segment and each soda brand mentioned in the additional data section

Interviewee Feedback

What Went Well?

- Comprehensive questions
- Understanding the scope of the business
- Looking at existing and new opportunities

Common Mistakes

- The recommendations can be more comprehensive

Approach

Growth

Existing opportunities

Volumes sold

- Loss of revenue in soda segment
- Decrease in vol. of Brand A

Price per unit

- Soda value brand's price reduction

New opportunities

New products

- Target young health-conscious audience

Untapped market

Recommendations

Conclusion: Client can increase the growth of their business by looking at both existing and new opportunities

Short Term Recommendation

- Countering volume decrease: 1) Studying the market trends & consumer surveys to identify the reason for decline 2) Appropriate promotion activities like marketing the drink to a different demography 3) Changing the placement of the product in stores.
- Countering price reduction: Adjust price by considering the price elasticity of the brand

Long Term Recommendation

- Countering price reduction: Adjust price by considering the price elasticity of the brand

Additional data

Category	Litres (MM)		Price per lit. (₹)		Cost per lit. (₹)	
	2020	2021	2020	2021	2020	2021
Soda	100	120	30	24	15	15
Water	30	33	25	25	12	12
Others	10	11	50	55	30	30

Category	Litres (MM)		Revenue (₹ MM)	
	2020	2021	2020	2021
Brand A	50	30	1,800	1,080
Brand B	25	30	650	780
Value Brand	25	60	550	1,020

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Growth Case 3: Magic Show Company

Industry	Entertainment
Level	Intermediate

Prompt: Your client is a leading event management company which operates multiple entertainment events including one of the biggest magic shows of the country. The magic show has been experiencing stagnant profitability since the past 3 years. How will you help the client take the decision of either continuing the magic show for the next year or discontinuing it?

Sure! To reiterate my understanding of the case, the client runs one of the biggest magic shows of the country. The profitability has stagnated since the past 3 years & the clients wants our help to decide to renew the magic show for next year or not. Is my understanding correct?

Yes. That is correct.

Okay. First I would like to gather some information about the client. Do they operate pan India or in selected cities only?

Client operates in only Delhi & plans to keep the same going forward as well.

Okay. I'll start by breaking up profitability by revenue and costs. How have the revenues & costs been since the past 3 years?

Both revenue & cost have remained stagnant since the past 3 years.

Revenue is defined as price of a ticket multiplied by the quantity of tickets sold. What is the price of ticket & has the same changed over this period?

Calculate the total revenue for the client. There are 3 types of seating in the theatre: Classic, Deluxe and Super Deluxe. The price of these tickets are ₹500, ₹800 & ₹1000 respectively.

What is the seating capacity for each category?

The total theatre has 1500 seats, 300 being in Super deluxe category, 500 in deluxe & 700 in Classic category.

How many magic shows does the client operate?

The client operates 1 show a day, for 5 days a week. The season for the shows is 40 weeks in a year.

What is the occupancy rate for the different types of seats?

The occupancy for Super Deluxe seats is 100%, 80% for deluxe seats & 50% for classic seats.

Based on these figures, the ticket revenue per show is ₹755,000. That translates to ~₹151M annual revenues from the magic show.

Are you sure? Is that the only stream of revenue for the magic show?

No, other sources of revenue would include sponsorships, hospitality & merchandising as well. I missed these. Does the client have any information about these?

Let's assume that ticketing amounts to 75% of the total revenue. The rest comes from all the sources you just mentioned.

Alright. So that translates to ~₹1M revenue per show & a total of ~₹200M annual revenue from the magic show.

Okay. Let's move to the costs now. What will be the major cost components here?

Sure! So costs can be broken down into 2 components: Fixed cost & Variable cost. Fixed costs would contain expense on rent, marketing, insurance & annual contracts. Variable costs includes expenses on housekeeping, utilities, magic props and wages of stage crew.

Correct. Note down the following annual costs - ₹20M salary of the main host, ₹20M on rent, ₹10M on insurance, ₹30M on marketing. Magic props cost ₹1,000 per show, Housekeeping costs ₹2K per show, crew & utilities costs ₹300K & ₹100K respectively on weekly expense.



Growth Case 3: Magic Show Company

Industry	Entertainment
Level	Intermediate

Ok. So based on this data, annual costs for the magic show will be ~₹96M. This gives a profit margin of 52% for the client.

Alright, so what do you recommend?

I believe currently the client earns a good profit margin of 52%. This can be further increased in the future by increasing the revenue or decreasing some of the costs. Revenue can be increased by increasing prices of the ticket, increasing the number of deluxe & super deluxe seats, offering bundled discounts. Also, number of shows per day can be reduced & price of merchandizing can be increased as well. On the other hand, costs can be reduced by renegotiating new contracts with the staff, main host, switching to a different theatre with lower rent cost & changing the insurance company with lower premium costs. Based on these, finally I will conclude that the client should renew the magic show for the upcoming year as well.



Growth Case 3: Summary

Prompt: Your client is a leading event management company that operates multiple entertainment events including one of the biggest magic shows of the country. The magic show has been experiencing stagnant profitability for the past 3 years. How will you help the client take the decision of either continuing the magic show for the next year or discontinuing it?

Case Facts	Interviewee Feedback	Approach
▪ Problem: Stagnation in profitability since 3 years ▪ Cities operated in: Delhi (plans to stay there in future) ▪ Seating (prices, capacity, occupancy): Classic (₹500, 700, 50%), Deluxe (₹800, 500, 80%) & Super Deluxe (₹1000, 300, 100%) ▪ Timings: 1 show a day, for 5 days a week, 40 weeks in a year ▪ Ticketing amounts to 75% of the total revenue ▪ Annual costs - ₹20M salary of the main host, ₹20M on rent, ₹10M on insurance, ₹30M on marketing. Per-Show costs: ₹1K for Magic props ₹2K for Housekeeping, Weekly Costs: ₹300K & ₹100K for crew & utilities respectively	What Went Well? ▪ Comprehensive questions ▪ Understanding the scope of the business ▪ Well thought out recommendations Common Mistakes ▪ Not breaking down the opportunities into buckets before delving into each further	Growth Existing opportunities New opportunities Profits Revenue Increase Cost Decrease - Prices - # of seats - Merchandising - New contracts - Lower Rents - Lower Insurance premiums
Recommendations		
Conclusion: Current annual cost is ₹96M and profit margin is 52%; Profits can be increased by increasing revenue and decreasing cost Recommendation 1) Revenue Inc. by increasing prices & # of seats, offering discounts. Increasing the price of merchandizing 2) Cost dec. by renegotiating new contracts with stakeholders, lower rent cost & lower insurance premium costs		



Unconventional Case 1: Manufacturing Plant

Industry	Manufacturing
Level	Advanced

Prompt: Suppose your client is a manufacturing company, demand for a product has been increasing but you are at maximum capacity. You don't want to increase manpower or move towards automation, or put a new plant. Tell me how you will cater for the demand with the existing systems.

Sure. Just so I have understood the problem correctly, our client is a manufacturing company which wants to cater to increasing demand without setting up new plant or introducing automation.

Yes, that's correct.

Before I proceed, I need to understand the business and industry a bit better, so would like to ask few preliminary question for clarity.

Sure, Go ahead.

So for a better understanding, I will state the methods by which usually companies increase capacity.

1. Through CAPEX and putting up a new facility
2. By making the process more efficient through automation or manpower using
3. By identifying bottlenecks and leveraging innovation to eliminate bottleneck and optimize process

You are correct but I would suggest you explore the problem statement from capacity point of view first.

Sure. So we can initially divide the capacity of the manufacturing plant into 2 parts-

1. No. of Machines
2. Productivity of each machine

Yes, that's correct. You can proceed ahead.

Sure. Since it was mentioned that no automation can be done and we don't want to put a new plant, I will explore the concept of productivity.

Yes, Go ahead.

So mainly productivity is defined in terms of Overall equipment efficiency, which is a multiplication of availability, performance and quality. Which area should I focus on?

Focus on availability, mainly on the batch cycle time and performance.

So Batch cycle time is mainly defined how much time is required to produce per ton of product. It can be high due to multiple factors such as low maintenance, utilities efficiency, working efficiencies of the machines, etc.

Yes, so how can we then cater demand by focusing on these aspects

We can achieve these aspects by focusing on operations management concepts.

Yes, give me some of the ways.

Sure, some the ways can be-

1. Identifying why the process is slow, bottleneck areas and working on them
2. Applying Kaizen and doing improvements projects.
3. Reducing downtime through Poka Yoke, type 1 and type 2 errors.
4. We can also introduce new technology or small system based changes such as introducing new packings in a distillation column so as to increase capacity.

Yes, you are correct.

Sure, should I summarize the case.

No, that should be fine. Can you closely relate this case to any of the traditional approaches and identify the equivalents?

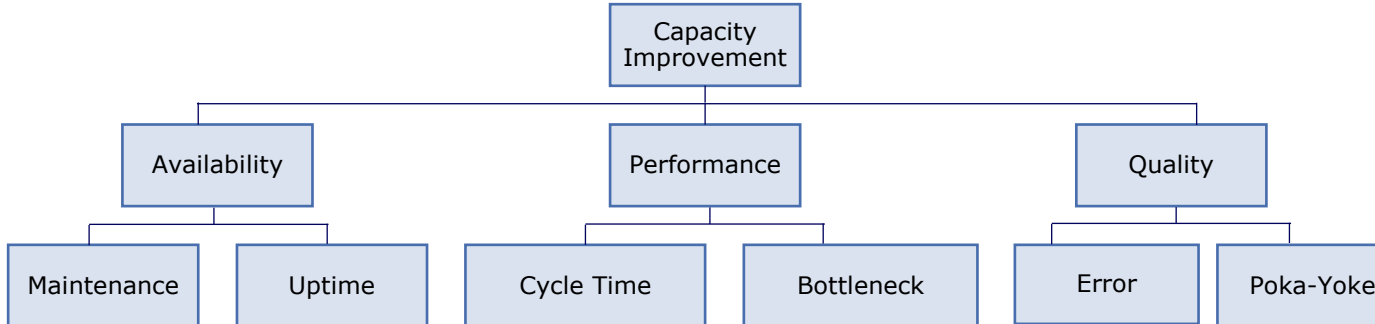
I think this case is closely related to profitability framework. The revenue side was equivalent to New Plant and Cost side was equivalent to Capacity.

Good. We can close the case here. Thank you



Unconventional Case 1: Summary

Prompt: Suppose your client is a manufacturing company. Demand for a product has been increasing, but you are at maximum capacity. You don't want to increase manpower or move towards automation or put in a new plant. Tell me how you will cater to the demand with the existing systems.

Case Facts	Interviewee Feedback	Approach
▪ Problem Area Capacity Management ▪ Constraints No increase in manpower, no new plant, no automation ▪ Affected by Internal/External factors Mainly Internal ▪ Current Capacity At maximum ▪ Focus Improving efficiency and reducing cycle time	What Went Well? • Clear understanding of manufacturing processes and constraints • Identified key factors impacting batch cycle time and performance Common Mistakes • Ignoring the impact of bottlenecks on overall productivity • Not considering the importance of maintenance and utility efficiency	 <pre>graph TD; CI[Capacity Improvement] --> A[Availability]; CI --> P[Performance]; CI --> Q[Quality]; A --> M[Maintenance]; A --> U[Uptime]; P --> CT[Cycle Time]; P --> B[Bottleneck]; Q --> E[Error]; Q --> PY[Poka-Yoke]</pre>
Recommendations		Operational Efficiency
Conclusion: Focus on improving operational efficiency and reducing batch cycle time through better maintenance, addressing bottlenecks, and optimizing existing processes Short Term Recommendation Identify bottlenecks • Conduct a thorough analysis to find slow processes and bottleneck areas Enhance Maintenance • Strengthen preventive maintenance schedules to ensure maximum machine availability Long Term Recommendation • Apply Kaizen and continuous improvement projects to gradually improve efficiency • Introduce new technologies or small system-based changes to improve efficiency		• No. of Machines: Maximize the usage of existing machines • Productivity: Enhance productivity through continuous improvement methods like Kaizen



Unconventional Case 2: Retention Rate

Industry	Chemical (HR)
Level	Intermediate

Prompt: Your client is a manufacturer in a chemical industry and is facing low retention rate for junior lever engineers at your organization for last 3 years. Can you please help your client to assess the root cause and provide some action plan.

Could you provide additional insights into the client's business?

The client is a key player in manufacturing, handling internal sales and distribution mainly in the B2B sector.

Is this issue related to only to our client's operations, or is it prevalent across the industry?

Issue is related only to our client.

Do we have any details of the organizational structure of the company?

The organizational structure comprises seven hierarchical levels, ranging from L1 to L7, with L1 denoting assistant managers.

Are there any specific levels experiencing elevated turnover rates?

Notably, turnover is prominent at L1 & L2 levels.

What is the current turnover rate?

Approximately 50%

Could you describe the work settings and schedules of departing employees?

Employees, particularly ground-level engineers at L1 & L2, operate in shift patterns

Where is the plant located?

The plant is located approximately 35 Km. away from the city of Pune in the outskirts.

Are there competing facilities or opportunities in the vicinity influencing turnover?

Yes, there are nearby companies, but they don't rival our stature. However, some employees have opted to leave for these alternatives.

What employee benefits and amenities are extended by the company?

The company provides a healthy work environment, job security, and annual performance assessments, all in accordance with industry norms.

Are there residential options proximal to the company, and does the company facilitate transportation or lodging for its workforce?

No, the company does not offer transportation or lodging services. The nearest residential area is roughly 20 kilometers from the plant.

Do neighboring enterprises offer similar amenities?

Yes they do. However, our evaluation underscores the significance of these factors in employee's decision-making processes.

The absence of transportation and lodging amenities might be a hindrance, particularly for employees navigating shift work and commuting to a remote plant location.

Alright. Could you propose some actionable recommendations?

We could explore implementing transportation services and adopting a rewards and recognition framework, particularly targeted at L1 & L2 employees, to enhance engagement and retention.

Sounds good. We can close the case here.



Unconventional Case 2: Summary

Prompt: Your client is a manufacturer in the chemical industry and is facing a low retention rate for junior-level engineers at your organization for the last 3 years. Can you please help your client to assess the root cause and provide some action plans?

Case Facts	Interviewee Feedback	Recommendations
Problem Area: Employee retention Timeline: Last 3 years Affected by Internal/External factors: Mainly Internal Turnover Rate: Approximately 50% Organizational Structure: Seven hierarchical levels (L1 to L7, with L1 being assistant managers) Affected Levels: Primarily L1 & L2 (junior-level engineers) Location: 35 km from Pune city, on the outskirts Competing Facilities: Nearby companies offering similar amenities Employee Benefits: Healthy work environment, job security, annual performance assessments Residential Options: 20 km from the plant, no company-provided transportation or lodging services	What Went Well? - Thorough understanding of the client's business and internal structure - Identification of key factors influencing employee turnover, such as location and lack of amenities - Providing practical recommendations focusing on employee engagement and retention Common Mistakes - Assuming external factors are the main cause without internal assessment - Overlooking the impact of transportation and lodging amenities on employee satisfaction - Neglecting the importance of targeted engagement strategies for junior-level employees	Conclusion: The primary issues contributing to the high turnover rate are the plant's remote location and the lack of transportation and lodging amenities. Addressing these factors can help improve employee retention, particularly at the L1 & L2 levels Short Term Recommendation Implement Transportation Services: - Provide shuttle services for employees commuting from Pune and nearby areas - Ensure the service is reliable and covers multiple shifts to accommodate all employees Lodging Facilities: - Explore options for providing lodging or partnering with local accommodations to offer discounts for employees - Consider building or leasing a residential facility closer to the plant Long Term Recommendation Employee Engagement and Rewards: - Develop a rewards and recognition framework targeted at L1 & L2 employees - Conduct regular surveys to gather feedback and address concerns promptly - Organize team-building activities and professional development programs to enhance employee satisfaction Competitive Analysis: - Continuously monitor benefits and amenities offered by competing employers - Ensure the company's offerings remain competitive to prevent employees from leaving for similar opportunities Metrics to Monitor - Employee turnover rate, especially at L1 & L2 levels - Employee satisfaction scores from regular surveys - Utilization rates of transportation and lodging services



Unconventional Case 3: HR Service Provider

Industry	Chemical (HR)
Level	Intermediate

Prompt: Raising concerns about the viability of their existing business model, a back-end human resources service provider is experiencing a marked decrease in profitability. You have been approached to identify the root causes and recommend potential improvements.

From what I gather, our client is experiencing a decline in profitability and is seeking our guidance to identify the causes and recommend solutions. To begin, I need to ask some initial questions about their operations. What specific activities does their business engage in

Large corporations typically outsource their backend HR functions such as attendance tracking, leave management, and reimbursements to specialized firms. However, tasks like recruitment and performance management are generally handled internally and are not outsourced..

Who are our typical clients?

Banking, Financial Service players, consulting firms, etc

Are these services offered for the long term? Are there any other differentiated solutions that we offer?

Yes, typically for 5-7 years and solutions are the same across clients.

All right. What do you mean by profitability - Profits/Sales or Profits?

Profitability is profit/Sales, for this case, let's consider it as profits

Are we in losses, or is it just a drop? What is the quantum?

The profitability has dropped from 28% to 22%.

Is this drop in profitability across all projects or in specific verticals?

It is measured as an aggregate.

Are competitors facing a similar problem?

What is the pricing mechanism?

Price per employee basis @ INR 400 for a year and a yearly increase which matches the inflation rate

Okay. Given this information, I would like to split the profits into Revenue and Cost.
Revenue: #Clients X #Employees per Client X Revenue per employee

Cost: Fixed Cost – Salaries, IT set-up cost, Data storage cost, Maintenance cost, and other indirect costs. Also, Variable cost – Processing cost.

On the revenue side, there were no changes observed. Although many projects were concluding and new ones were commencing, the overall costs continued to rise.

Salaries, IT set-up costs and data storage costs are the significant buckets; have these costs increased recently?

What do you think about how these costs behave in the project lifespan of 5-7 years?

The salary decreases as productivity improves (due to a learning curve) in such back-end operations leading to lesser manpower per project. Also, set up costs are for the first time and not later. And data storage costs keep increasing as the volume of data stored cumulatively keeps increasing.

Set-up costs and salaries are high initially and drop over the project's life. The revenue per employee is increasing due to inflation, and data storage cost is rising. Salaries are the major cost head – 70% of the project.

Revenue and cost are connected. A lot of new projects are getting launched, and large old projects are in their final stage is the problem. As the profitability in a year is a weighted average of individual projects with their respective profitability curves, the proportion of new projects with low profitability is greater than the number of old projects with high profitability leading to an overall drop in profitability in the current year



Unconventional Case 3*: HR Service Provider

Industry	Chemical (HR)
Level	Intermediate

Prompt: A back-end HR service provider has a dip in profitability. You have been approached to find the problem and suggest changes.

Yes, that's correct. Can you provide some reasonable recommendations on the same?

1. Separate KPIs for new and old projects
2. The client should look to extend all the projects that are in the last year since profitability is highest in the final year of the project. And the extension would ensure high profitability from the same project.

Sounds good. That's all about the case



Unconventional Case 3: Summary

Prompt: Raising concerns about the viability of their existing business model, a back-end human resources service provider is experiencing a marked decrease in profitability. You have been approached to identify the root causes and recommend potential improvements.

Case Facts	Interviewee Feedback	Recommendations
• Problem Area: Profitability Decline • Timeline: Last 3 years • Affected by Internal/External factors: Both • Profitability Trend: Dropped from 28% to 22% • Revenue Trend: No changes observed, stable pricing at INR 400 per employee per year • Cost Trend: Increased • Service Duration: Typically 5-7 years Cost Structure: • Fixed Costs: Salaries, IT set-up costs, Data storage costs, Maintenance costs, Other indirect costs • Variable Costs: Processing costs • Major Cost Heads: Salaries (70% of project cost), IT set-up, and Data storage costs • Service Model: Long-term projects, same solutions across clients	What Went Well? • Identified specific cost components contributing to increased expenses • Connected revenue stability with rising costs to pinpoint profitability issues • Suggested practical solutions targeting both new and old projects Common Mistakes • Not considering the learning curve impact on salary costs • Ignoring the relationship between project stages and profitability • Overlooking the role of data storage costs increasing over time	Conclusion: The primary issue contributing to the profitability decline is the rising cost structure, particularly in salaries, IT set-up, and data storage, combined with the impact of project lifecycle stages on overall profitability Short Term Recommendation • Separate KPIs: • Implement separate KPIs for new and old projects to better manage and track profitability • Focus on reducing costs in new projects through improved efficiency and cost control measures • Extend Project Duration: • Extend the duration of projects in their final year where profitability is highest • This extension ensures continued high profitability from these projects Long Term Recommendation • Cost Management: • Continuously monitor and manage salary, IT set-up, and data storage costs • Explore cost-saving technologies and strategies to reduce long-term expenses • Pricing Strategy: • Review and adjust pricing mechanisms to ensure they cover rising costs while remaining competitive • Consider tiered pricing or value-added services to enhance revenue streams Metrics to Monitor 1. Profitability percentage across different project stages 2. Cost trends in salaries, IT set-up, and data storage 3. Client satisfaction and retention rates



01

Consulting Primer

02

Business Concepts and Ideas

03

Frameworks and Cases

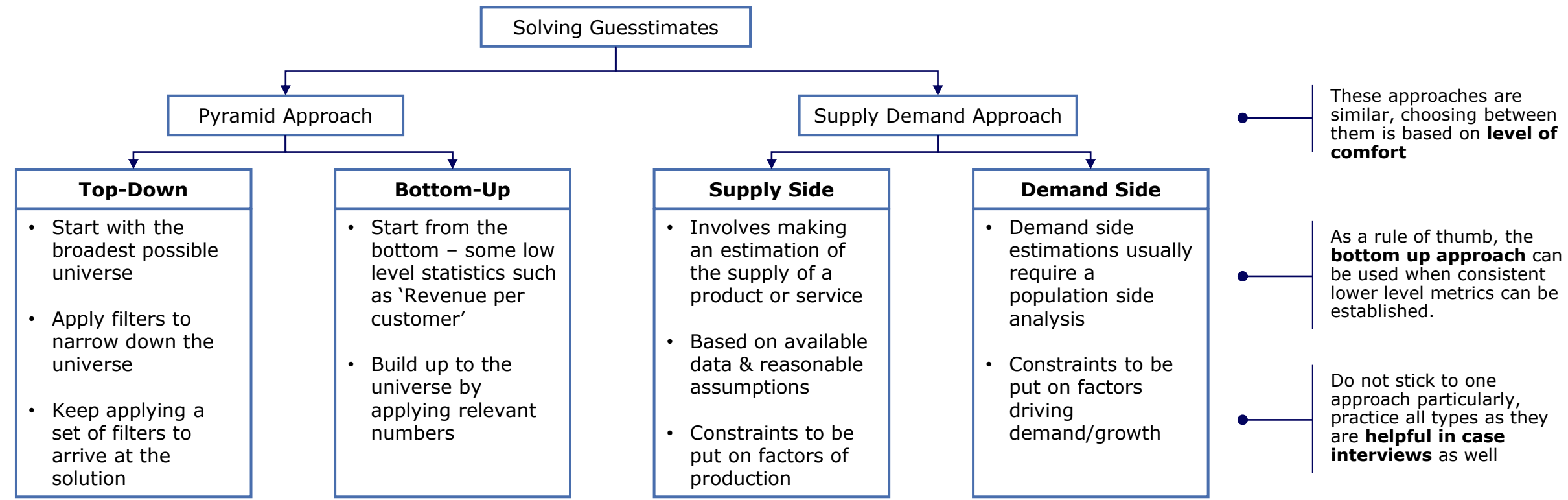
04

Guesstimates



Approaching Guesstimates

The process of solving a guesstimate during an interview entails employing a **systematic approach** to arrive at the solution, making **logical assumptions**, conducting **rough calculations**, and **effectively communicating** the entire process.



Tip: Segmentation is an important part of guesstimates. Keep these types of segmentation handy in case needed.
Demographics (Age, Sex, Income, Ethnicity etc.)
Psychographics (Attitudes, Behaviours, Values)
Geography (City/Country/Continent, Urban vs. Rural etc.)



Let us solve a Basic Guesstimate!

Prompt: "How many tennis balls can fit inside a school bus?"

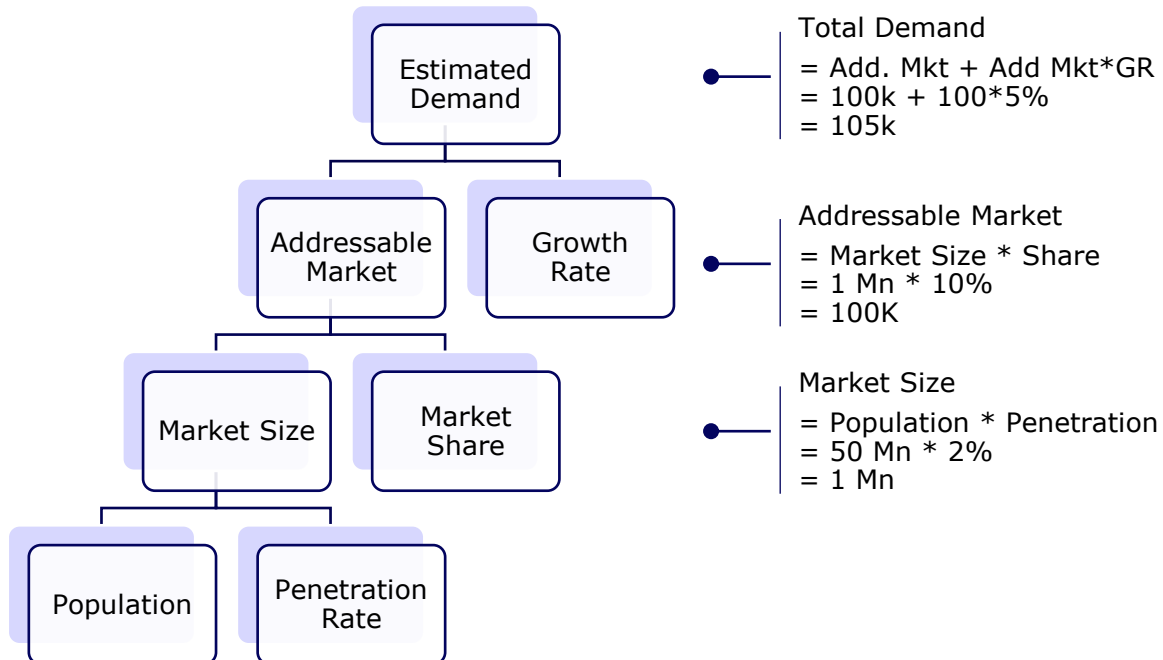
Step 1	Step 2	Step 3	Step 4	Step 5
Understand Question	Make Assumptions	Break Problem Down	Use Constraints	Apply formula
▪ The first step is carefully read & understand the guesstimate question ▪ Ask clarifying questions to get a better understanding	▪ Guesstimates often require you to make educated guesses or assumptions ▪ Make reasonable assumptions and state them	▪ Divide the problem into smaller, more manageable parts ▪ Intuitively you can think of smaller components	▪ To limit the guesstimate, use the constraint present in the problem ▪ It can be volume, Length, mass etc.	▪ Use basic operations – Addition, subtraction, multiplication, division to get to the required number
“Tennis Balls” “School Bus”	“Both the School bus & Tennis balls are standard Size”	“Dimensions” School Bus: Length = 10 m Width = 5 m Height = 7 m Tennis ball: Diameter: 0.1 m	“Volume constraint” School Bus: Volume = L*B*H = 10*5*7 = 350m³ Tennis ball: Volume =(4/3)*3.14*r³ =0.0005m³	“Division Formula” Vol. School bus= No. of tennis balls * Volume of 1 tennis ball 350 = N*0.0005 N = 7,00,000



Example for Supply & Demand Side

Prompt: "A car manufacturer is planning to launch a new electric vehicle in a country with a population of around 50 million people. The EV is targeted at the mid-range segment and offers competitive features at an affordable price. Estimate the potential demand and supply for the new electric vehicle in the target market."

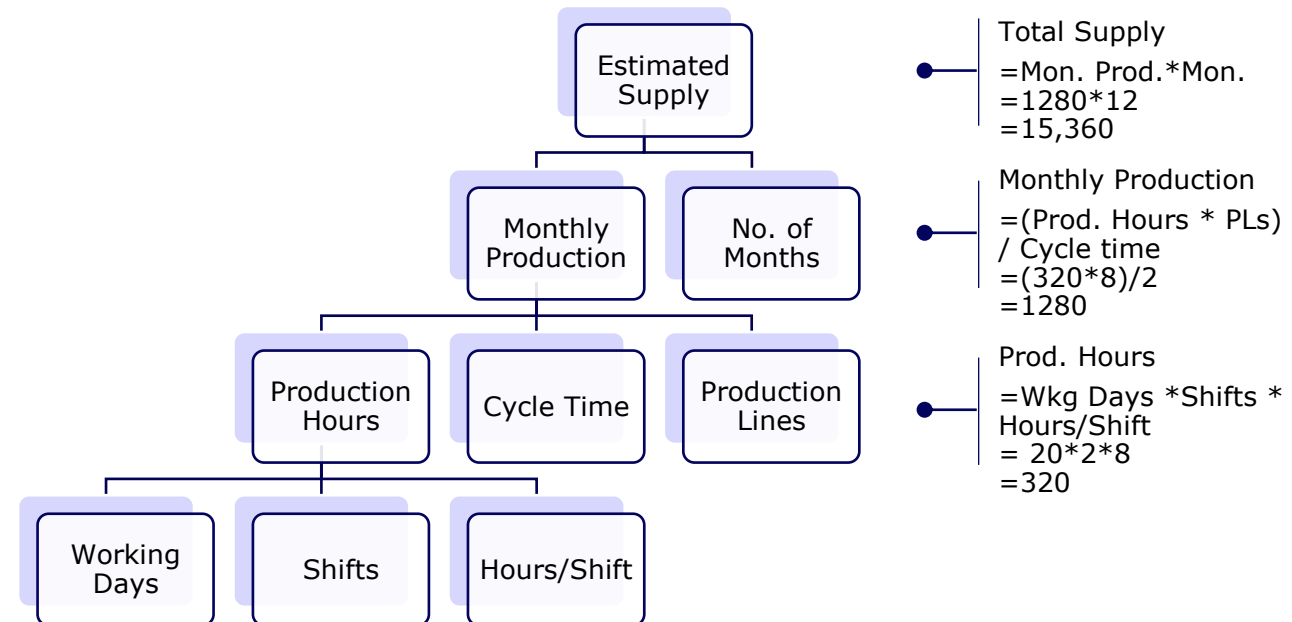
Demand Side



*Assumptions (Give Reasons)

Penetration – 2%
Market Share – 10% (First Year)
Growth Rate – 5% (First Year)

Supply Side



*Assumptions (Give Reasons)

Penetration – 2%
Market Share – 10% (First Year)
Growth Rate – 5% (First Year)



Fact Sheet

General Statistics

Segmentation

Geometry Formula

Population (No.)	
Total	1.5 Bn
Delhi	33 Mn
Mumbai	21 Mn
Kolkata	14 Mn
Bangalore	8.5 Mn
Lucknow	3.3 Mn
Chennai	5 Mn

Area (in Km ²)	
Total ('000)	3,300
Delhi	1,480
Mumbai	600
Kolkata	200
Bangalore	740
Lucknow	630
Chennai	425

Rural-Urban	
Rural	63%
Urban	37%

Age Groups	
0-14	25%
15-24	20%
25-34	17%
35-44	15%
45-54	12%
55+	11%

Gender	
Male	52%
Female	48%

Area Distribution	
Land	91%
Water	9%
Forest	21%

Internet Penetration	
Urban	47%
Rural	53%

Marital Status	
Married	48%
Unmarried	52%

Income Distribution	
High	2%
Upper Middle	25%
Lower Middle	37%
Low	25%
BPL	11%

Perimeter	
Square	4 * Side
Rectangle	2*(Length+ Breadth)
Triangle	Sum of Sides
Circle	2 * 3.14 * Radius

Area	
Square	Side ²
Rectangle	Length * Breadth
Triangle	(1/2)* Base* Height
Circle	3.14 * Radius ²

Volume	
Cube	Side ³
Sphere	(4/3) * 3.14 * Radius ³
Cylinder	3.14*Radius ² *Height

Misc.	
Pythagoras	a ² + b ² = c ²
Rhombus (A)	½ * D ₁ * D ₂

Miscellaneous Statistics

(Overall India)

Internet Penetration	52%
Mobile Penetration	78%
Smartphone Penetration	71%
5G Adoption	52%

Median Age of Population	28
Population Growth Rate	.86%
Life Expectancy	72
Population Density	480

Note: The provided data is only for India.
These data-points are approximate figures for the purpose of guestimates and are valid as of 2024.



Guesstimate 1: Fuel Consumption

Prompt: Estimate the quantity of petrol used per day (in litre) for transportation in Delhi

Approach

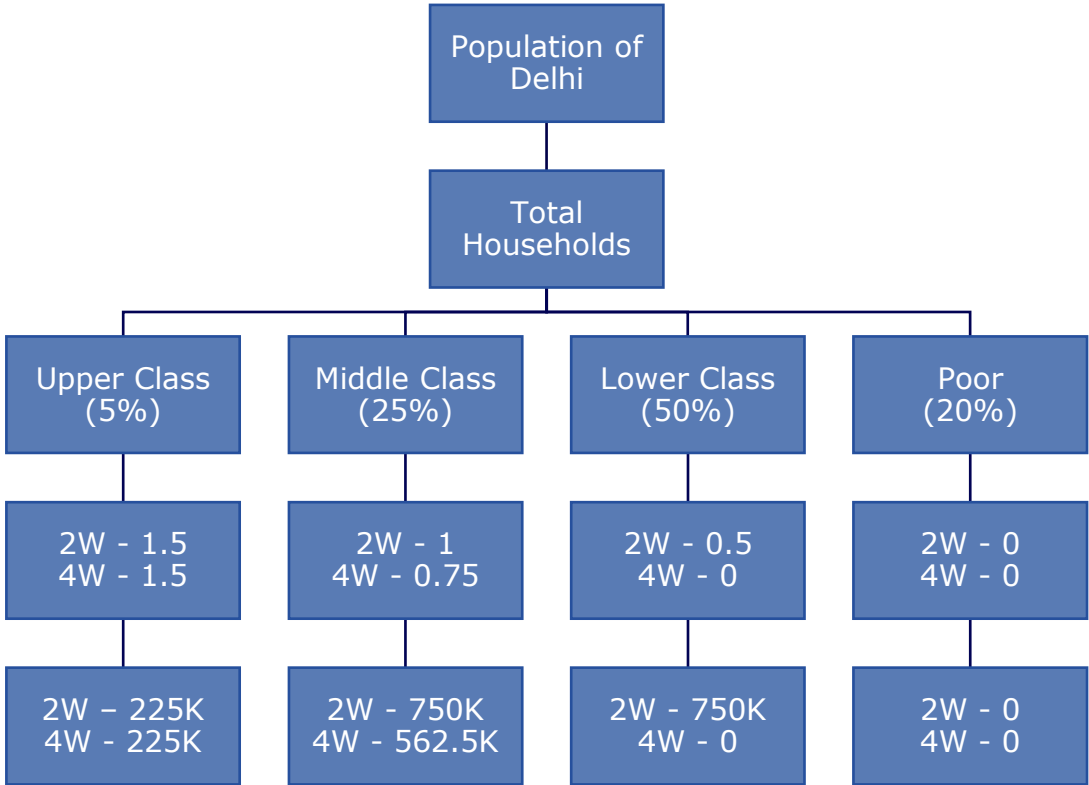
Demand Side

Methodology

- 1. Calculate the Number of households
- 2. Calculate Vehicles per household
- 3. Calculate the consumption by each vehicle.
- 4. Scale up the consumption to the entire population

Assumptions

- Diesel and CNG is majorly used by public transport and commercial vehicle (busses, vans, and trucks)
- Average distance travelled by each vehicle (per day) **20 km**
- Mileage (in km/litre)
2 Wheeler = **50**
4 Wheeler = **10**



Distance by 2W = $20 * (750K + 750K + 225k) = 34,500K$
Litres used by 2W = $34,500K / 50 = \mathbf{690K}$

Distance by 4W = $20 * (562.5K + 225k) = 15,750K$
Litres used by 4W = $15,750K / 10 = \mathbf{1,575K}$

- Population of Delhi **15 Mn**
(Average Household Size – 5)
- Household = Population/Avg Size
 $= 15 \text{ Mn} / 5$
 $= \mathbf{3 \text{ Mn}}$
(Division Basis Income)
- Upper Class – **150K**
Middle Class – **750K**
Lower Class – **1500K**
Poor – **600K**
(Average No. of Vehicles/household)
- (Total No. of Vehicles)
- Total Fuel = 2,265K Litres
(Assuming 20% is Diesel)

Solution: Total Petrol used = 1,812K Litres



Guesstimate 2: Maruti Suzuki Cars

Prompt: Estimate the number of Maruti Suzuki Cars in India

Approach

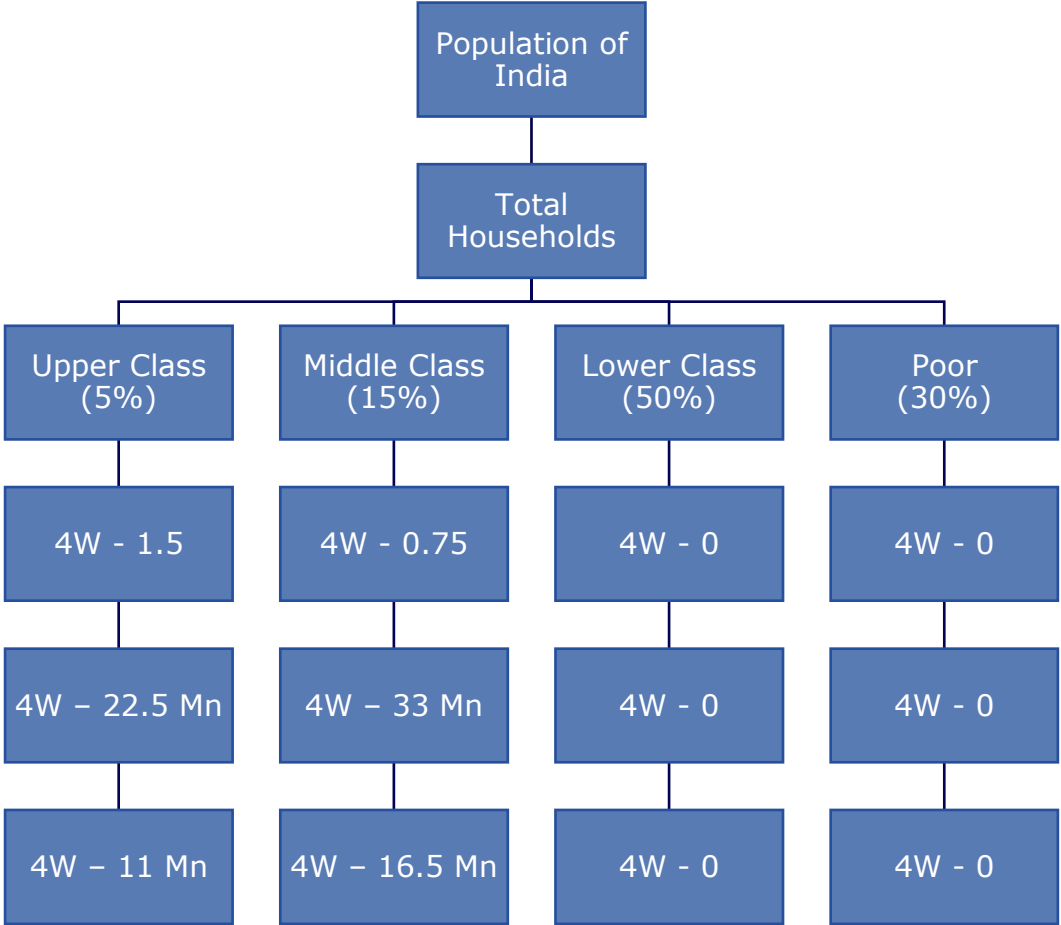
Top Down

Methodology

- 1. Calculate the Number of households
- 2. Segment the population on the basis of income
- 3. Calculate number of 4-wheelers per household
- 4. Calculate the total number of 4-wheelers.
- 5. Calculate the total number of Maruti cars

Assumptions

- Average household size in the country = **5**
- Maruti cars have a **50%** market share over the years
- Lower Class and Poor do not own any cars
- Only passenger vehicles are considered



- Population of India **1500 Mn**
(Average Household Size – 5)
- Household = Population/Avg Size
= 1500 Mn/5
= **300 Mn**
(Division Basis Income)
- Upper Class – **15 Mn**
Middle Class – **45 Mn**
Lower Class – **150 Mn**
Poor – **90 Mn**
(Average No. of Vehicles/household)
- (Total No. of 4W Vehicles)
- Maruti Cars – 50% share

Solution: Maruti Cars = 27.5 Mn



Guesstimate 3: Mobile recharge

Prompt: Estimate the mobile recharge market size in India

Approach

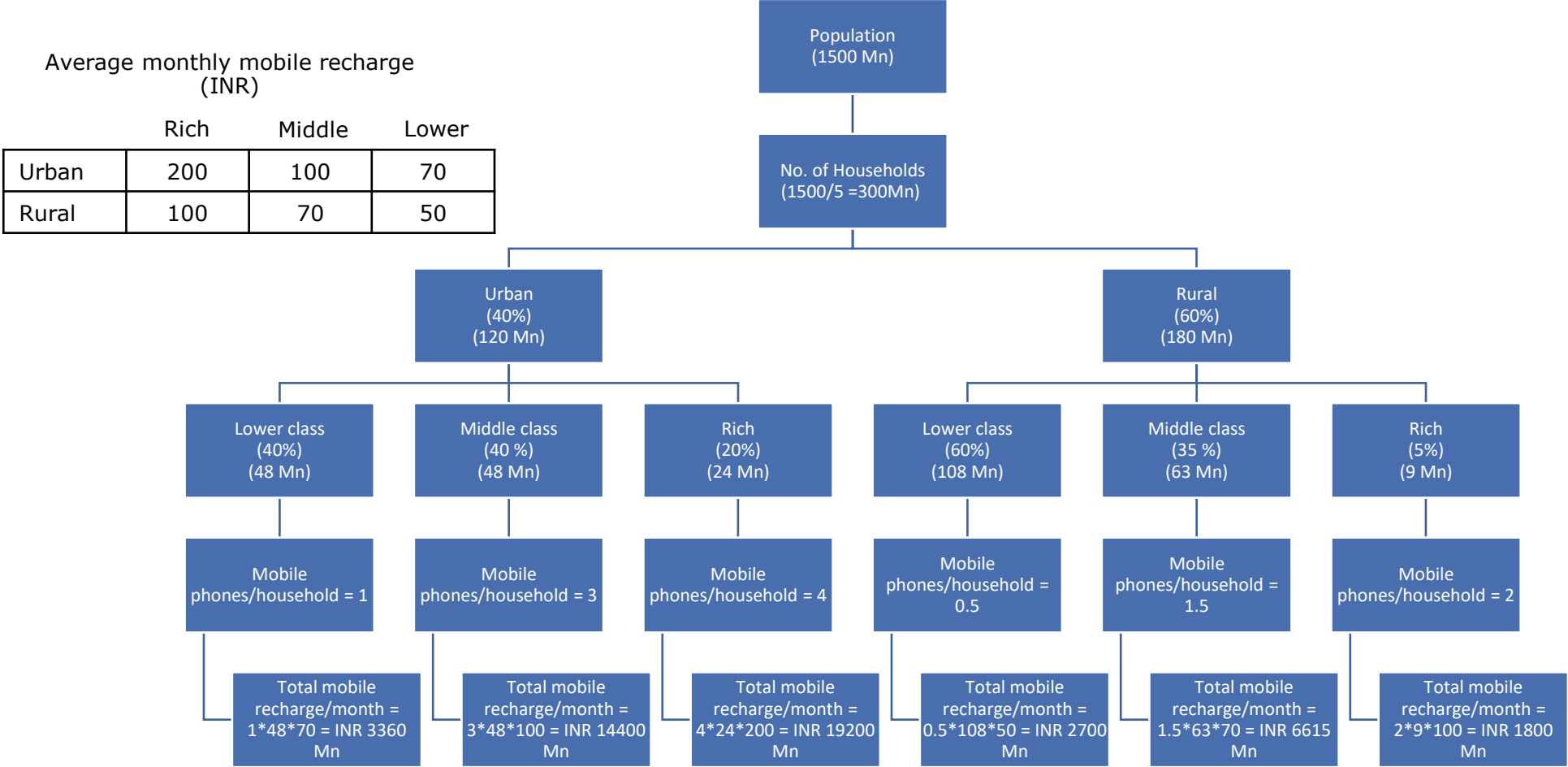
Top Down

Methodology

- 1. Calculation of total Mobile phones in India
- 2. Use economic split
- 3. Use average mobile recharge

Assumptions

- All mobile phones are active
- Average mobile phones/household
- All mobile phones have single sim



Total yearly mobile recharge market size = $12 \times (3360 + 14400 + 19200 + 2700 + 6615 + 1800) = \mathbf{5,76,900 \text{ Mn}}$

Solution: Mobile recharge market size = INR 5,76,900 Mn



Guesstimate 4: Cars on Mumbai Sea Link

Prompt: Estimate the number of cars using Bandra-Worli Sea Link in Bombay in a day

Approach

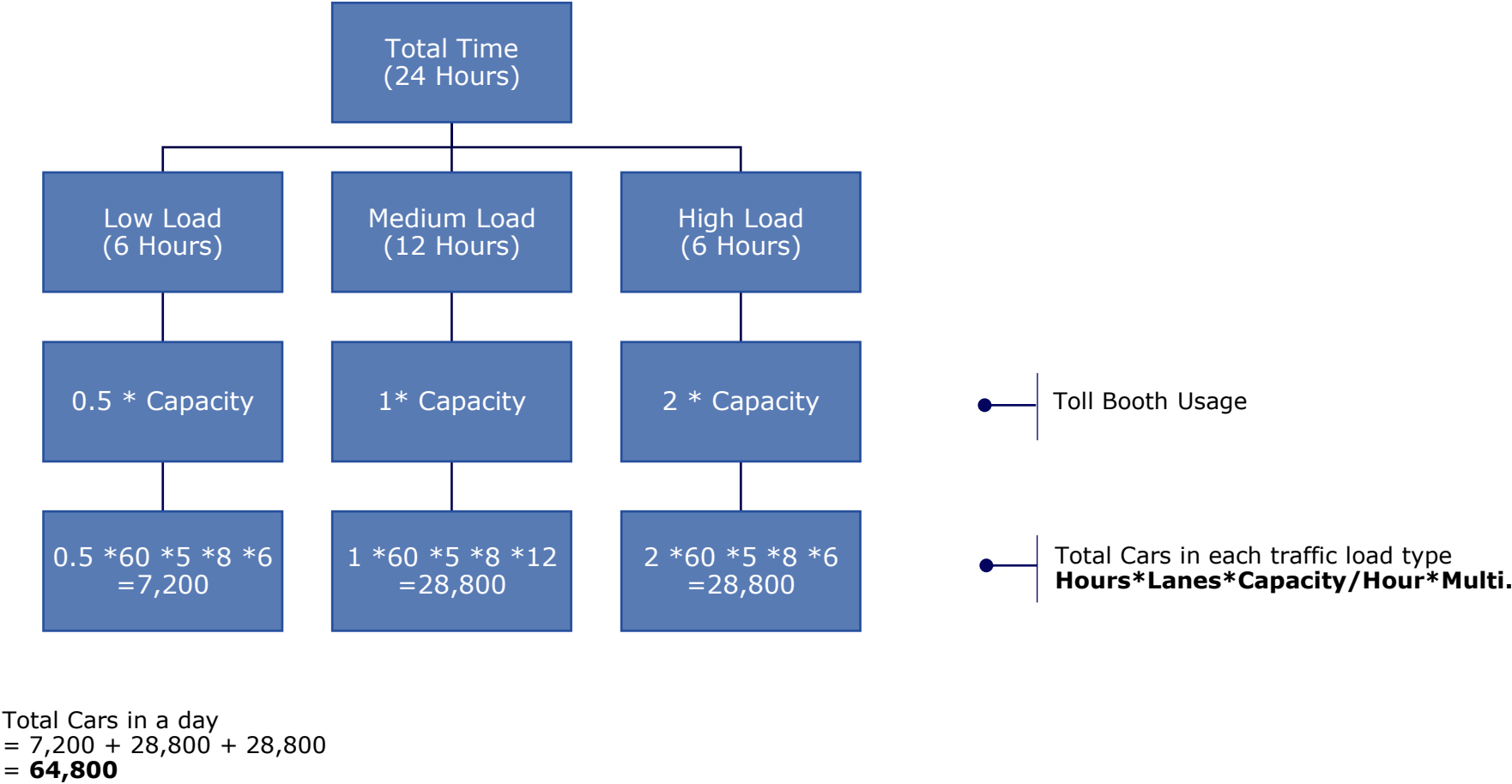
Supply Side

Methodology

- 1. Segment day hours by traffic load and identify a bottleneck in the system – toll booth in this case
- 2. Estimate the cars per unit time in that bottleneck
- 3. Bottom-Up calculation to arrive at total cars that has passed through the bottle neck – toll booth

Assumptions

- Number of toll lanes **8**
- Bottleneck **Toll Lanes**
- Average Toll Lane Capacity per minute: **5 cars**
- **12 hours** of medium traffic load
- **6 hours** each of high load and low load in a day



Solution: No. of Cars = 64,800



Guesstimate 5: Metro Ridership

Prompt: Estimate the number of people travelling in Metro in Delhi daily

Approach

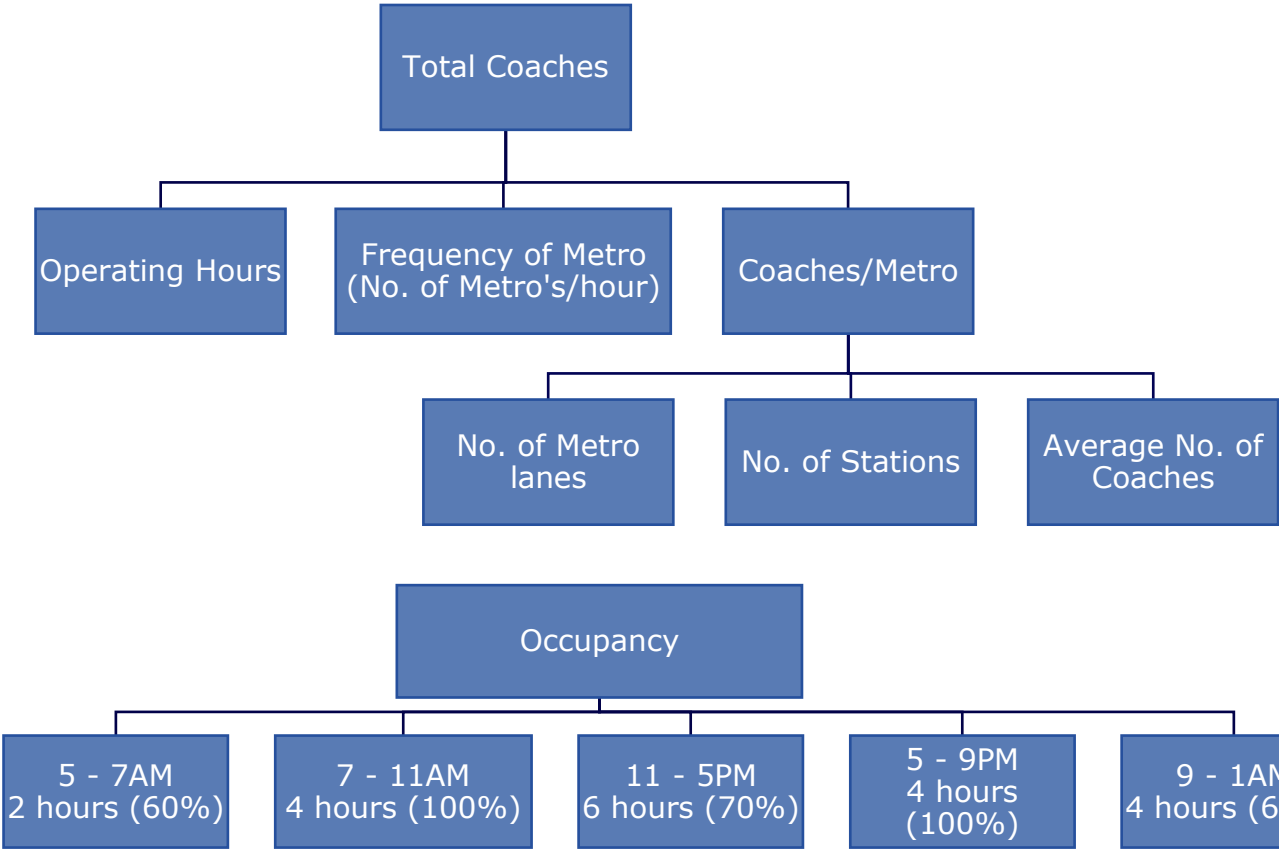
Bottom Up

Methodology

- 1. Calculate the No. of operating hours in a metro
- 2. Segment occupancy of metro basis hours (rush/normal)
- 3. Adjust for occupancy

Assumptions

- Number of metro routes **5**
- Number of Stations: **40**
- Average # of coaches/metro **8**
- Operating Hours: **20**
- Frequency: **1 Metro/2 min**



Coaches
= Operating Hours * Freq. * Coaches
= 20 * 30 * 3200
= **1.92 Mn**

Coaches
= lanes * Stations * Avg Coaches
= 10 * 40 * 8

Metro lanes = 2 per route
= 10 lanes

(Maximum Capacity of a coach = **200**)

Weighted Avg. Occupancy
= (1.2 + 4 + 4.2 + 4 + 2.4) / 20
= **80%**

Daily Ridership = Avg. occupancy * Max Capacity * Coaches
= 1.92 * 200 * 80%
= **307.2 Mn**

Solution: Daily Ridership = 307.2 Mn



Guesstimate 6: Lakes in the World

Prompt: Estimate the number of fresh water lakes in the world

Approach

Top down

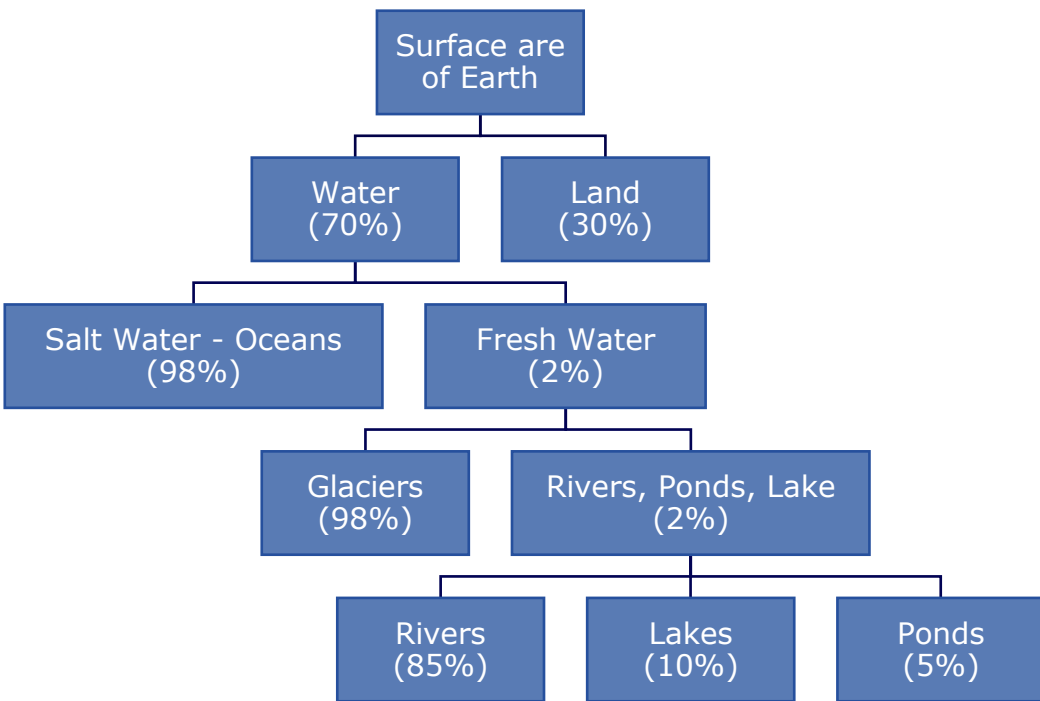
Methodology

1. Calculate the surface area of earth
2. Divide the area into Water & Land
3. Separate fresh water from salt water
4. Remove glaciers from sources of fresh water
5. Divide by average size of lake

Assumptions

- Assuming Earth to be a perfect sphere
- Average size of a lake is **100m * 100m**
- Most fresh water is in terms of Glaciers

Radius of Earth = 6,400 Km = $2^6 * 100$ Km
Surface Area of Earth = $4 * 3.14 * 2^6 * 100 * 2^6 * 100 = 510 \text{ Mn Km}^2$



Total No. of lakes = Area of Lakes / Size of 1 lake
= **14,00,000 Lakes**

Water = **357.5 Mn Km²**

Fresh Water = **7 Mn Km²**

R, P, L = **0.14 Mn Km²**

Lakes = **14,000 Km²**

Solution: Total Lakes = 14 Lacs



Guesstimate 7: AC working hours

Prompt: Estimate the average number of hours AC are run in Delhi over a year

Approach

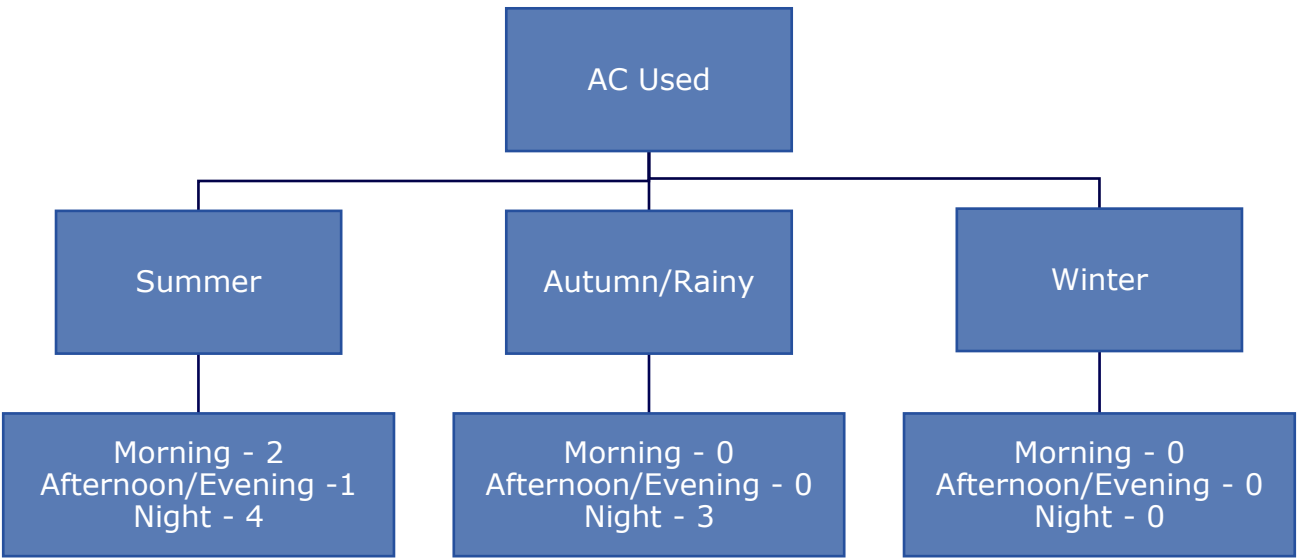
Demand Side

Methodology

- 1. Divide the months in terms of seasons
- 2. Average hours that the AC is working
- 3. Consolidate

Assumptions

- Consideration of a middle income household
- Division of months done basis judgement



Summer Months : March - July
Total 153 days
Autumn Months : Aug – Oct
Total 91 days
Winter Months : Nov – Feb
Total 120 days

(Split by Average hours/day)

Total hours per segment of day

Hours worked = No. of days * Average Hours/day
= 153 * 7 + 91 * 3 + 120 * 0
= **1,344 hours**

Solution: AC Working hour = 1344 hours



Guesstimate 8: Length of roads in Delhi

Prompt: Estimate the total length of roads in Delhi

Approach

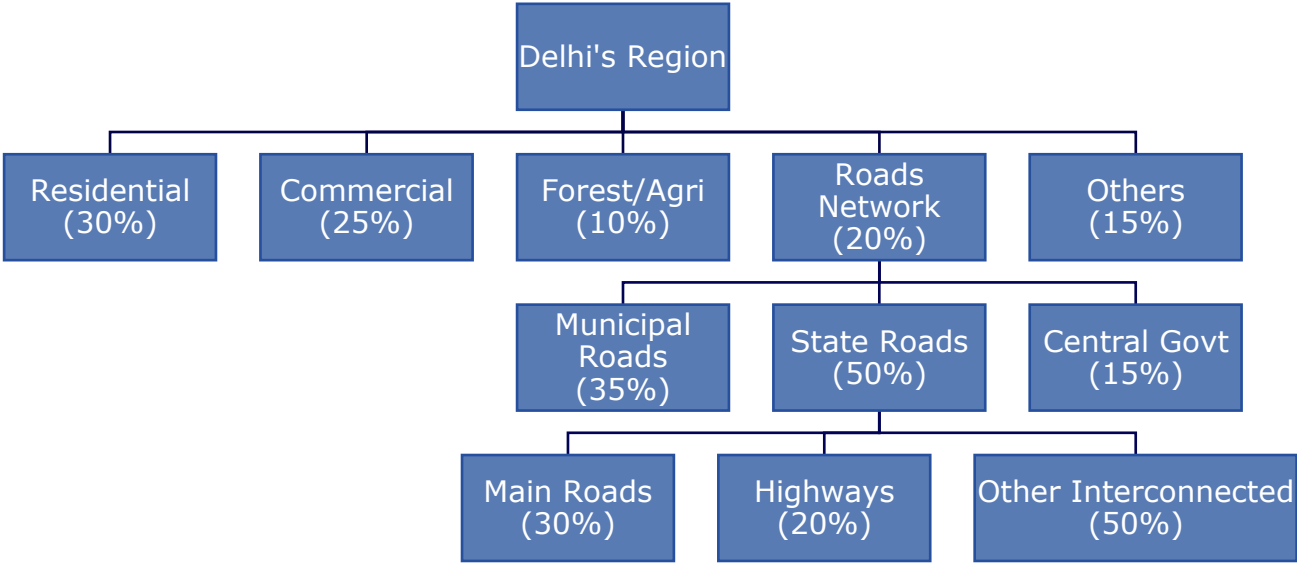
Top Down

Methodology

- 1. Calculate Area of Delhi
- 2. Divide the area basis its usage
- 3. Divide the roads then into usage
- 4. Assume approx. width of roads
- 5. Divide the two

Assumptions

- Area of Delhi –**1800 Km²**
- Width of road based on experience
 - Municipal – **5m**
 - Main roads - **15m**
 - Highways – **20m**
 - Other Ics – **10m**
 - Central Govt – **25m**



(Split by Road Maintenance)

Split based on experience

	Estimated Area	Avg. Width of Road	Total Length
Municipal	125 Km ²	5m	25,000 Km
Main	50 Km ²	15m	3,000 Km
Highways	35 Km ²	20m	1,750 Km
Other IC	85 Km ²	10m	8,500 Km
Central Govt	50 Km ²	25m	2,000 Km

Solution: Length of Roads = 40,250 Km



Guesstimate 9: Cold Drink Consumption

Prompt: Estimate the consumption of cold drink in IPL season

Approach

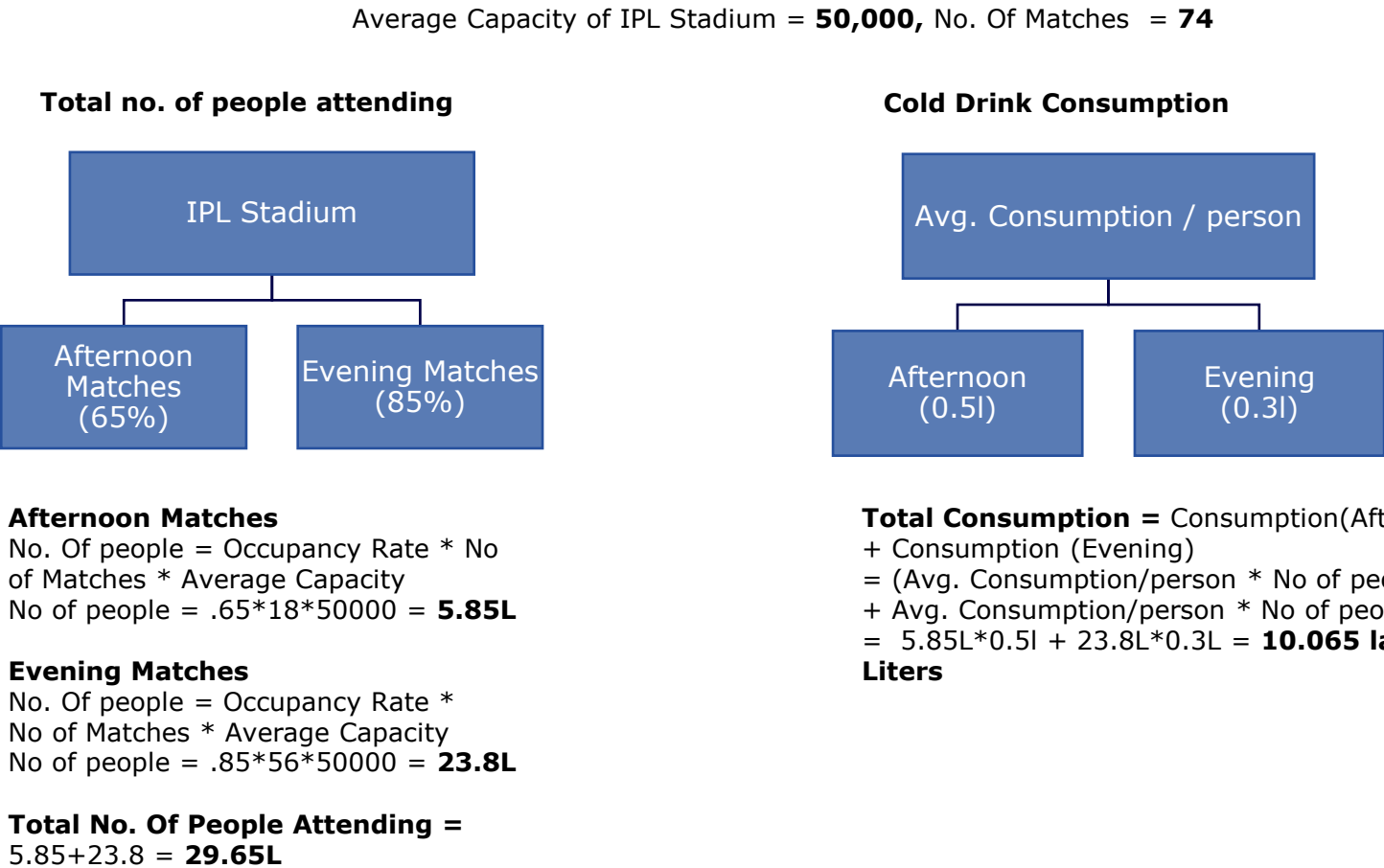
Top Down

Methodology

- 1. Find the no. Of people attending IPL matches.
- 2. Segregate between afternoon and evening matches.
- 3. Based on average consumption/person, calculate the total consumption.

Assumptions

- All people attending a match consume a cold drink
- Average Occupancy of Stadium
- Consumption of Cold drinks is increased during Afternoon



Solution: Total Cold Drink Consumption = **10.065 lakh Liters**



Guesstimate 10: T-shirts Sold on Amazon per Day

Prompt: How many t-shirts do you think Amazon is selling in India per day?

Approach

Top down

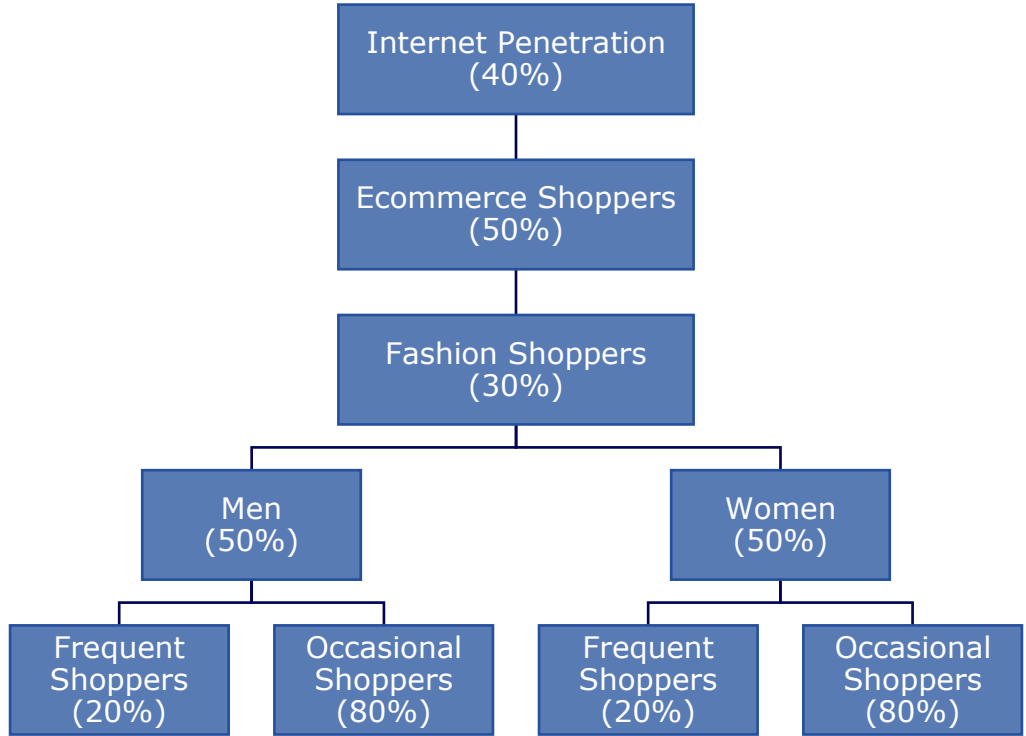
Methodology

- 1. Segment by gender considering different demand
- 2. Further break down into frequent and occasional shoppers rate of t-shirt purchase per year
- 3. Bottom up estimation for total t-shirts sold in a year

Assumptions

- E-commerce penetration = **50% of Internet Penetration**
- Fashion Shoppers on Ecommerce = **30%**
- Frequent M – **5 T-shirt**
Frequent F – **7 T-shirt**
- Occasional M – **3 T-shirt**
Occasional F – **4 T-shirt**

Population of India = **1500 Mn**



● = 0.4×1500
= **600 Mn**

● = 0.5×500
= **300 Mn**

● = 0.3×300
= **90 Mn**

● = 0.5×90
= **45 Mn**

● M (FS) : $9 \text{ Mn} \times 5 = \mathbf{45 \text{ Mn}}$
M (OS) : $36 \text{ Mn} \times 3 = \mathbf{108 \text{ Mn}}$
F (FS) : $9 \text{ Mn} \times 7 = \mathbf{63 \text{ Mn}}$
F (OS) : $36 \text{ Mn} \times 4 = \mathbf{144 \text{ Mn}}$

Total T-shirts = $45 + 108 + 63 + 144 = \mathbf{360 \text{ Mn}}$
Amazon Market Share = 30%
Total Sales/Year = **108 Mn**
Total Sales/Day = $108 \text{ Mn} / 365 = \mathbf{295K}$

Solution: Total Sales/Day = **295K**



Guesstimate 11: Size of Tyre Industry

Prompt: Estimate the size of the tyre industry, particularly SUV in India in 2025.

Approach

Demand Side

Methodology

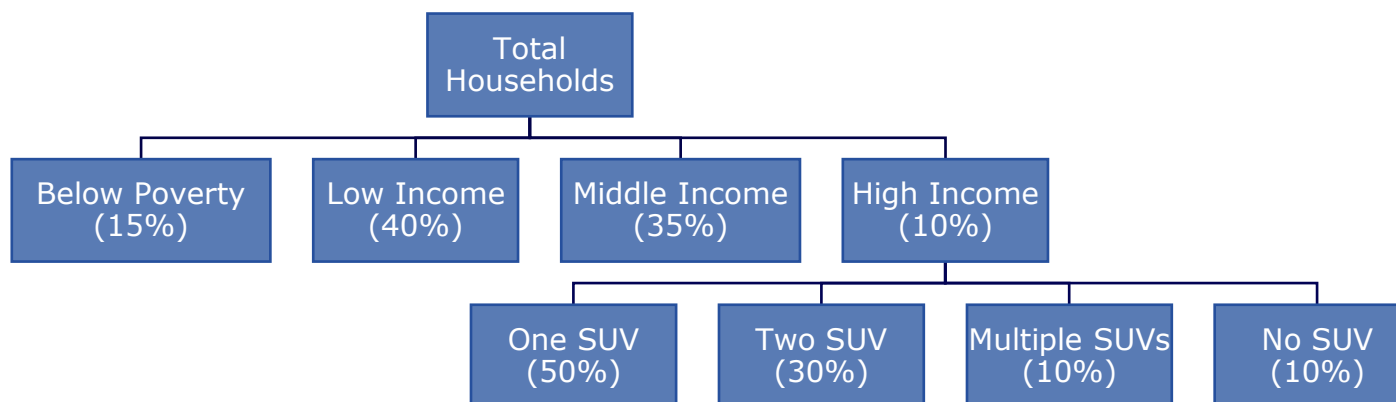
1. Divide households based on income stream
2. Within High income, divide basis the No. of SUVs in a household
3. Divide basis current on ground + New SUVs
4. Multiple by growth rate for future years
5. Divide by average number of tires per SUV

Assumptions

- No replacement tyre being considered
- Average life of SUV is **15 years**
- Assume growth rate of tyre industry as **10%**
- Each SUV has 5 tyre

Population of India = **1500 Mn**

Average Household Family Size = **5**



$$= 1500 \text{ Mn} / 5 \\ = \mathbf{300 \text{ Mn}}$$

$$= 300 \text{ Mn} * 10\% \\ = \mathbf{30 \text{ Mn}}$$

Based on above analysis –

Total SUVs on ground = $30 \text{ Mn} * (0.5*1 + 0.3*2 + 0.1*3) = \mathbf{42 \text{ Mn}}$

New SUVs = Total SUVs on ground/ Average Life = $42 \text{ Mn}/15 = \mathbf{2.8 \text{ Mn}}$

As of 2024, 42 Mn SUVs & 2.8 Mn new SUVs = **44.8 Mn**

As of 2025, Total SUVs = **54.2 Mn** ($44.8 * 1.1 * 1.1$)

Each SUV has 5 tyres (4 tyres + extra)

Total = $54.2 \text{ Mn} * 5 = \mathbf{271 \text{ Mn Tyres}}$

Solution: Total No. of tyres = **271 Mn**



Guesstimate 12: Sports Shoes Market

Prompt: Estimate the annual size of sports shoes in India

Approach

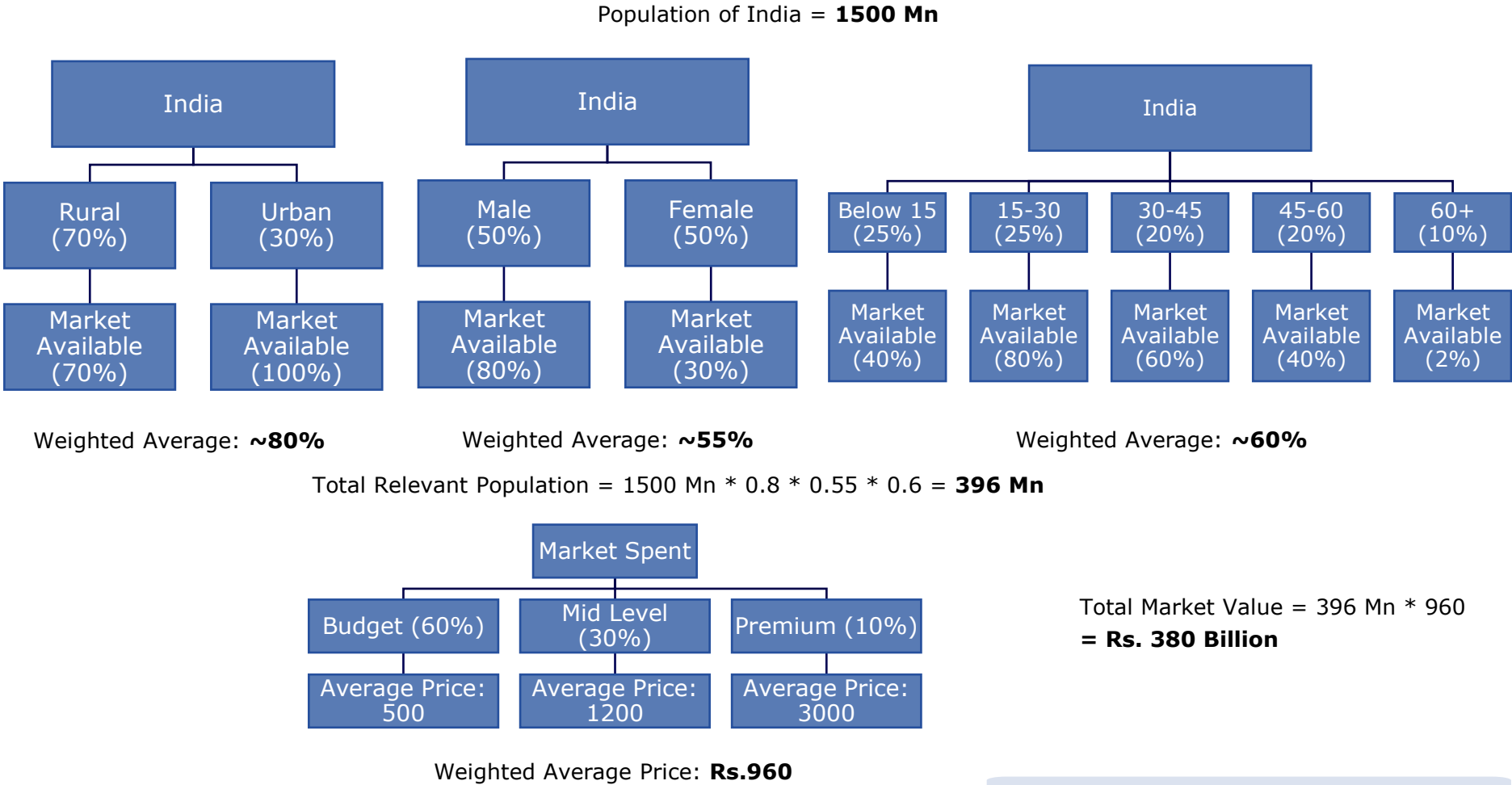
Demand Side

Methodology

- 1. Find relevant population by division in terms of urban/rural, gender & age
- 2. Use the weighted average method
- 3. Find weighted average price of a shoe by market variants
- 4. Divide the two

Assumptions

- Sports shoes are generally used by athletes and by citizen for going to a walk/job or day to day purpose
- Average prices of shoes in a segment



Solution: Total Market Size = Rs. 380 Bn



Guesstimate 13: WhatsApp Messages

Prompt: Estimate the total number of WhatsApp messages sent in India per day

Approach

Top Down

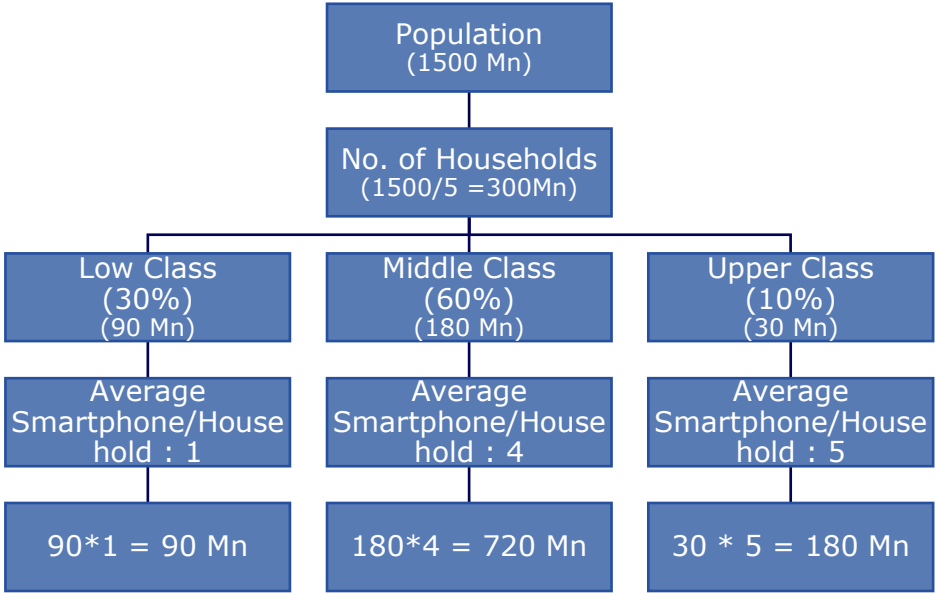
Methodology

- 1. Calculation of total smartphone users in India
- 2. Use economic split
- 3. Age split for smartphone user
- 4. Assume usage for each customer
- 5. Weighted average on number of messages

Assumptions

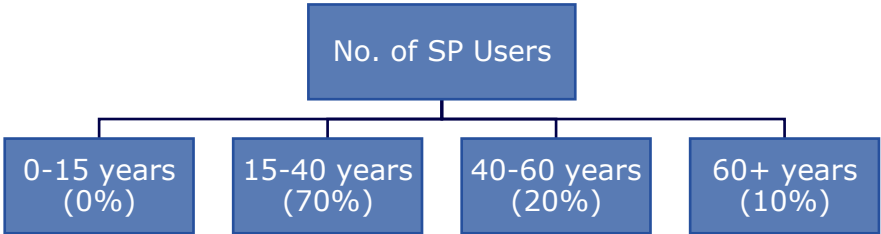
- All smartphone users are using WhatsApp
- Average Smartphone/Household

Total Number of Smartphone users in India



Total = 90 + 720 + 180 = **990 Mn**

Total Number of WA messages/Day



Split basis usage of WhatsApp
(Denotes: Average message/day)

	High	Med	Low
15-40	60% (60)	25% (30)	15% (20)
40-60	30% (30)	40% (20)	30% (10)
60+	10% (25)	30% (15)	60% (5)

Total = 990 Mn *
(0.7 * (0.6*60+0.25*30+0.15*20) +
(0.2 * (0.3*30+0.4*20+0.3*10) +
(0.1 * (0.1*25+0.3*15+0.60*5))
Total = **36,481 Mn**

Solution: WA messages/day = 36,481 Mn



Guesstimate 14: People flying in/out from Delhi

Prompt: Estimate the number of people flying in/out from Delhi in a day

Approach

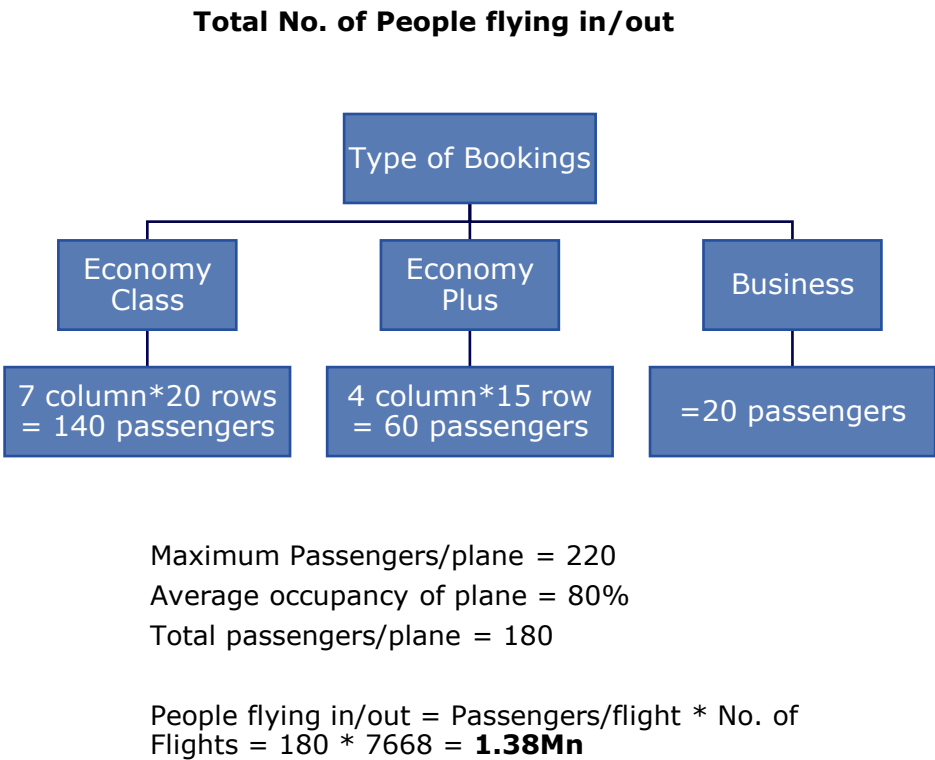
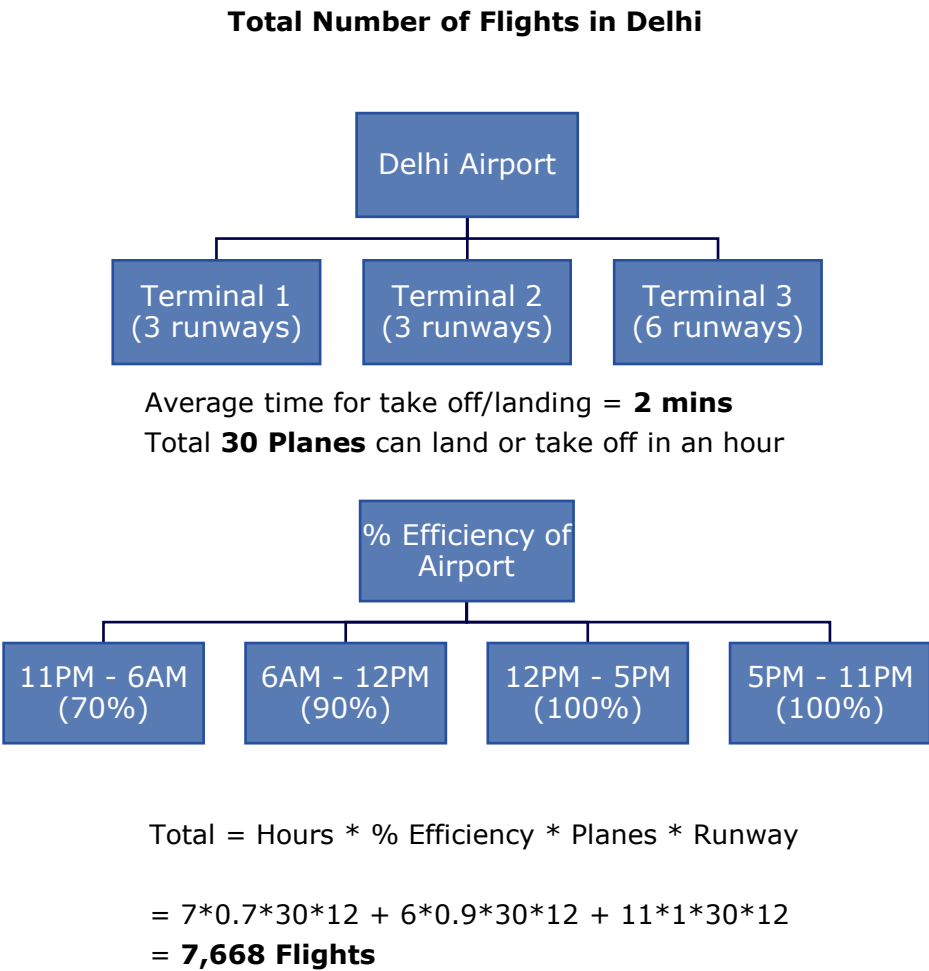
Top Down

Methodology

- 1. Calculate total number of flights in Delhi
- 2. Use efficiency & hour wise split to get to total number
- 3. Find average capacity by max capacity * occupancy
- 4. Divide the two

Assumptions

- Number of runways in Delhi airport
- Average time – **2 mins**
- % efficiency split/hour
- Occupancy rate of plane = **80%**



Solution: People Flying in/out = 1.38 Mn



Guesstimate 15: Sauces sold in Europe

Prompt: Estimate the total revenue generated from consumption of sauce in Europe

Approach

Top Down

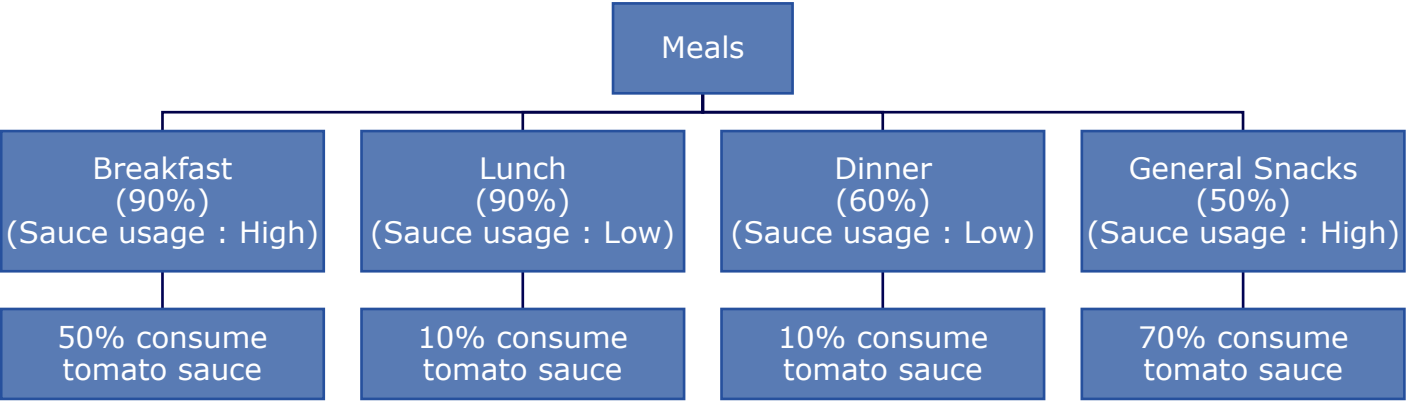
Methodology

- 1. Divide population basis eating routine of a day
- 2. Attach values of Sauce usage basis experience
- 3. Calculate servings using 1 kg of sauce
- 4. Consumption * Average Price

Assumptions

- Considering on tomato sauce for the guesstimate
- Average price of sauce = **1.5 Euro/Kg**

Population of Europe – **750 Million**
1 Kg of Tomato Sauce = **75 Servings**
[1Kg of sauce can be used by a family of 5 for 15 servings (Assumption based on own experience)]



Based on above analysis –
Total servings per day
= 750 Mn * (0.5*0.9 + 0.1*0.9 + 0.1*0.6 + 0.7*0.5)

Amount of Ketchup consumed in Kg = (750 Mn * 0.95)/75 Kg/day = **95 Mn Kg/Day**
Consumption/month = 95 Mn Kg/day * 30 = 285 Mn Kg/Month
Annual Consumption = 3.42 Bn Kg/year

Annual Revenue = 3.42 Bn Kg/year * 1.5 Euro/Kg = **5.43 Bn Euros**

Solution: Sauces Revenue = 5.43 Bn Euros

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All The Best!

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